

MEETING CHALLENGES

THE PHILIPPINE STOCK EXCHANGE, INC
ANNUAL REPORT 2016



THE PHILIPPINE
STOCK EXCHANGE
INC.



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ABOUT THE COVER



In 2016, The Philippine Stock Exchange, Inc. remained steadfast in the face of numerous challenges affecting the performance of the stock market. It pursued initiatives to further advance the capital market by exploring opportunities presented by the changes both in the local and global economic landscape. This year's cover embodies this overall environment and encapsulates the events and motivations for 2016. The tree awash in light symbolizes the resilience and steadfastness of the company with the light beaming through the branches representing the bright prospects and possibilities for PSE's vision of becoming a premier exchange in the region.



VISION MISSION CORPORATE VALUES

VISION

A premier exchange with world-class standards for trading securities and raising capital that serves as a strong engine for a robust economy.

MISSION

- Offer products and services responsive to the needs of investors and other stakeholders
- Provide a facility for fair, accurate, complete and timely information about listed companies, while extending market education and awareness programs to investors
- Be a preferred venue for raising capital
- Practice and promote good governance within the Exchange and among listed companies and trading participants
- Operate efficiently to optimize shareholder value
- Adopt world-class systems and global best practices for an efficient, fair and orderly market
- Develop a highly motivated and professional workforce, committed to serve and excel

CORPORATE VALUES

- Professionalism in delivering quality service and in meeting the highest standards of excellence
- Integrity, transparency and accountability in implementing business programs and enforcing decisions
- Teamwork in working towards a common and favorable goal for the market
- Mutual respect in relating with fellow employees
- Inner strength in prioritizing the common good of the market instead of individual interest
- Corporate responsibility in promoting market growth hand in hand with community welfare

FINANCIAL HIGHLIGHTS

The Philippine Stock Exchange, Inc. and Subsidiaries

IN THOUSAND PESOS

TABLE 01

RESULTS OF OPERATIONS	2016	2015	AMOUNT CHANGE	PERCENTAGE CHANGE
OPERATING REVENUES	1,263,286	1,214,206	49,080	4.04
LISTING FEES, MAINTENANCE & PROCESSING FEES	558,907	483,431	75,476	15.61
TRADING FEES	303,190	309,870	(6,680)	(2.16)
SERVICE FEES	344,553	384,180	(39,627)	(10.31)
OTHERS	56,636	36,725	19,911	54.22
TOTAL EXPENSES	592,597	601,905	(9,308)	(1.55)
COST OF SERVICES	245,268	250,650	(5,382)	(2.15)
ADMINISTRATIVE EXPENSES	347,329	351,255	(3,926)	(1.12)
OTHER INCOME	204,756	235,694	(30,938)	(13.13)
INCOME BEFORE INCOME TAX	875,445	847,995	27,450	3.24
NET INCOME AFTER TAX	701,541	682,809	18,732	2.74

IN THOUSAND PESOS

TABLE 02

YEAR-END FINANCIAL CONDITION	2016	2015	AMOUNT CHANGE	PERCENTAGE CHANGE
TOTAL ASSETS	3,428,826	3,121,288	307,538	9.85
CASH AND CASH EQUIVALENTS	833,795	559,143	274,652	49.12
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	230,900	408,523	(177,623)	(43.48)
AVAILABLE-FOR-SALE INVESTMENTS	550,067	634,882	(84,815)	(13.36)
PROPERTY AND EQUIPMENT	1,200,316	404,726	795,590	196.57
TOTAL LIABILITIES	413,008	312,707	100,301	32.08
CURRENT LIABILITIES	400,293	301,154	99,139	32.92
PENSION LIABILITY	12,715	11,553	1,162	10.06
EQUITY	3,015,818	2,808,581	207,237	7.38

MESSAGE FROM THE

CHAIRMAN

Dear Shareholders,

The changes that took place in the past year provided challenges for the market as well as opportunities to strengthen our resolve in attaining our vision of becoming a world-class Exchange.

At the local front, we welcomed a new leader in President Rodrigo Duterte with an economic agenda that is both promising and audacious. The Administration's promise of higher infrastructure spending and trailblazing tax reforms has found support among economists and businesses alike. As a result, the stock market was able to rally after the conduct of peaceful elections in May and the unfolding of the details of his economic platform. The benchmark PSEi recorded its highest level for the year on July 21 at 8,102.30 points, just short of its all-time record high set in April 2015 of 8,127.48 points.

The developments in the global political landscape, however, provided a sobering effect to this excitement due in part to the unexpected results in the Brexit referendum and the US presidential elections. Investors have generally priced in a decision for the United Kingdom to stay with the European Union as well as a victory by the Democrats in the US elections. Alas, both outcomes went the other way.

During the third quarter of the year, we also witnessed foreign investors rotating their funds from emerging markets following the signals from the US Federal Reserve of imminent interest rate hikes. From late August to September, the market recorded net foreign selling for 22 consecutive days for a total foreign outflow of P25.16 billion during this period.

The strength of the local economy, however, provided cushion to the volatilities introduced by these global developments. By yearend, the stock market was able to offer a total P227.25 billion worth of shares by way of Initial Public Offering and other follow-on share offerings by listed companies, of which P176.80 billion was raised via primary shares offered by listed companies for their various expansions and projects. This total offering was only P1-billion shy of the all-time high set in 2012. Two of the initial public offerings last year also made their mark by belonging to the top ten biggest offerings in stock market history.

These offerings helped our market capitalization to expand again in 2016 despite the overall decline in the PSEi of 1.6 percent for the entire year. Total market capitalization expanded by 7.2 percent at P14.44 trillion while domestic market capitalization went up by 6.1 percent to P11.87 trillion.

We realize at the Exchange that the strong economic background will open up opportunities for growth in the market even as we contend with the risks and challenges that are constantly being presented in the global financial landscape. For this reason, the Exchange continued to push for the introduction of new products and services in the past year. These initiatives are meant to create a broader investor and product base that will provide both a cushion to the market in times of volatilities as well as stimulus for growth.

We are happy to report that our efforts have paid dividends. Last year, the rules for the trading of Dollar Denominated Securities (DDS) were approved by the SEC which has quickly resulted in the filing of the first listing application under this DDS program. We also enhanced our listing rules to allow companies or joint ventures that have been awarded projects under the Public-Private Partnership (PPP) program of the government to raise funds in the stock market. We are hopeful that PPP companies will access the equities market over the short- to medium-term.

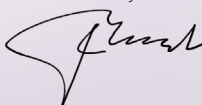
As we prepare for more product launches, we also spent time and resources in fortifying our infrastructure to become more efficient and prepared for higher trading activity. Our technology set-up continues to be upgraded while we also strengthen our cyber security systems. Our move to the new PSE office has also progressed and we target to see one unified exchange office at the Fort Bonifacio Global City soon. All our efforts have not come unnoticed.

The Philippine Stock Exchange has once again been feted as the Best Stock Exchange in Southeast Asia for the second consecutive year by Alpha Southeast Asia.

We will look into 2017 with great optimism about the programs that we have started consistent with our overall strategic plan. As we mark our 25th year of being a unified Philippine Stock Exchange this year, we hope that our goal of having a bigger and integrated capital markets will come closer to reality.

Your support will, as always, remain at the core of determining our success. Allow me to take this opportunity to extend my deepest gratitude to you, our stakeholders, for keeping your faith in the PSE Board of Directors, its Management and Staff, as we continue to take on the challenge of making your PSE a world-class stock exchange.

Mabuhay!



Jose T. Pardo
Chairman





MESSAGE FROM THE

PRESIDENT

Dear Fellow Shareholders,

At the core of PSE's vision is the aspiration to become a bigger Exchange that can be as viable an investment destination as any of its peers in the region. This vision, however, can either be aided by a favorable economic environment or impeded by events that create uncertainties in the investment landscape. The past year has been an experience of both although the volatilities in the global political landscape may have been more pronounced.

We understand that the Exchange's drive to reach its vision is also a result of what we do to ensure that our stakeholders continue to find opportunities even during the challenging times. Consistent with our strategy, the PSE pursued its initiatives to provide new products and services to respond to the ever-changing needs of the market. We also focused on enhancing our systems and processes to improve the experience of the clients we serve - the investors, listed companies, trading participants and our shareholders.

We take pride in having introduced two new products in 2016. Companies may now raise funds in US dollars by listing Dollar Denominated Securities. On the other hand, companies involved in national Public-Private Partnerships projects may now opt to go to the stock market for their capital raising exercise. We hope that both products will garner support and patronage from both issuers and investors. We also thank everyone who made it possible for us to have both products available – the Securities and Exchange Commission (SEC), the Bangko Sentral ng Pilipinas, and the Public-Private Partnership Center. We continue to work on having more products available in the market like short selling and structured warrants, among others.

Aside from growing our product line, the Exchange also continued to expand its investor base. Total accounts for 2016 came in at 773,187, which is 8.5 percent higher than the 2015 numbers. Online accounts remain to be the main driver for the overall growth in accounts as the number of online investors increased by 27.8 percent in 2016 to 302,516. We hope to see these digits increase further especially as more trading participants offer online trading services, including those who choose our PSETradex platform.

With financial inclusion being an important goal, we want more Filipinos to gain an appreciation for personal finance in general and stock market investing in particular. To realize this goal, we hosted more webinars in 2016 covering basic topics like Stock Market 101 and Exchange Traded Fund Introduction to more advanced subjects like Fundamental and Technical Analyses and Managing Portfolio. We also doubled the number of our free seminars in both Metro Manila and in Cebu.

Together with these developments in our operations, the Exchange ensured that it remained at the forefront of promoting good corporate governance. The PSE Bell Awards for Corporate Governance already

reached its fifth year of giving recognition to listed companies and trading participants that have the best corporate governance standards and practices. We were also a partner of the SEC in various governance initiatives.

Internally, we continued to beef up our enterprise risk and business continuity management efforts. We recognize the risks inherent to running an Exchange and we constantly make sure that we are prepared if and when these risk scenarios arise.

We are happy to report that despite the difficult global investment climate, the Company's operating revenues went up by 4.0 percent. Fund raising activities remained active which helped boost the Exchange's listing related income by 15.6 percent to P558.91 million. Trading-related income, on the other hand, was lower by 2.2 percent to P303.19 million as total value turnover dipped by 10.3 percent to P1.93 trillion. However, the market data revenue component of trading income has gone up once more by 12.5 percent, slowly becoming an important income contributor to the Company. We hope to see this grow further on continued demand from institutional investors for data on the Philippine stock market.

Meanwhile, your Management adopted a cautious approach to spending given the market volatilities. In 2016, we managed to reduce our expenses by 1.5 percent to P592.60 million.

All told, the PSE registered a 2.7 percent increase in its net income to P701.54 million.

From this income, your Board approved the declaration of cash dividends to all shareholders amounting to P7.00 per share by way of regular dividends amounting to P4.78 per share and special dividends of P2.22 per share. This is equivalent to a payout ratio of 73.2 percent, higher than the 50 percent dividend policy of the company.

Aside from overseeing the Exchange, we had the opportunity to be part of a working group that seeks to promote emerging markets worldwide. We are grateful to the global stock exchange community for entrusting to us the Chairmanship of the Emerging Market Working Group of the World Federation of Exchanges. The task allowed us to learn best practices and understand the issues of our emerging market counterparts. The advocacy also spearheaded programs to help these markets.

This year, we once again proved the resilience of the PSE and the Philippine stock market. We not only endured the challenges but we believe we have emerged as a better, more productive and efficient company. We are optimistic that 2017 will be an even better year in all aspects for the Exchange.

Our successes would not have been possible if not for the hard work and dedication of our management and employees. We are grateful for the guidance provided by our Board throughout the year. Fellow shareholders, let us continue to support the men and women of the PSE for us to be closer to our vision.

Mabuhay!



Hans B. Sicat
President and CEO

TRADING SCHEDULE

9:00 AM	Pre-Open
9:15 AM	Pre-Open No Cancel
9:30 AM	Market Open
12:00 PM	Market Recess
1:30 PM	Market Resumes
3:15 PM	Pre-Close
3:18 PM	Pre-Close No Cancel
3:20 PM	Run-off/Trading-at-last
3:30 PM	Market Close

ABOUT THE PSE

The Philippine Stock Exchange, Inc. (PSE) is one of the fastest growing markets in the region. Among the pioneer exchanges in Asia, it traces its origins from the country's two former stock exchanges, the Manila Stock Exchange (MSE), which was established in 1927, and the Makati Stock Exchange (MkSE), which was established in 1963.

Although both the MSE and the MkSE traded the same stocks of the same companies, the bourses were separate stock exchanges for nearly 30 years until December 23, 1992, when both exchanges were unified to become the present-day Philippine Stock Exchange.

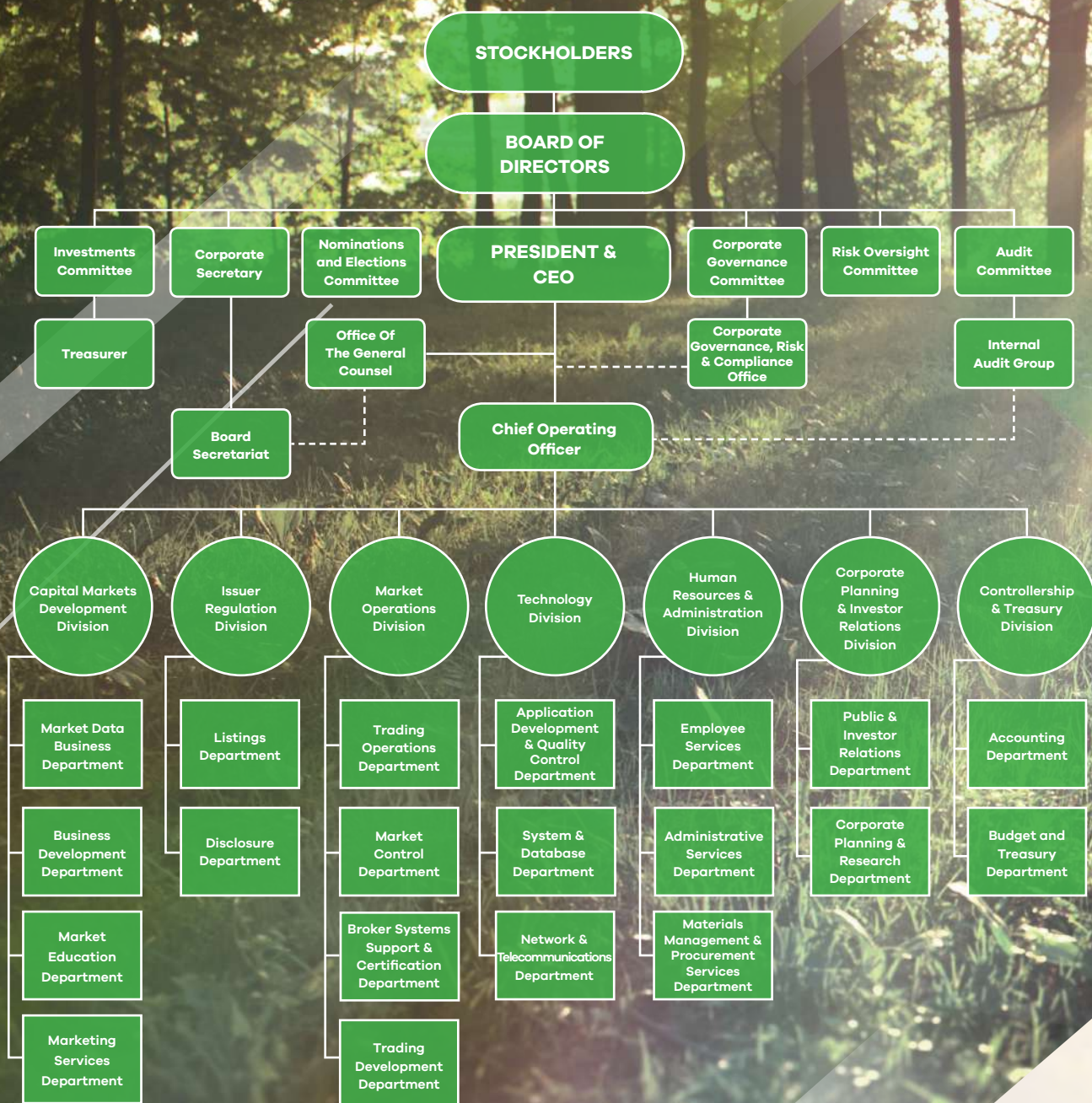
In June 1998, the Securities and Exchange Commission (SEC) granted the PSE a "Self-Regulatory Organization" (SRO) status, which meant that the bourse can implement its own rules and establish penalties on erring trading participants (TPs) and listed companies.

In 2001, one year after the enactment of the Securities Regulation Code, the PSE was transformed from a non-profit, non-stock, member-governed organization into a shareholder-based, revenue-earning corporation headed by a president and a board of directors. The PSE eventually listed its own shares on the exchange (traded under the ticker symbol PSE) by way of introduction on December 15, 2003.

Currently, the PSE maintains two trading floors, one at the PSE Centre (Tektite), Ortigas Center in Pasig City, and one at its principal office at the Ayala Tower One & Exchange Plaza in Makati City's Central Business District.

As of end December 2016, securities traded at the PSE include shares of 265 listed companies and exchange traded funds.

FIGURE 01

ORGANIZATIONAL STRUCTURE

*Note: The Treasurer has oversight functions over the Budget and Treasury Department of the Controllershship & Treasury Division



CORPORATE GOVERNANCE AT THE PSE

The PSE recognizes the significant role of corporate governance in the overall growth of the market place. As such, the Exchange advocates the adoption of excellent corporate governance practices, including the adherence to corporate governance tenets such as fairness, transparency and accountability, among listed companies and trading participants.

Being at the center of corporate activity among publicly-listed companies, it is incumbent upon the PSE to lead the promotion of good corporate governance practices not just through programs and initiatives for listed companies, but by practicing the very principles of corporate governance that it advocates. This starts by embedding the core principles of good governance in PSE's mission from which upholding shareholder rights, and timely, fair, and accurate disclosure emanate. Through the years, living out this particular mission has helped the Company incorporate good corporate governance practices in its culture.

BOARD OF DIRECTORS

JOSE T. PARDO

CHAIRMAN AND INDEPENDENT DIRECTOR

Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and has been its Chairman since May 2011. He is the Chairman of the Corporate Governance Committee of the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines. He is Independent Director and Chairman of the Philippine Savings Bank*, Bank of Commerce, and Philippine Seven Corporation*, and Independent Director of JG Summit Holdings, Inc*. He is likewise a Director of the National Grid Corporation of the Philippines, ZNN Radio Veritas, Araneta Hotels, Inc. and Monte Oro Grid Resources Corporation. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. Mr. Pardo is Chairman of Employers Confederation of the Philippines, Council of Business Leaders, Philippine Chamber of Commerce, Inc., Philippine Business Center, Inc. and Foundation for Crime Prevention. Mr. Pardo obtained his Bachelor of Science in Commerce and his Master's Degree in Business Administration at the De La Salle University in Manila, where he serves as Chairman of the Board of Trustees.



HANS B. SICAT

PRESIDENT AND CHIEF EXECUTIVE OFFICER, DIRECTOR

Mr. Sicat has been President and CEO since 2011 and has also served as Chairman & Independent Director from 2009 to 2011. He is concurrent President and CEO of the Securities Clearing Corporation of the Philippines. In 2016, he was named Chairman of the Emerging Market Working Group of the World Federation of Exchanges ("WFE"). He serves as a Member of Euromoney Institutional Investor Asia Advisory Board and he was appointed as an Executive in Residence, a program of the Asian Institute of Management. He serves as a Director, Trustee & Chairman of the Philippine Dealing System Holdings, Inc., the Securities Investors Protection Fund and the PSE Foundation, respectively. He is Acting Chairman of LegisPro Corporation, Independent Director of Serica Balanced Fund & Master Fund and Skycable Corporation. He also sits as a Director in List Sotheby's Philippines and is on the Advisory Board of Fintonia Fund, which has a FinTech focus. He is part of the Endeavor (Philippines) organization where he interacts, selects and mentors high impact entrepreneurs. He is a Director in the Philippine Map Collectors Society and was active in leadership roles for six years in the Young Presidents Organization, Philippines Chapter, culminating as Chapter Chairman in 2009. Prior to his stint at the Exchange, he was an investment banker for more than two decades with Citigroup and its predecessor firms (Salomon Brothers & Citicorp Securities) in various roles in New York, Hong Kong and the Philippines. Mr. Sicat finished his coursework for the Ph.D. Economics Program at the University of Pennsylvania, Philadelphia, and earned his Master of Arts in Economics and Bachelor of Science in Mathematics at the University of the Philippines. He was conferred an Honorary Doctorate Degree in Business Administration by the Western University in Thailand.



**publicly-listed company*



EMMANUEL O. BAUTISTA

DIRECTOR

Mr. Bautista has been a Director of the PSE since May 2011 and a member of the Exchange's Risk Oversight Committee. He also serves as Director of the Securities Clearing Corporation of the Philippines and the Philippine Depository and Trust Corporation. He is an Independent Director of AIG Philippines Insurance Inc. He is currently the Chairman and Chief Executive Officer of Deutsche Regis Partners Inc., an affiliate of Deutsche Bank AG, where he has worked since 1994. From 1986 to 1994, he was connected with Pepsi Co., Inc. both in New York and in Manila. He was Director of Strategic Planning and member of the Executive Committee of PepsiCo Philippines. Mr. Bautista trained as an analyst at Philippine American Investment Corporation and Bank of America in Los Angeles. He graduated from the Ateneo de Manila University with a Bachelor of Science degree in Management Engineering. He holds a Master's degree in Business Administration from Georgetown University, USA.

ANABELLE L. CHUA

DIRECTOR

Ms. Chua first became a Director of the PSE in 2004 until May 2010 and has been a Director since May 2011. She is a member of the Exchange's Audit Committee. She has been the Chief Financial Officer of the PLDT, Inc.* Group since May 2015, and was previously the Chief Financial Officer of Smart Communications, Inc., and Treasurer of PLDT, Inc. Her prior professional experience includes holding various positions at Citibank N.A. and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Chua graduated Magna Cum Laude from the University of the Philippines with a degree in Business Administration and Accountancy and was a consistent University Scholar for ten semesters. She topped the Certified Public Accountant Licensure Examination in October 1982.

FRANCIS C. CHUA

DIRECTOR

Ambassador Chua was a Director of the PSE in 2002 and has been re-elected as Director from 2010 up to the present. Under his watch as Chairman of Demutualization Committee, PSE's demutualization was unanimously approved by all its members. Recently, he was appointed as Member of the APEC Business Advisory Council. He is the Founding Chairman of BA Securities and the Chairman Emeritus of the Philippine Chamber of Commerce and Industry, Inc. (PCCI) as well as an Honorary President of the Federation of Filipino-Chinese Chambers of Commerce and Industry, Inc. (FFCCCII). He is also the Founding Chairman of International Chamber of Commerce, Philippines (ICCP) and Founding Chairman of the Philippine Silkroad International Chamber of Commerce. He is currently the President of both the Foundation for Crime Prevention and the Philippine Business Center. He served as President of three of the most influential business organizations in the country – PCCI (2010 to 2011), Chamber of Commerce of the Philippine Islands, Inc. (2005 to 2007) and FFCCCII (2005 to 2007). Amb. Chua is also the Consul General (ad honorem) of the Honorary Consulate General of Peru in Manila since 2006. In 2007, he was appointed Special Envoy for Trade and Investments by the Office of the President. He is the Chairman of the Board of Negros Navigation, 2GO Group, Inc.*, DongFeng Automotive Philippines, and the Green Army Foundation. He is Vice Chairman and Executive Committee Chair of Bank of Commerce and Vice Chairman of Basic Energy Corporation*. He has served as Director of various companies and academic institutions and has been conferred several awards by different organizations.

*publicly-listed company



DAKILA B. FONACIER

INDEPENDENT DIRECTOR

Mr. Fonacier has been a PSE Director since May 2011. He is a member of the Company's Audit, Corporate Governance, Risk Oversight, and the Nominations and Elections Committees. He is also the Chairman of Capital Markets Integrity Corporation and Director of the Securities Clearing Corporation of the Philippines. He is a Director of McManus Ventures, Inc., and MCX Konsult Corporation. Mr. Fonacier held various positions in government including Commissioner of the Bureau of Internal Revenue, Undersecretary of the Finance Department, and Undersecretary of the Trade and Industry Department. He earned his Master's degree in Marketing and Finance from J.L. Kellogg Graduate School of Management Northwestern University in Chicago, Illinois and obtained his Bachelor's degree in Accounting, cum laude, from the University of the Philippines. He ranked fifth in the Certified Public Accountant Licensure Examination in 1968.

EDDIE T. GOBING

DIRECTOR

Mr. Gobing has been a PSE Director since 2001 and has held various positions in the Exchange since 1998. He is the Chairman of the Exchange's Risk Oversight Committee. He has also been a Director of Securities Clearing Corporation of the Philippines since 2006. He is also Treasurer of Manila Stock Exchange Foundation. He is the President of Lucky Securities, Inc., and E.G. & Sons Insurance Agency Inc.; Chairman of Jacqui Foods Corp., G.G. Food Chain Corp. J.G. Food Corp.; and President of Teishoku Dining Concepts Inc. Mr. Gobing graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.

AMOR C. ILISCUPIDEZ

DIRECTOR

Ms. Iliscupidez has been a Director of the PSE since April 2006. She is a member of the Audit, Corporate Governance, Risk Oversight, and Investment Committees of the Company. She has been a Director of the Securities Clearing Corporation of the Philippines and a member of its Audit Committee and Fails Management Committee since January 2011. She was a Director of Capital Management Integrated Corporation from July to September 2013. She has also been Director of the Bank of Commerce since April 2008 and is a member of its Executive Committee, Trust Investment Committee and Nomination and Compensation Committee. Aside from being the General Manager of San Miguel Corporation Retirement Funds Office, she is also a member of the Board of Trustees of various Retirement Plans of the San Miguel Group. She was General Manager at Anchor Insurance Brokerage Corporation from 2003 to 2005 and was Assistant Vice President and Manager of the SMC Group Financial Services from 2001 to 2003. Ms. Iliscupidez was also Finance Manager of several subsidiaries and business units of San Miguel Corp. She graduated Cum Laude with a Bachelor of Science degree in Business Administration, major in Accountancy, from the University of the East. She is a Certified Public Accountant.

**publicly-listed company*

EDGARDO G. LACSON

DIRECTOR

Mr. Lacson has been a PSE Director since May 2011 and is a member of the Corporate Governance Committee and the Chairman of the PSE Bell Awards Committee. He is the President of MIS Maritime Corporation, Safe Seas Shipping Agency, Marine Industrial Supply Corporation, and EML Realty. He is the Chairman of Metrostore Corporation and Beacon Environmental Management Services and a Trustee of De La Salle University, Home Development Mutual Fund, Philippine Interisland Shipping Association, Philippine Petroleum Sea Transport Association, and the Management Association of the Philippines. In addition, he is the Chairman of the Employers Confederation of the Philippines, a member of the Philippine Nippon Kyokai Technical, Honorary Chairman of the Philippine Chamber of Commerce and Industry, Independent Director of Puregold Price Club, Inc.* and Independent Director of Global Ferronickel Holdings, Inc.* He finished his Bachelor of Science in Commerce degree major in Accounting from De La Salle College.

RAMON S. MONZON

INDEPENDENT DIRECTOR

Mr. Monzon was elected PSE Director in May 2015 and serves as Chairman of the PSE Audit Committee and Member of the Risk Oversight, and Nominations and Elections Committees. He is also a Director and Member of the Executive, Risk, Audit, Nomination and Remuneration and IT Steering Committees of Philippine Dealing System Holdings Corporation, Philippine Dealing & Exchange Corporation, Philippine Depository & Trust Corporation and Philippine Securities Settlement Corporation. He is currently a Director of PCD Nominee Corporation and the Chairman and President of PH GSA, Inc., Xpert Air Services, Inc., Karilagan Int'l Travel & Tours Corp., and Carousel Productions, Inc. From October 1995 to March 2012, he was the Vice Chairman and Chief Operating Officer of Citadel Holdings, Inc. and served as President and CEO of Citadel's subsidiaries which included companies in aviation services and companies in the airline passenger and cargo general sales agency group. He was the President and CEO of Pacific Rim Export & Holdings Corp. from 1988 to 1995 and was the EVP and Chief Operating Officer of Radio Philippines Network, Intercontinental Broadcasting Corp, Banahaw Broadcasting Corp and Sining Makulay, Inc. from 1984 to 1986. He was also a Partner of SyCip Gorres Velayo & Company from 1982 to 1984. Mr. Monzon holds a Master of Business Administration degree from the Chicago Booth School of Business, a Bachelor of Arts degree major in Political Science from the Ateneo de Manila University, and a Bachelor of Science degree major in Accounting from the Manuel L. Quezon University. He is a Certified Public Accountant and a Fellow of the Institute of Corporate Directors.

WILSON L. SY

DIRECTOR

Wilson L. Sy is a stock market veteran with over four decades of experience in the world of equities as a stockbroker and fund manager. He is the Chairman and Nominee of Wealth Securities, Inc. and a fund manager of Philequity Fund, Inc. Mr. Sy served as Chairman of The Philippine Stock Exchange, Inc. from 1996 to 1998 and Chairman of the Manila Stock Exchange, Inc. from 1994 to 1999. He is also a Director in various companies including Philequity Management, Inc., Asian Alliance Holdings Corp., Vantage Equities, Inc.*, eBusiness Services, Inc., East West Banking Corp.*, Leisure & Resorts World Corporation*, Pacific Online Systems Corporation*, Xcell Property Ventures, Inc., and Monte Oro Resources & Energy, Inc. Mr. Sy is a Business Section columnist of The Philippine Star and is the author of the book "Opportunity of a Lifetime".

*publicly-listed company

EUSEBIO H. TANCO**DIRECTOR**

Mr. Tanco has been a Director of the PSE since 2007 and is also a member of the Company's Audit Committee and Corporate Governance Committee. He is the Chairman of STI Education Systems Holdings, Inc.*, STI-West Negros University, Delos Santos-STI College, Inc., Philhealth Educators, Inc., Mactan Electric Company, Philippines First Insurance Co., GROW Vite, Capital Managers and Advisors, Inc., Venture Securities, Inc. and Prudent Resources, Inc. He is the Vice Chairman and President of port operator Asian Terminals Inc.*, President of Bloom with Looms Logistics, Inc. (formerly STMI Logistics, Inc.), Total Consolidated Asset Management Inc., Prime Power Holdings, Inc., Insurance Builders, Inc., Biolim Holdings and Management Corp., EujoPhils, Inc., First Optima Realty Corporation and a member the board of iACADEMY, PhilhealthCare, Inc., Maestro Holdings, Inc. (formerly STI Investments, Inc.), Philippine Life Financial Assurance Corporation, United Coconut Chemicals, Inc., Philippine Racing Club* and Leisure & Resorts World Corporation*. He is also the Executive Committee Chairman of STI Education Services Group, Inc. and Founding President of Global Resource for Outsourced Workers. His extensive corporate experience covers financial services, manufacturing, transportation and logistics, energy, property development, and ICT-enabled education and services. His professional associations include the Philippines-UAE Business Council, Philippines-Thailand Business Council, Philippines, Inc., and Philippine Chamber of Commerce and Industry. Mr. Tanco holds a Master of Science degree in Economics from the London School of Economics and Political Science. He finished his undergraduate studies at the Ateneo de Manila University.

ALEJANDRO T. YU**DIRECTOR**

Mr. Yu served as Director of the Exchange in 1997 to 1998 and resumed his term in 2004. Since then, he has been a member of the Audit Committee and Risk Oversight Committee of the PSE and Securities Clearing Corporation of the Philippines. Mr. Yu is the President and CEO of R.S. Lim & Company, Inc., one of the oldest brokerage houses in the Philippines, dating back to the original Makati Stock Exchange Inc. and a four-time awardee of the PSE Bell Awards for good corporate governance. Mr. Yu was the Treasurer of the PSE and SCCP from 2005 to 2008. He participated actively in various working committees of the Exchange including Trading and Arbitration, Computer and Membership. He has also been serving as Trustee of the PSE Foundation and the Securities Investors Protection Fund. He has been Chairman of the Annual PSE Golf Invitational Cup. A product of Xavier High School and De La Salle University, Mr. Yu graduated with a degree in Industrial Management Engineering, minor in Mechanical Engineering.

MA. VIVIAN YUCHENGCO**DIRECTOR**

Ms. Yuchengco has been a Director of the PSE within these periods - 1993, 1994, 1996, 1998, 2000, 2001 and 2004 up to the present. She served as PSE Chairman from 2002 to 2003. In 1989, she became the first ever woman to be elected as President of the Makati Stock Exchange. In 2000, serving as one of the Board of Trustees of the Securities Investors Protection Fund, she co-chaired the committee which worked towards the demutualization of the PSE. She is currently Chairperson of the Women Corporate Directors - Philippines Chapter (WCD) and The Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI). She also sits as member of the Corporate Governance Committee of the PSE. Ms. Yuchengco studied Economics from Newton College of Sacred Heart in Boston, Massachusetts. She has her own brokerage firm, The First Resources Management and Securities Corporation which she manages and has been in operation for over 35 years.

*publicly-listed company

ROBERT G. VERGARA

DIRECTOR

Mr. Vergara was PSE Director from October 2010 to October 2016. He was President and General Manager of the Government Service Insurance System (GSIS) from 2010 to 2016. In addition, he sits as Vice Chairman and Member of the Board of Directors of National Reinsurance Corporation of the Philippines*, and as Member of the Board of Directors of Philippine Health Insurance Corporation, Housing and Urban Development Coordinating Council and Philippine National Construction Corporation. Prior to his appointment to GSIS, Mr. Vergara was Managing Director and the Founding Partner of Cannizaro Limited (Hong Kong), a multi-strategy hedge fund manager organization investing in Asian markets. He was a Principal of Morgan Stanley Asia Ltd. from 1997 to 2001 where he set up and managed the firm's Asian proprietary trading activities. Immediately before that, Mr. Vergara worked at IFM Trading, a pioneering hedge fund based in the city of London that specialized in arbitrage and derivative trading strategies in global capital markets. He graduated from the Harvard Graduate School of Business Administration in Massachusetts, USA, and earned his Bachelor of Science degrees in Management Engineering and Mathematics, magna cum laude, from the Ateneo de Manila University.

AISSA V. ENCARNACION

CORPORATE SECRETARY

Ms. Encarnacion has been the Corporate Secretary of the Exchange and SCCP since February 2004 and a non-voting member of the Nominations and Elections Committee. She is a Partner of the Zamora Poblador Vasquez & Bretaña Law Offices. She is a professorial lecturer at the University of the Philippines, Cesar Virata School of Business. Before she assumed her present PSE post in February 2004, she was Assistant Corporate Secretary of PSE from 2000 to 2003 and Acting Corporate Secretary from 2003 to February 2004. She has also been the President of RadManila Communications, Inc. since 2006, member of the Board of Directors of various private companies, a member of the Trustees of Empowering Brilliant Minds Foundation, Inc. and acts as Corporate Secretary for various companies. Prior to joining her present law firm, she was a Senior Associate of the Bengzon Narciso Cudala Jimenez & Liwanag Law Offices. She received her Bachelor of Laws and Bachelor of Science in Business Administration degrees from the University of the Philippines.

OMELITA J. TIANGCO

TREASURER

Ms. Tiangco has been the Treasurer of the Exchange since May 2011. She was a Director of the Company from August 2006 to May 2011, and was a member of the Exchange's Corporate Governance and Audit Committees. She served as Executive Vice President and Chief Finance Officer of the Government Service Insurance System (GSIS) from September 2004 to February 2010. Prior to that, she held various positions in GSIS such as Senior Vice President - Fund Management Group, Senior Vice President - Internal Audit Group and Vice President and Controller. She likewise served as President of the GSIS Mutual Fund Inc., Director and Treasurer of GSIS Family Bank and Controller of GSIS Properties, Inc. Ms. Tiangco holds a Master's degree in Business Administration from the De La Salle University and a Bachelor of Science in Commerce degree from Arellano University. She is a Certified Public Accountant and is a fellow of the Institute of Corporate Directors.

*publicly-listed company

COMPOSITION OF THE BOARD

The Board of Directors is composed of **15 members** who shall be elected by the stockholders of the Exchange
(PSE Articles of Incorporation)

At least 51 percent of the members must be **non-brokers**: at least three independent directors, at least one director representing Issuers, at least one director representing Investors, at least one director representing Other Market Participants (Sec. 33.2(g), SRC)

Broker-directors shall not be more than 49 percent of the Board and shall proportionately represent the Exchange membership in terms of volume/ value of trade and paid up capital (Sec. 33.2(f), SRC)

GENERAL QUALIFICATION OF NON-BROKER & BROKER DIRECTORS

- He shall hold at least a college degree or have sufficient experience in managing a business to substitute for such formal education;
- He shall possess competency and understanding of financial markets;
- He shall be at least 21 years old;
- He shall possess integrity and probity;
- He shall be assiduous; and
- He must be a resident of the Philippines;
- An independent director shall have at least one share of stock of the corporation in his name.

BOARD COMMITTEES

Nominations and Elections Committee

The Nominations and Elections Committee (NOMELEC) is an independent committee created following the mandate of the PSE Manual on Corporate Governance and the Securities Regulation Code (SRC). Pursuant to the Company's By-Laws, the NOMELEC is composed of at least three members, one of whom must be an independent director. The Board of Directors has appointed two independent directors to the present NOMELEC, over and above minimum requirement provided by the SRC. The NOMELEC is tasked with formulating, screening and evaluating qualifications of directors, as well as those recommended for other positions requiring appointment by the Board of Directors.

MEMBERS:

1. **Dakila B. Fonacier - Chairman**
(Independent Director)
2. **Cornelio T. Peralta**
3. **Ramon S. Monzon** (Independent Director)
4. **Shirley Bangayan**
5. **Aissa V. Encarnacion** (Non-voting Member)
6. **Remy T. Tigulo** (Independent Member)

Audit Committee

The Audit Committee's roles and responsibilities are defined in the Audit Committee Charter approved by the Board of Directors. The Audit Committee provides assistance to the Board of Directors in fulfilling its oversight responsibility to the stockholders relating to:

- The Exchange's financial statements and the financial reporting process;
- The systems of internal controls and financial reporting controls;
- Internal audit activity;
- Enterprise risk management;
- The annual independent audit of the Exchange's financial statements; and
- Compliance with the relevant laws, rules and regulations.

MEMBERS:

1. **Ramon S. Monzon - Chairman**
(Independent Director)
2. **Anabelle L. Chua**
3. **Dakila B. Fonacier** (Independent Director)
4. **Amor C. Iliscupidez**
5. **Alejandro T. Yu**
6. **Eusebio H. Tanco**

Corporate Governance Committee

The PSE Board is fully committed to aligning the Exchange's corporate governance (CG) practices to internationally accepted standards. As such, it has designated the Corporate Governance Committee to provide guidance and assist the Board and Management on issues directly connected with:

- The Exchange's internal processes, work procedures, and performance;
- The performance of the President and his Management team;
- Compensation, benefits and incentives;
- Succession planning;
- The overall corporate governance of the Exchange; and
- Market governance.

MEMBERS:

1. **Jose T. Pardo - Chairman**
(Independent Director)
2. **Edgardo G. Lacson**
3. **Ma. Vivian Yuchengco**
4. **Amor C. Iliscupidez**
5. **Eusebio H. Tanco**
6. **Dakila B. Fonacier** (Independent Director)

Recognizing that genuine CG improvement can only be achieved through the partnership between the Board and Management, the Exchange created the Corporate Governance Office (CGO) to complement and support the Committee. The CGO is primarily tasked to direct and manage the fundamental functions of corporate governance, enterprise risk management, regulatory compliance, trading participant relations and responsible business practice in the Exchange. The CGO also supports the Exchange's role in raising corporate governance standards in the Philippine market through various market initiatives, many in partnership with regulators, corporate governance advocates and other stakeholders.

Risk Oversight Committee

MEMBERS:

1. Eddie T. Gobing - Chairman
2. Emmanuel O. Bautista
3. Dakila B. Fonacier *(Independent Director)*
4. Amor C. Iliscupidez
5. Ramon S. Monzon *(Independent Director)*
6. Alejandro T. Yu

Capital Markets Development Committee

MEMBERS:

1. Hans B. Sicat - Chairman
2. Jose T. Pardo
3. Anabelle L. Chua
4. Robert G. Vergara*
5. Emmanuel O. Bautista
6. Ma. Vivian Yuchengco
7. Lorenzo Andres T. Roxas
8. Eduardo Francisco
9. Eusebio H. Tanco

Investments Committee

MEMBERS:

1. Omelita J. Tiangco - Chairman
2. Amor C. Iliscupidez
3. Alejandro T. Yu
4. Edgardo G. Lacson
5. Robert G. Vergara*
6. Wilson L. Sy

PSE BOARD OF DIRECTORS MEETING ATTENDANCE 2016

Name of Director	Organizational Board Meeting Attendance May 7, 2016	Board Meeting Attendance Present		Total Number of Board Meetings Attended
		JAN 13, 2016 TO APR 27, 2016	MAY 7, 2016 TO DEC 14, 2016	
Jose T. Pardo - Chairman	Present	6	15	21/22
Hans B. Sicat - President & CEO	Present	6	15	21/22
Emmanuel O. Bautista	Present	5	14	19/22
Anabelle L. Chua	Present	6	14	20/22
David O. Chua (January to April 2016)	N/A	6	-	6/6
Francis Chua	Present	6	14	20/22
Dakila B. Fonacier	Present	5	8	13/22
Eddie T. Gobing	Present	6	16	22/22
Amor C. Iliscupidez	Present	6	16	22/22
Edgardo G. Lacson	Present	6	12	18/22
Ramon S. Monzon	Present	6	15	21/22
Wilson L. Sy (May to December 2016)	Absent	-	11	11/16
Eusebio H. Tanco	Present	6	16	22/22
Robert G. Vergara	Present	6	11	17/19
Alejandro T. Yu	Present	6	16	22/22
Ma. Vivian Yuchengco	Present	6	15	21/22

Compensation of the Board

The Chairman receives a per diem of P310,000.00 (net of applicable taxes) a month, while all the other directors receive a per diem of P50,000.00 (net of applicable taxes) for each board meeting attended. The Corporate Secretary receives a per diem of P10,000.00 (net of applicable taxes) for each meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full time employee, receives a fixed monthly salary.

In 2016, the directors as a group received a total aggregate per diem of P21,435,621.10.

In 2015, the directors as a group received a total aggregate per diem of P25,613,398.91.

Compensation of Executive Officers

SUMMARY OF ANNUAL COMPENSATION FOR 2016

NAME AND POSITION	SALARY	BONUS	COMPENSATION (PER DIEM)	TOTAL
CEO and Four (4) most highly compensated officers	Php 27,720,841.09	Php 4,458,004.00	Php0.00	Php 32,178,845.09
Aggregate for all other officers	Php 10,127,026.74	Php 1,627,675.00	Php0.00	Php 11,754,701.74
All other officers & directors as a group unnamed	●	●	●	●
Total	Php 37,847,867.83	Php 6,085,679.00	Php0.00	Php 43,933,546.83

*no longer a member effective Oct 19, 2016

CORPORATE GOVERNANCE POLICIES

Honest and Ethical Conduct

The PSE expects all employees to act with the highest standards of honesty and ethical conduct while working on Exchange premises, at offsite locations where Exchange business is being conducted, at Exchange-sponsored business and social events, or at any other place where the employees are representing the Exchange.

Compliance with Laws, Rules and Regulations

As a publicly-listed company, the Exchange is subject to numerous laws and regulations, including its own Listing and Disclosure Rules. Obeying the law, both in letter and in spirit, is the foundation on which this Company's ethical standards are built. All employees and officers must respect, obey and comply with the laws, rules and regulations applicable to the PSE's business.

Bribes and Kickbacks

Exchange employees are prohibited from offering, giving, soliciting or accepting bribes or kickbacks. A bribe is defined as a thing of value given to someone with the intent of obtaining favorable treatment from the recipient. Kickbacks consist of payment in cash or in kind, including goods, services, the use of another company's property, or for giving any sort of obligation provided to a customer or supplier for the purpose of improperly obtaining or rewarding favorable treatment in connection with a transaction. Bribes and kickbacks may not be offered either directly or through a third party in order to obligate the recipient to return the favor.

Fair and Free Markets

The Exchange is committed to promoting free and competitive markets. The Exchange will not tolerate any attempt by any of its employees or representatives to manipulate or tamper with the markets or the prices of securities or other financial instruments.

The Exchange's goal is to ensure candor and honesty in all its dealings, including those with business partners, regulators, other stakeholders and the public.

Conflict of Interest

A "conflict of interest" exists when a person's private interest interferes - or even appears to interfere in any way - with the interests of the Company. A conflict situation can arise when an employee or officer takes actions or has interests that may make it difficult to perform his or her Company work objectively and effectively. Conflicts of interest may also arise when an employee or officer, or a member of his or her family (up to the 2nd degree of consanguinity and 1st degree of affinity) receives improper personal benefits as a result of his or her position in the Company.

The PSE has an obligation to the marketplace and to its shareholders to make sound business decisions that are not influenced by the personal interests of its employees. This means that PSE employees are expected to act in the interest of the Exchange, without favor or preference based on possible direct or indirect personal gain. Employees must avoid and, if needed, remove themselves from relationships and activities that may lead to a conflict of interest or the appearance of a conflict of interest.

Personal Trading and Insider Information

Employees of the Exchange are prohibited from buying or selling securities listed on the Exchange, whether for their own account or for the account of another. An exception is trading PSE shares under an approved Employee Stock Purchase Plan and subject to the proper disclosure to the Securities & Exchange Commission. Subscribing to initial public offerings (IPO) from listed companies or underwriters is likewise prohibited. These prohibitions, besides being imposed by Exchange rules, are to avoid actual or potential conflicts of interest, or the perception of conflict of interest, arising from the possession by Exchange employees of insider information resulting from their work in the Exchange. Employees may at some time have access to information related to the company or to other issuers that is not known to the general public. All non-public information about the Company or other issuers should be considered confidential information and should not generally be disclosed to third parties (including family members) or used for any direct or indirect personal benefit unless or until such information is disclosed to the public.

Employees and officers who have access to confidential information about the Company or any other entity are not permitted to use or share that information for trading purposes in the Company's or the other entity's securities or for any other purpose except the conduct of the Company's business. To use non-public information for personal financial benefit or to "tip" others who might make an investment decision on the basis of this information is not only unethical but also illegal.

Gift, Meal and Entertainment Policy

The purpose of gifts and business entertainment in a commercial setting is to create goodwill and sound working relationships, not to give or gain unfair advantage to or from third parties. These third parties may include, but not be limited to, existing or potential vendors, suppliers, service providers and business partners, regulators, as well as the Exchange's regulated entities such as listed companies, trading participants and listing applicants.

Employees or any of their family members up to the second degree of consanguinity and first degree of affinity have an obligation not to solicit, accept, offer or provide any entertainment, meals or gifts that are not appropriate or could be perceived as an improper attempt to influence business. They may only accept gifts which can be considered token gifts or corporate giveaways and other related circumstances.

Corporate Opportunities

Employees and officers are prohibited from taking for themselves opportunities that arise or are discovered in the course of their employment at the Exchange or through the use of corporate property, information or position without the consent of the President and CEO. No employee or officer may use corporate property, information, or position for personal gain, and no employee or officer may compete with the Company directly or indirectly. Employees and officers owe a duty to the Company to advance its legitimate interests when the opportunity to do so arises.

A non-cash gift given in consideration of an employee's lecture, speaking engagement, participation in a forum and the like sponsored or arranged by an outside organization shall be governed by the Exchange's gift policy. This policy on honoraria and fees does not apply to an employee's private or personal speaking engagements not endorsed by the Exchange provided that such activities do not conflict with the interests of the Exchange.

Outside Employment and Directorships

An employee may not accept outside employment or directly or indirectly conduct outside business that interferes with the proper performance of his or her job at the Exchange, is conducted during his or her normal working hours, utilizes confidential information and other assets of the Exchange (including proprietary assets) or specialized skills and knowledge gained as an employee of the Exchange, competes with the Exchange or otherwise conflicts with the interests of the Exchange. This includes becoming a contractor, consultant or supplier to the Exchange while being employed at the Exchange. Outside consultancies are prohibited outright.

All officers and employees of the Exchange must disclose any and all outside employment or business activity Employee Services Department, for which approval by the Corporate Governance Committee upon endorsement by the President and CEO should be obtained. Outside employment or business activity may be disapproved anytime if it is determined that it would conflict with the interests of the Exchange.

Related-Party Business Dealings

An employee must disclose to the Corporate Governance Office any business relationship or proposed business transaction that the Company may have with any company in which he or she or a related party (spouse, children, siblings, parents) has a direct or indirect interest (employment, directorship, controlling ownership) or from which he or a related party may derive a benefit, if such a relationship or transaction might give rise to a conflict of interest or the appearance of a conflict of interest (for example, if the employee or a family member owns or controls property of significant value that the Company is either purchasing or leasing).

Anti-Fraud Policy

Employees have a responsibility to identify and ensure that situations involving fraud do not occur. Fraud is the intentional misrepresentation or concealment of a material fact for the purpose of procuring an unjust or unlawful benefit.

Fraud encompasses all forms of theft, including intellectual property, identity theft and manipulation or misuse of Company information or assets. Employees are encouraged to report suspected fraud through the proper channels. Retaliation for reporting, in good faith, a violation is prohibited and will itself result in disciplinary action.

Raising Ethical Issues

If an employee encounters an unethical situation or faces an issue where he or she has concerns or is not sure what to do, he or she must think the situation through and ask the following questions until the employee is confident that he or she is doing the appropriate thing:

- What specifically am I being asked to do?
- Is it consistent with the Company Code, applicable policies and laws?
- Does it feel like the right thing to do, or does it look or feel unethical or improper?
- What might be the consequences of my action or inaction?

Further guidance may be sought by the employee from his Department or Division Head or the Corporate Governance Office.

EXECUTIVE OFFICERS



01 HANS B. SICAT

President and Chief Executive Officer

Refer to profile on page 10

02 ROEL A. REFRAN

Chief Operating Officer

Atty. Roel Arco Refran, 43 years old, is Senior Vice President and Chief Operating Officer of the Exchange since June 2012. He started as General Counsel of the Exchange in 2005 and was appointed to concurrently head the Issuer Regulation Division in 2010. He was also the Compliance Officer of the Exchange and Securities Clearing Corporation of the Philippines from 2005 to 2010. He was an associate at SyCip Salazar Hernandez & Gatmaitan from 1999 to 2001 and at the Angara Abello Concepcion Regala & Cruz in 2004. He also served as chief of staff of Senator Ralph G. Recto from 2001 to 2004. Atty. Refran serves as Chairman of the Philippine Chamber of Commerce and Industry (PCCI) Capital Markets Development Committee and Chairman and President of Philippine Fulbright Scholars Association. Atty. Refran earned his degree in Bachelor of Science in Business Administration and Accountancy (BSBAA), Magna Cum Laude from University of the Philippines and obtained his Juris Doctor degree, Second Honors, from Ateneo de Manila University School of Law. He ranked in the top 20 in the May 1995 CPA licensure exams and placed fourth in the 1999 bar examinations. He obtained his MBA degree, with specialization in capital markets and finance, from Emory University (USA) under a Fulbright Scholarship. He is a member of Philippine Institute of Certified Public Accountants and Integrated Bar of the Philippines. Atty. Refran is Professor of Law at the Ateneo de Manila University Law School and a Professorial Lecturer 1 at the University of the Philippines' Virata School of Business (UP VSB).

03 MARY CATHERINE LYDET SOLIMAN-RADAZA

Assistant Vice President and Head of the Human Resources and Administration Division

Ms. Radaza, 39 years old, is the Head of PSE's Human Resources and Administration Division (HRAD). She joined the Exchange in October 2014 as Trading Participant Section (TPRS) Head with the rank of Senior Manager under the Corporate Governance Office (CGO). Ms. Soliman-Radaza's professional experience in governance (public and private), program management and human resources spans almost 20 years in Philippines and Australia. Prior to joining the Exchange, she worked in Australia handling the Corporate, Human Resources and Administration Services for an Australian Company with offices in New South Wales, Queensland and Western Australia. She obtained Australian qualifications on HR Management and Corporate Governance in Sydney and was an affiliate of the Australian Human Resources Institute (AHRI). Ms. Radaza obtained a Master's Degree in Management major in Development Management from the University of the Philippines Los Baños where she also earned her Bachelor of Science in Economics.

04 RACHELLE C. BLANCH

Vice President and Head of Market Operations Division

Ms. Blanch, 41, is Vice President and Head of the Market Operations Division of the Company since July 2008. She was promoted to the rank of Assistant Vice President in 2008 and to Vice President in April 2011. She was the Head of the Applications Development Department of the former Information Technology Division before the Market Operations Division was created in 2008. Prior to joining the Exchange in 1997, Ms. Blanch was Project Implementor at the Computer Information System. She has been with the Exchange for 19 years. She earned her ITIL 2011 Foundation Certification in 2015. Ms. Blanch finished her Master's Degree in Business Administration

at the Graduate School of Business, De La Salle University. She graduated from the University of the Philippines with a Bachelor of Science Degree in Mathematics.

05 JOHN BENETTE B. MAMAÑGUN

Assistant Vice President and Head of Corporate Planning and Investor Relations Division, Officer-in-Charge of the Capital Markets Development Division

Mr. Mamañgun, 39 years old, is the Assistant Vice President and Head of the Corporate Planning & Investor Relations Division and is the Philippine Stock Exchange's Investor Relations Officer. He is involved in strategy formulation, product and business development as well as corporate communications and capital markets awareness and education of the Exchange. He has worked for the Exchange for close to a decade where he also served as head of Corporate Planning and Research prior to his current position. Before joining the Exchange, he was part of the team that set up the Senate Economic Planning Office of the Senate of the Philippines where he headed its Microeconomics Group. He also served in various consulting capacities for the capital markets group of the USAID - Accelerating Growth Investments Liberalization with Equity and the policy and planning group of the Philippine Department of Agriculture. Mr. Mamañgun has a Master's Degree in Economics from the Ateneo de Manila University where he also acquired his Bachelor of Arts in Philosophy degree.

06 ATTY. VERONICA VICEDO-DEL ROSARIO

Assistant Vice President and General Counsel

Atty. Del Rosario, 35 years old, is Assistant Vice President and General Counsel effective May 2016. She joined the Exchange in September 2010 as Legal Officer and later on appointed as the OIC of the Office of the General Counsel in 2015. Prior to joining the Exchange, she was the Head of the Legal Department and the Division Manager of the Administrative & General Services Department at



the Aurora Special Economic Zone Authority. She served as Virtual Lawyer at Jones & Associates, New York. She also held positions such as Associate Lawyer at Mendoza Orozco & Bueno Law Offices in Olongapo City and as Junior Associate Lawyer at Ocampo & Manalo Law Firm in Makati City. Atty. Del Rosario earned her Bachelor of Laws and Bachelor of Science in Business Economics degrees at the University of the Philippines. She is a member of the Philippine Bar and New York Bar.

07 PHILIP A. DRIZ

Assistant Vice President and Head of Technology Division

Mr. Driz, 48 years old, is Assistant Vice President and Head of PSE's Technology Division. He has more than two decades of experience in Project Management, Application Development, Infrastructure Management, Information Security, IT Risk Management, IT Helpdesk, Data Center Operation and Vendor Management. Prior to joining the Exchange in October 2015, Mr. Driz was a Senior Manager at Accenture where he held various positions including Technology Service Delivery Head for Asia Pacific. He also served as Assistant Vice President of the Information Management Division at RCBC Savings Bank. He held various executive positions such as Chief Information Technology Officer at Fiji National Provident Fund, and Senior Assistant Vice President - Infrastructure Management Group at Philippine National Bank, among others. He graduated from the Manuel L. Quezon University with a Bachelor of Science Degree in Computer Science.

08 ELISA L. BENAVIDEZ

Officer-in-Charge, Controllershship & Treasury Division and Concurrent Head, Budget & Treasury Department

Ms. Benavidez, 55, a certified public accountant, has been with the Exchange for 14 years. Before joining the PSE in January 2003 as Head of Treasury Department, she was Vice President

for the Resource Management Group and Controllershship Group of Small Business Guarantee and Finance Corporation. She also worked at the Guarantee Fund for Small and Medium Enterprises as Manager of Controllershship Department. Ms. Benavidez graduated from the University of the East with a Bachelor of Science degree in Business Administration.

09 JINKY A. ALORA

Assistant Vice President and Head of Internal Audit Group

Ms. Alora, 48, has been Head of the Internal Audit Group since May 2012. Prior to this appointment, she was Head of the Trading Participants Regulation Department and was designated as the Officer-In-Charge of the Market Regulation Division from October 2009 until the creation of CMIC in 2012. Before she joined the Exchange in 1995, Ms. Alora was the Accounting Manager of USA Laboratories and was a Senior Auditor at Joaquin Cunanan Price Waterhouse Coopers. She has been with the Exchange for more than 20 years. She graduated Magna Cum Laude with a Bachelor of Science Degree in Commerce Major in Accounting from the University of Perpetual Help of Laguna. Ms. Alora is a Certified Public Accountant and earned her Master's degree in Business Administration from the Pamantasan ng Lungsod ng Maynila.

10 MARSHA M. RESURRECCION

Assistant Vice President and Head of the Issuer Regulation Division

Ms. Resurreccion, 41 years old, is Assistant Vice President and Head of the Issuer Regulation Division since April 2011. She was hired as a Listings Specialist in July 2002. She was promoted to Sr. Listings Specialist with the rank of Supervisor in September 2004. By March 2006, she was made Assistant Manager and a year later she became a full-fledged Manager. In July 2008, Ms. Resurreccion was promoted to Senior Manager and Head of the Listings Department. Prior to joining the Exchange,

Ms. Resurreccion was an Officer Development Program Trainee at Solidbank Corporation where she also held the position of Regional Marketing Officer for Mindanao and Account Assistant of its Branch Lending Division. She was also Marketing Consultant and Compliance Officer/ Branch Cashier at South Bank, Inc. in Cagayan de Oro City. She has been with the Exchange for 14 years. Ms. Resurreccion has a Bachelor of Science in Business Management degree from the Ateneo de Manila University, graduating with Honorable Mention.

11 J. ARGEL G. ASTUDILLO

Vice President for Governance, Risk and Compliance and Head of the Corporate Governance Office

Mr. Astudillo, 58, is the Vice President for Governance, Risk and Compliance. As such, he heads the Corporate Governance Office and serves as the Compliance Officer and Chief Risk Officer of the Exchange. Mr. Astudillo is also the Compliance Officer of PSE subsidiaries Securities Clearing Corporation of the Philippines (SCCP) and the Capital Markets Integrity Corporation (CMIC). He lectures on corporate governance and code of conduct in the PSE Certified Securities Specialist Course in various partner schools. Mr. Astudillo joined the Exchange in December 2010. Prior to that, Mr. Astudillo was a Risk Management Consultant of the Board of Trustees of the Government Service Insurance System from August 2008 to June 2010. He was also a Citibanker for 22 years, holding various senior roles in internal audit, risk management, financial market operations and compliance, the last of which was Retail Branch Banking Compliance and Control Head from February 2005 to August 2007. He started his banking career as a corporate finance analyst at a major development finance and merchant banking institution in the Philippines. Mr. Astudillo earned his Bachelor of Science degree in Business Administration from the University of the Philippines and his Master of Business Administration from Case Western Reserve University in the United States.

DEPARTMENT HEADS



JO ANN G. BAUTISTA Head, Administrative Services Department **JOSE ANTONIO S. VILAR** Head, Marketing Services Department & OIC, Market Education Department **JOSIELYN S. ARELLANO** Head, Materials Management & Procurement Services Department **ZALDY RONIE P. ROCERO** Head, Network & Telecommunications Department



ADONIS H. GILDORE Head, Systems & Database Department **SHERYL J. LOPEZ** Head, Broker Systems Support & Certification Department
JANET A. ENCARNACION Officer-in-Charge, Listings Department **LIANNE MARIE GERVASIO - DE LA PAZ** Deputy General Counsel
JOSE VALERIANO B. ZUNO, III Officer-in-Charge, Disclosure Department



RIENA JO C. ERESMAS* Head, Employee Services Department **MARTHA H. VINZONS** Head, Public & Investor Relations Department
MARK FREDERICK V. VISDA Head, Corporate Planning & Research Department **JESSIELYN A. ESCOBAL** Head, Market Data Business Department
MARVIN M. REFUERZO Head, Trading Operations Department



ADEL Q. MARFA** Head, Applications Development & Quality Assurance Department **ROEL M. VILLANUEVA** Head, Market Control Department
SHERYL V. PERILLO Head, Trading Development Department **ELIZA S. RODRIGUEZ** Head, Accounting Department

*Resigned effective February 2017.

**Resigned effective April 2017.



THE PHILIPPINE STOCK EXCHANGE

PSEi

Philippine Stock Exchange Index

8,102.30



+6.73
(0.09%)

Total Trades
Total Value
Total Volume

33,631
2,931,602,919
103,328,530



T/VOL
187,810
1,490K
910,000
11,403K
24,785
265,600
146,035
21,900
16,000

1,472K
1,159K
2,783K
263,300
30,820K
5,760K
217,300
1,223K
71,900
52,250K
1,270K
128,000

7,161K
19,900
1,556K
0.300K

£
GBP

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\$ 1.412700
P 65.2554

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STOCK MARKET PERFORMANCE AND HIGHLIGHTS

The year 2016 was characterized by a spate of stunning developments in different corners of the world – ones that highlighted a changing global landscape which challenged conventional behaviors and wisdoms on international trade and economics. These major global developments casted a heavy pall of uncertainty on developed and emerging markets alike, but the local stock market stood steady, as it tried to ride out the persistent volatility.

The benchmark PSEi fell slightly for the second consecutive year but the domestic economy's growth path remained unperturbed as it rose to a three-year high, with listed companies generally reflecting this uptrend by also continuing to turn in robust profits.

The Philippine stock market took a bumpy ride in the early part of the year, dropping to its lowest level of 6,084.28 points on January 21 when China announced that its economy grew at its slowest pace in 2015 after a prolonged period of impressive growth.

Volatility continued as the People's Bank of China (PBoC) enacted a series of yuan devaluations. But while these were less surprising than the currency fix made in 2015, it still sent global markets tumbling on fears of a currency war, and more importantly, on concerns over the slowing growth in the world's second largest economy.

Unrest lingered in the succeeding months but respite came in May, as the promise of change brought Davao City Mayor Rodrigo Roa Duterte into power in the Philippine elections held during the month. His victory came with a firebrand leadership that the country has not seen before. The peaceful and orderly conduct of elections provided enough fuel for investor sentiment to drive the PSEi higher and register a one-day gain of 183.01 points or 2.6 percent to finish at 7,174.88 points on May 10.

A month later, the main index's ascent was stalled on news that a majority of British citizens voted for the United Kingdom (UK) to opt out of the European Union in what was one of the biggest expressions against globalization in recent memory.

The decision, which was largely reinforced by rising populism amidst a prevalent migrant crisis in Europe, elicited a negative response from the foreign exchange market with the value of the sterling pound plunging to its lowest level in 31 years. The UK itself was foreseen to primarily bear the economic costs of the decision. But given the underlying economic principles that were challenged by the Brexit vote, many were not discounting the possibility of some other markets adopting the same views.

In reaction to the outcome of the referendum, the PSEi suffered a significant blow as it lost 100.06 points or 1.3 percent to close at 7,629.72 points on June 24. But fortunately, these losses were immediately recovered after two trading days when the index closed higher by 131.84 points or 1.7 percent to 7,798.53 points on June 29, a day before the new Philippine president took office.

As the new administration was ushered in, the promise of both continuity and change underpinned the ubiquitous investor optimism which powered the PSEi to its highest level for the year of 8,102.30 points on July 21, just short of the all-time high of 8,127.48 points achieved on April 10, 2015.

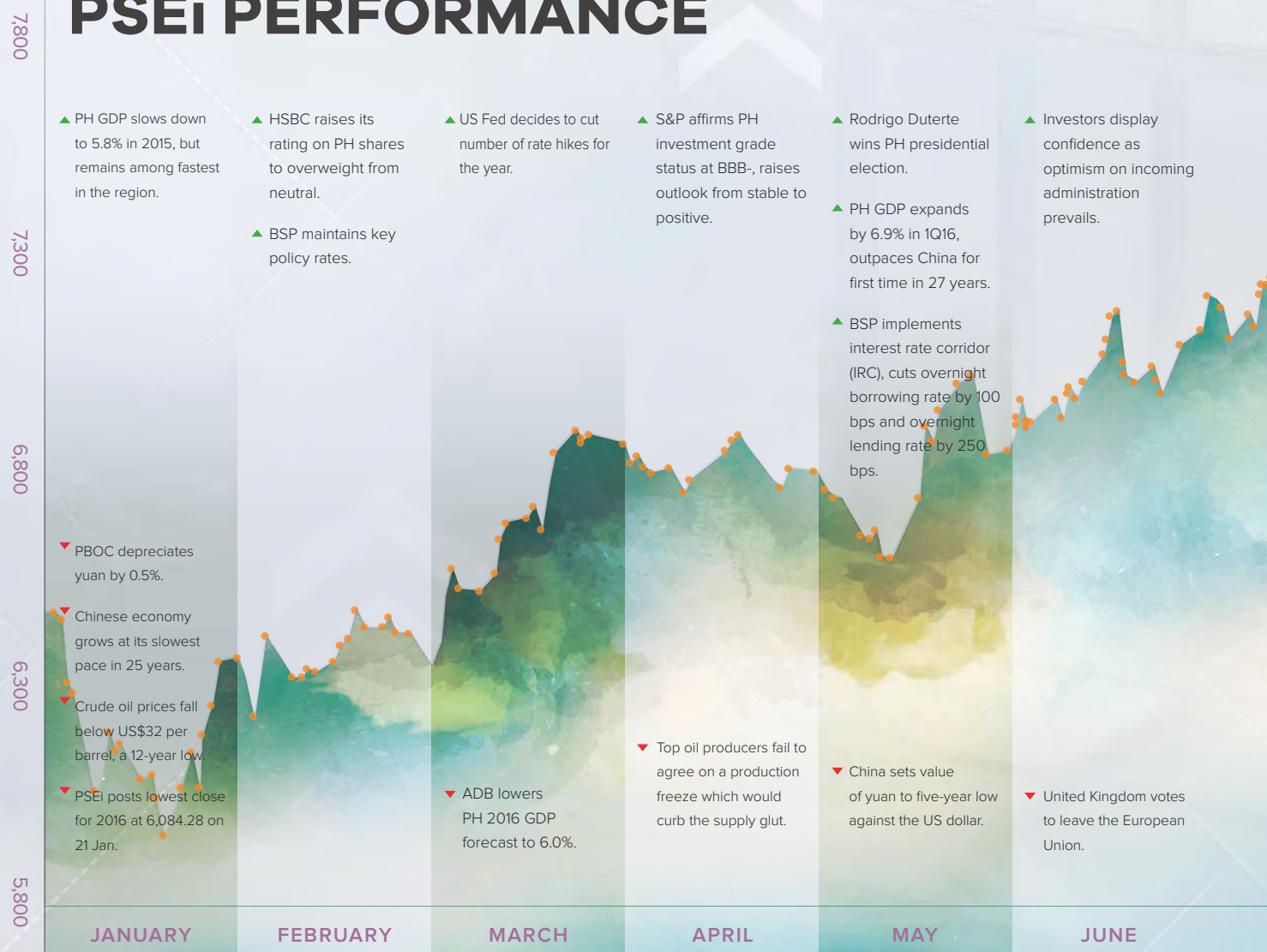
President Duterte and his team laid out an agenda that would generally allow for continuity on the previous administration's macroeconomic policies that have supported the prior years' GDP growth. The same agenda also proposed reforms in tax collection, relaxation of foreign ownership limits, and infrastructure development, which all can potentially affect the capital market positively and spur more investments in the country. In the same month, the Philippines also won the arbitration case it filed against China over the West Philippine Sea, keeping the market sentiment upbeat.

But once again, the local market's positive run was cut short, this time as Japan's economy continued to struggle with deflationary pressures and an aging population which have been subduing its growth for years. The Japanese government and the Bank of Japan had undertaken conscious efforts to curb the slowdown by way of monetary easing, although the stimulus package announced fell short of the degree of audacity expected by investors, thus causing markets to take a slight dip.

While the Japanese central bank sat on the dovish end of the spectrum, its US counterpart remained hawkish and began strongly hinting at a rate hike in August which resulted in a substantial outflow of foreign funds back to the US and roused jitters in emerging markets including the Philippines. The stock market suffered 22 consecutive days of net foreign selling, resulting in the flight of P25.16 billion worth of funds from the market during this stretch which marked the start of a difficult second half of the year.

The local equities market continued its retreat in September and October as the new government commenced the audit of mining firms, leaving industry stakeholders shaken and skeptical of policy consistency and implementation. Moreover, investors grappled with the prospect of a US rate hike and the threat of rising protectionist trends. However, the market experienced a brief respite as OPEC countries agreed to cut oil production for the first time in eight years to boost oil prices.

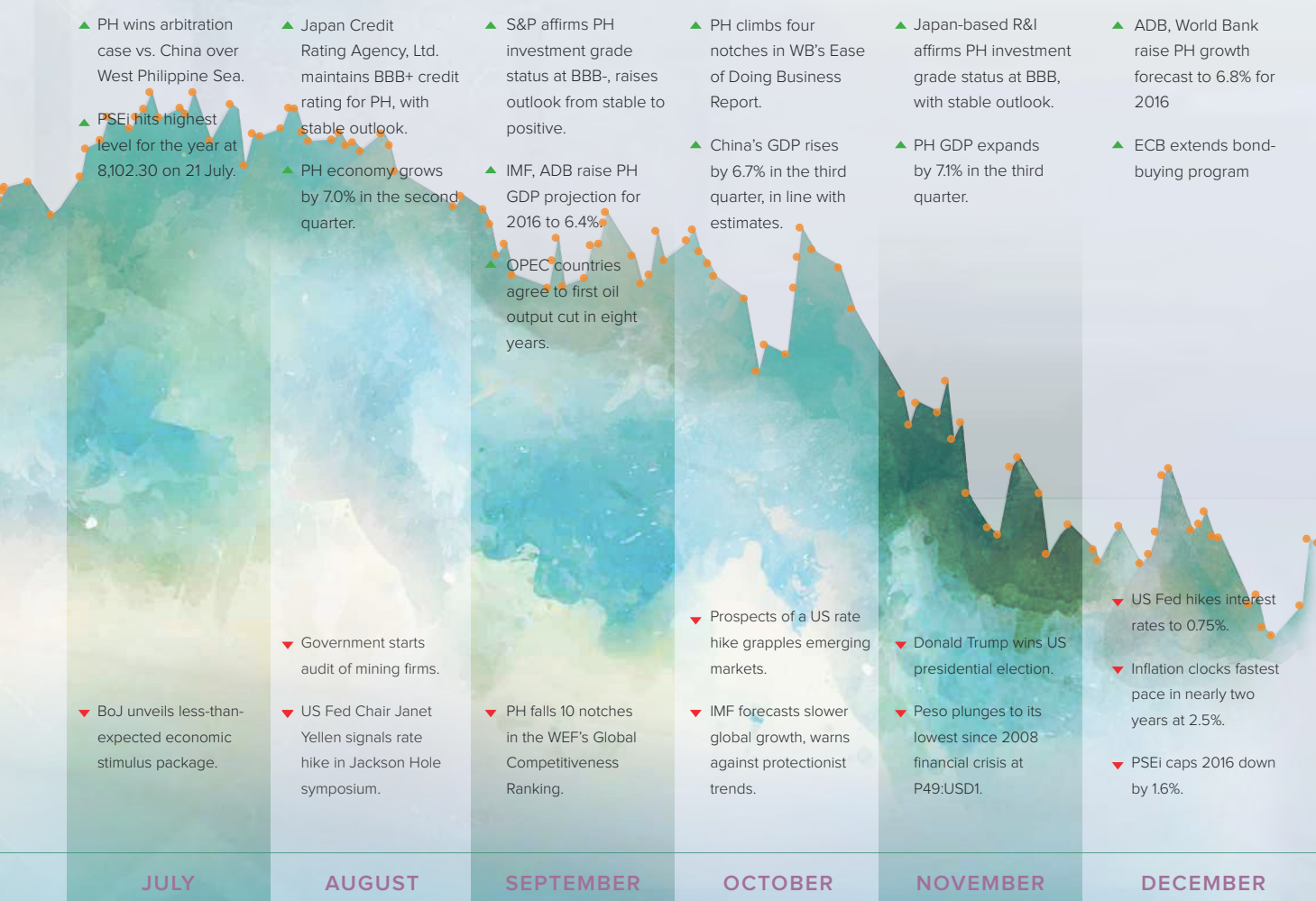
PSEi PERFORMANCE



PSEi VS SELECT ASIAN INDICES, 2015 VS. 2016

RANK	COUNTRY	INDEX	END-2015	END-2016	YTD CHANGE
1	Thailand	SET Index	1,288.02	1,542.94	▲ 19.8%
2	Indonesia	Jakarta Composite Index	4,593.01	5,296.71	▲ 15.3%
3	Vietnam	VN Index	579.03	664.87	▲ 14.8%
4	Taiwan	Taiwan TaieX Index	8,338.06	9,253.50	▲ 11.0%
5	South Korea	KOSPI Index	1,961.31	2,026.46	▲ 3.3%
6	India	NSE Nifty	7,946.35	8,185.80	▲ 3.0%
7	India	BSE Sensex	26,117.54	26,626.46	▲ 1.9%
8	Japan	Nikkei 225	19,033.71	19,114.37	▲ 0.4%
9	Hong Kong	Hang Seng Index	21,914.40	22,000.56	▲ 0.4%
10	Singapore	Straits Times Index	2,882.73	2,880.76	▼ -0.1%
11	Philippines	PSEi	6,952.08	6,840.64	▼ -1.6%
12	Japan	Topix Index	1,547.30	1,518.61	▼ -1.9%
13	Malaysia	Kuala Lumpur Composite Index	1,692.51	1,641.73	▼ -3.0%
14	China	China SE Shanghai Composite Index	3,539.18	3,103.64	▼ -12.3%
15	China	China SE Shenzhen Composite Index	2,308.91	1,969.11	▼ -14.7%

FIGURE 02





Come November, the popular stance on immigration issues observed in the UK also worked in favor of Donald Trump who won the electoral college in the 2016 US presidential elections, a result that was not expected as Democrat candidate Hillary Clinton led many pre-election polls.

From his campaign to present, President Trump has echoed a protectionist rhetoric that is hinged on a conservative stance to open borders on social and economic fronts, and stressed creating and protecting wealth in America for Americans.

Trump's surprise victory saw the benchmark PSEi fall by 2.6 percent or 188.76 points on November 9 and the peso plummet to its first Php49:USD1 exchange rate level in seven years within a week of his election. Both developments became harbingers of continued capital flight following the actions of the US Federal Reserve (US Fed) which eventually raised interest rates by 25 basis points (bps) in December. This was taken as a signal for a faster pace of key rate increases in 2017 on the back of President Trump's proposed stimulus plan that included tax cuts, deregulation, and higher infrastructure spending.

These developments during the year, in-country and abroad, proved to be a difficult test for the local stock market. The PSEi ended the year at 6,840.64 points, down by 1.6 percent or 111.44 points from its 2015 close of 6,952.08 points. This marked the second year in a row that the benchmark index finished in the red after an unprecedented run of six consecutive years of growth. The PSEi was also the second worst performer among ASEAN indices, only besting the Kuala Lumpur Composite index which reported a 3.0 percent loss for the year.

Other market indicators capped the year mixed. While the bellwether index stumbled, four out of six sector indices registered year-on-year gains, led by the Mining & Oil index which managed to recover from the beating it took from the mining audit to end the year with a 13.7 percent growth. The Financials, Holding Firms, and Property indices followed with gains of 6.8 percent, 5.9 percent, and 5.2 percent, respectively. On the other hand, the Services and Industrial indices declined by 14.9 percent and 3.5 percent in 2016, respectively. The broader All Shares index meanwhile grew by 4.1 percent or 165.60 points to finish the year at 4,156.07 points.

Total value turnover went down by 10.3 percent to P1.93 trillion at the end-of 2016 from P2.15 trillion the previous year. On a daily basis, the average value turnover amounted to P7.81 billion, down by 12.9 percent

from P8.96 billion in 2015. In contrast, the market value of shares listed on the PSE ended 2016 higher than their year-ago levels. Total market capitalization (MCAP) soared by 7.2 percent to P14.44 trillion from P13.47 trillion in 2015, while domestic MCAP grew to P11.87 trillion, an increase of 6.1 percent from P11.19 trillion the previous year.

Despite the significant outflow of foreign investments during the latter half of 2016, foreign transactions in the market still enjoyed a positive finish as net foreign trades moved into buying territory in the amount of P2.80 billion, a turnaround from the P59.76 billion net selling figure recorded the prior year. Foreign transactions cornered 51.3 percent of the total market trades in 2016, higher than the 47.9 percent share it had the previous year.

The performance of the currency and commodities markets also varied. The peso struggled to weather volatility as it fell to levels not seen since 2009. The local currency plunged to a low of P49.99 per US dollar on December 20, before settling at year-end to P49.72 per US dollar or a 5.7 percent loss from the previous year's close of P47.06 per US dollar.

Commodities trading, although not spared from price fluctuations brought about by global developments, fared better. Crude oil prices hit a fresh 12-year low in the first quarter of the year at US\$26.21 per barrel at the New York Mercantile Exchange (NYMEX), amid tensions between Saudi Arabia and Iran. Oil producers eventually reached an output cut agreement in September and propelled oil prices to above US\$50 per barrel. The value of NYMEX crude reached a high of US\$54.06 per barrel on December 28, and ended the year with a 45.0 percent gain to finish at US\$53.72 per barrel from US\$37.04 per barrel the previous year.

Gold trades on the US Commodity Exchange were likewise volatile throughout the year. The price of gold hit its lowest in January at US\$1,073.60 per ounce before embarking on an uptrend. The precious metal peaked at a price of US\$1,367.10 per ounce on July 6 on the back of investors scurrying to gold as a safe haven as US Fed policy stance remained unclear and post-Brexit concerns lingered. However, as the US dollar began to strengthen, the price of gold dropped to US\$1,151.70 per ounce, still higher than its closing price of US\$1,060.20 per ounce in 2015.

Listed companies also displayed more resilience in the face of external adversities. The aggregate net income of listed companies expanded by 21.7 percent in the first three quarters of 2016 to P537.95 billion from P442.13 billion in the comparable period the previous year. The increase



in overall earnings performance of listed companies was primarily brought about by strong performances across key business segments, and was a reflection of the sound domestic fundamentals which has kept the economy in a position of strength.

The Philippine economy grew by 6.9 percent in 2016, faster than the 5.9 percent growth recorded in 2015 and a three-year high that was at the high-end of the government's 6.0 to 7.0 percent target band. The full-year GDP figure allowed the Philippines to surpass the growth of the Chinese economy for the first time in 27 years, and was bested only by India within the Asia-Pacific region. This also marked 72 consecutive quarters of growth since 1997, with the last 20 quarters registering GDP growth of at least 5.0 percent.

The stellar performance of the economy was a testament to its resilience. It stood strong even as external and internal headwinds struck the country due in large part to strong domestic demand, steady inflows of remittances, election-related and increased government spending, as well as stable inflation and reasonably low interest rates. Inflation remained subdued in the last few years and continued to do so, with headline inflation averaging 1.8 percent by yearend. Similarly, core inflation continued to ease to an average of 1.9 percent in 2016, slower than the 2015 average of 2.1 percent.

Monetary policy actions at the local front continued to be pro-active in responding to changes in the global and domestic environment. The Bangko Sentral ng Pilipinas adopted an interest rate corridor framework in June, a system aimed to limit volatility by guiding short-term market interest rates towards the central bank's rates. Along with the shift came changes to the overnight lending or repurchase rate which was cut by 250 bps to 3.5 percent from 6.0 percent, while the overnight borrowing or reverse repurchase rate was cut by 100 bps to 3.0 percent from 4.0 percent. The rates for special deposit accounts and reserve requirement ratios were left unchanged.

The sustained inflow of foreign investments demonstrated the viability of the Philippines as an investment destination. Foreign direct investments into the country grew to US\$7.93 billion in 2016, 40.7 percent higher than the US\$5.64 billion net inflow in 2015. Meanwhile, foreign portfolio investment transactions for the year similarly yielded a net inflow of US\$353.59 million, despite being hobbled by outflows in the last four months and a welcome reversal from the US\$599.69 million net outflows recorded in 2015.

Offsetting the losses from foreign portfolio capital flight were overseas cash remittances which surpassed the government's 2016 full-year growth projection of 4.0 percent as it grew by 5.0 percent to US\$26.90 billion from US\$25.61 billion in 2015. Overseas cash remittances represented 8.8 percent of the country's GDP. On the other hand, personal remittances went up by 4.9 percent to US\$29.71 billion from US\$28.31 billion in 2015.

Philippine gross international reserves (GIR) at the end of 2016 rose to US\$81.05 billion from US\$80.67 billion in 2015. The end-2016 GIR level provided a 9.2-month import cover and was equivalent to 5.8 times the country's short-term external debt based on original maturity, and 4.2 times based on residual maturity, supporting the economy's capacity to absorb pressure from external shocks.

Even as the country slipped 10 places lower to 57th place in the World Economic Forum's 2016-2017 Global Competitiveness report, the Philippines remained in the upper half of the rankings among ASEAN countries and still had the largest improvement in the region since 2009. The positive view on the Philippine economy was further reinforced by credit rating agencies which affirmed the country's investment grade status. Specifically, Japan Credit Rating Agency, Ltd. maintained its stable outlook on the Philippines' credit rating, while Standard & Poor's upgraded its outlook from stable to positive.

Nineteen (19) companies braved the uneven market to offer new shares in the stock exchange. For 2016, these companies offered in total P227.25 billion worth of shares, just slightly below the record annual offering size of P228.33 billion in 2012. Of this offering amount, P176.80 billion represented the total capital raised for companies, slightly down by 4.2 percent from P184.60 billion the previous year. Private placements led capital raising activities with deals worth P122.76 billion, or 69.4 percent of total funds raised. Meanwhile, four new firms joined the Exchange in 2016 and collectively raised P28.92 billion, a remarkable 456.5 percent growth from only P5.20 billion worth of IPOs last year. These companies were Cemex Holdings Philippines, Inc. (CHP), Gold Haven Memorial Park, Inc. (HVN), Pilipinas Shell Petroleum Corp. (SHLPH), and Shakey's Pizza Asia Ventures, Inc. (PIZZA), all of which listed on the Exchange's Main Board. Follow-on and stock rights offerings meanwhile contributed P24 billion and P1.12 billion, respectively.

SUMMARY OF 2016

CAPITAL RAISING ACTIVITIES

FIGURE 03

P122.76B
PRIVATE
PLACEMENTS

	IN PHP BILLION	% SHARE
Private Placements	122.76	69.4%
IPO (Primary Offerings)	28.92	16.4%
Stock Rights Offerings	1.12	0.6%
Follow-On (Primary Offerings)	24.00	13.6%

TOTAL **176.80**

P24.00B
FOLLOW-ON
(PRIMARY OFFERINGS)

P1.12B
STOCK RIGHTS
OFFERINGS

P28.92B
IPO
(PRIMARY OFFERINGS)

P176.80B
TOTAL CAPITAL
RAISING ACTIVITIES

TABLE 03

INITIAL PUBLIC OFFERINGS IN 2016

COMPANY	CODE	TYPE OF OFFERING	OFFERED SHARES	LISTING DATE	OFFER PRICE (IN PHP)	NO. OF SHARES OFFERED	OFFER PROCEEDS (IN PHP)	BOARD UPON LISTING
Golden Haven Memorial Park, Inc.	HVN	IPO	Primary	29-Jun-16	10.50	74,117,647	778,235,293.50	Main Board
Cemex Holdings Philippines, Inc.	CHP	IPO	Primary	18-Jul-16	10.75	2,032,980,830	21,854,543,922.50	Main Board
		IPO	Primary ¹	18-Jul-16	10.75	304,947,124	3,278,181,583.00	Main Board
Pilipinas Shell Petroleum Corporation	SHLPH	IPO	Primary	3-Nov-16	67.00	27,500,000	1,842,500,000.00	Main Board
		IPO	Secondary	3-Nov-16	67.00	247,500,000	16,582,500,000.00	Main Board
		IPO	Secondary ¹	3-Nov-16	67.00	16,000,000	1,072,000,000.00	Main Board
Shakey's Pizza Asia Ventures, Inc.	PIZZA	IPO	Primary	15-Dec-16	11.26	104,000,000	1,171,040,000.00	Main Board
		IPO	Secondary	15-Dec-16	11.26	202,000,000	2,274,520,000.00	Main Board
		IPO	Secondary ¹	15-Dec-16	11.26	45,900,000	516,834,000.00	Main Board
TOTAL INITIAL PUBLIC OFFERING PROCEEDS (Primary Shares)							28,924,500,799.00	
TOTAL INITIAL PUBLIC OFFERING PROCEEDS (Secondary Shares)							20,445,854,000.00	

¹OVER-ALLOTMENT

SELECT PSE MARKET INDICATORS

TABLE 04

MARKET INDICATORS	2012	2013	2014	2015	2016	2016 vs 2015 % CHANGE
PSE Index (PSEi), yearend close	5,812.73	5,889.83	7,230.57	6,952.08	6,840.64	▼ -1.60%
Total value traded (in billion Php)	1,771.71	2,546.18	2,130.12	2,151.41	1,929.50	▼ -10.31%
Average daily value traded (in billion Php)	7.26	10.52	8.80	8.96	7.81	▼ -12.86%
Foreign buying (in billion Php)	850.16	1,308.51	1,073.53	1,001.56	990.59	▼ -1.10%
Foreign selling (in billion Php)	740.18	1,292.93	1,018.09	1,061.32	987.78	▼ -6.93%
Net foreign buying/(selling) (in billion Php)	109.98	15.59	55.45	(59.76)	2.80	▲ 104.69%
Total foreign (in billion Php)	1,590.35	2,601.44	2,091.62	2,062.89	1,978.37	▼ -4.10%
Share of Foreign Trading to Total Trading	45%	51%	49%	48%	51%	▲ 6.93%
Capital Raised (in billion Php)	219.07	175.07	153.08	184.60	176.80	▼ -4.22%
Initial Public Offerings (in billion Php)	23.99	60.98	11.41	5.20	28.92	▲ 456.49%
Additional Listings (in billion Php)	195.08	114.08	141.67	179.40	147.87	▼ -17.57%
Market capitalization, yearend (in billion Php)	10,930.09	11,931.29	14,251.72	13,465.15	14,438.77	▲ 7.23%
Domestic firms (in billion Php)	9,416.31	9,645.22	11,712.79	11,187.81	11,873.22	▲ 6.13%
Foreign firms (in billion Php)	1,513.78	2,286.08	2,538.93	2,277.34	2,565.56	▲ 12.66%
No. of Listed Companies, yearend	254	257	263	265	265	0.00%
Domestic	252	254	260	262	262	0.00%
Foreign	2	3	3	3	3	0.00%
No. of Listed Issues, yearend	294	294	305	311	318	▲ 2.25%
Domestic	292	291	302	308	315	▲ 2.27%
Foreign	2	3	3	3	3	0.00%
Total Market						
Dividend Yield	2.34	2.36	2.08	2.28	2.16	▼ -5.44%
Price-Earnings Ratio	19.09	17.69	18.06	17.86	16.28	▼ -8.84%

2016 MARKET ACTIVITY

ALL ISSUES

FIGURE 04



ANNUAL GROWTH OF INDICES



TABLE 05

INDEX	2015	2016	PERCENTAGE CHANGE
ALL SHARES	3,990.47	4,156.07	4.1%
FINANCIALS	1,550.68	1,655.54	6.8%
INDUSTRIAL	11,031.22	10,650.20	-3.5%
HOLDING FIRMS	6,601.26	6,992.09	5.9%
PROPERTY	2,915.60	3,066.46	5.2%
SERVICES	1,530.22	1,302.86	-14.9%
MINING AND OIL	10,427.24	11,857.76	13.7%

DOMESTIC MARKET CAPITALIZATION AND TRADING VALUE BY SECTOR

IN PHP BILLION

TABLE 06

	DOMESTIC MARKET CAPITALIZATION						VALUE TRADED					
	2013	2014	2015	2016	% CHANGE	% SHARE	2013	2014	2015	2016	%CHANGE	% SHARE
FINANCIALS SECTOR	1,406.40	1,645.14	1,564.86	1,691.91	8.12%	14.25%	342.31	278.29	273.52	275.53	0.73%	14.28%
Banks	1,337.81	1,594.32	1,518.20	1,646.02	8.42%	13.86%	332.40	272.71	270.11	271.59	0.55%	14.08%
Other Financial Institutions	68.59	50.82	46.67	45.88	-1.69%	0.39%	9.91	5.58	3.41	3.94	15.57%	0.20%
INDUSTRIAL SECTOR	2,392.35	2,621.99	2,512.57	2,518.11	0.22%	21.21%	684.09	428.17	530.93	401.98	-24.29%	20.83%
Electricity, Energy, Power & Water	959.69	1,155.39	1,111.90	1,190.25	7.05%	10.02%	280.59	201.44	198.64	124.78	-37.18%	6.47%
Food, Beverage & Tobacco	1,132.56	1,188.53	1,142.58	1,029.66	-9.88%	8.67%	325.90	190.79	235.85	212.61	-9.85%	11.02%
Construction, Infrastructure & Allied Services	201.83	217.84	197.59	227.32	15.05%	1.91%	33.28	23.37	77.33	43.37	-43.92%	2.25%
Chemicals	75.65	16.36	16.72	23.06	37.92%	0.19%	41.24	6.65	4.50	1.61	-64.32%	0.08%
Electrical Components & Equipment	19.51	40.79	40.37	45.91	13.72%	0.39%	2.87	5.70	14.28	18.82	31.77%	0.98%
Other Industrials	3.11	3.07	3.42	1.91	-44.05%	0.02%	0.21	0.23	0.33	0.80	142.52%	0.04%
HOLDING FIRMS SECTOR	2,325.10	3,156.54	3,263.68	3,708.89	13.64%	31.24%	605.71	499.99	538.92	491.27	-8.84%	25.46%
PROPERTY SECTOR	1,312.29	1,611.00	1,783.75	1,965.02	10.16%	16.55%	409.15	360.39	361.17	347.68	-3.73%	18.02%
SERVICES SECTOR	1,892.78	2,208.89	1,715.56	1,614.85	-5.87%	13.60%	442.78	461.55	358.74	330.14	-7.97%	17.11%
Media	58.84	64.38	89.71	67.32	-24.97%	0.57%	17.30	772	5.64	5.08	-10.04%	0.26%
Telecommunications	797.05	871.43	708.05	507.08	-28.38%	4.27%	163.16	218.32	154.96	133.74	-13.70%	6.93%
Information Technology	22.42	24.97	41.38	32.10	-22.44%	0.27%	31.55	9.35	10.08	21.98	118.04%	1.14%
Transportation Services	416.87	456.49	367.11	414.00	12.77%	3.49%	54.98	49.80	54.47	48.61	-10.76%	2.52%
Hotel & Leisure	6.98	5.06	3.80	4.39	15.64%	0.04%	4.51	2.34	0.71	2.11	198.93%	0.11%
Education	34.52	37.23	31.92	38.29	19.98%	0.32%	1.09	1.26	1.08	1.99	83.45%	0.10%
Casinos & Gaming	301.68	454.58	201.10	224.42	11.60%	1.89%	64.57	99.93	60.31	38.80	-35.66%	2.01%
Retail	227.68	284.15	255.32	295.82	15.86%	2.49%	102.38	68.65	65.94	72.17	9.44%	3.74%
Other Services	26.76	10.59	17.16	31.42	83.07%	0.26%	3.25	4.20	5.54	5.66	2.16%	0.29%
MINING & OIL SECTOR	315.42	434.77	318.87	357.43	12.09%	3.01%	62.01	89.92	75.72	65.18	-13.93%	3.38%
Mining	289.95	416.58	309.73	344.84	11.34%	2.90%	56.94	86.14	72.84	57.99	-20.39%	3.01%
Oil	25.47	18.19	9.14	12.58	37.72%	0.11%	5.07	3.78	2.88	7.19	149.11%	0.37%
SME	0.87	34.47	28.51	17.03	-40.28%	0.14%	0.01	11.07	11.56	17.03	47.36%	0.88%
ETF	0.75	0.90	1.34	0.86	-35.46%	-	0.12	0.74	0.86	0.69	-19.24%	0.04%
TOTAL MARKET	9,645.22	11,712.79	11,187.81	11,873.22	6.13%	100.00%	2,546.18	2,130.12	2,151.41	1,929.50	-10.31%	100.00%

PSEi RECOMPOSITION

RESULTS OF RECOMPOSITION, 2016

TABLE 07

AS OF MARCH 14, 2016

1	Ayala Corporation
2	Aboitiz Equity Ventures, Inc.
3	Alliance Global Group, Inc.
4	Ayala Land, Inc.
5	Aboitiz Power Corporation
6	BDO Unibank, Inc.
7	Bloomberry Resorts Corporation
8	Bank of the Philippine Islands
9	DMCI Holdings, Inc.
10	Energy Development Corporation
11	Emperador, Inc.
12	First Gen Corporation
13	Globe Telecom, Inc.
14	GT Capital Holdings, Inc.
15	International Container Terminal Services, Inc.
16	Jollibee Foods Corporation
17	JG Summit Holdings, Inc.
18	LT Group, Inc.
19	Metropolitan Bank & Trust Company
20	Megaworld Corporation
21	Manila Electric Company
22	Metro Pacific Investments Corporation
23	Petron Corporation
24	PLDT Inc.
25	Robinsons Land Corporation
26	Semirara Mining and Power Corporation
27	SM Investments Corporation
28	San Miguel Corporation
29	SM Prime Holdings, Inc.
30	Universal Robina Corporation

AS OF SEPTEMBER 13, 2016

1	Ayala Corporation
2	Aboitiz Equity Ventures, Inc.
3	Alliance Global Group, Inc.
4	Ayala Land, Inc.
5	Aboitiz Power Corporation
6	BDO Unibank, Inc.
7	Bank of the Philippine Islands
8	DMCI Holdings, Inc.
9	Energy Development Corporation
10	Emperador, Inc.
11	First Gen Corporation
12	Globe Telecom, Inc.
13	GT Capital Holdings, Inc.
14	International Container Terminal Services, Inc.
15	Jollibee Foods Corporation
16	JG Summit Holdings, Inc.
17	LT Group, Inc.
18	Metropolitan Bank & Trust Company
19	Megaworld Corporation
20	Manila Electric Company
21	Metro Pacific Investments Corporation
22	Petron Corporation
23	PLDT Inc.
24	Robinsons Land Corporation
25	Security Bank Corporation
26	Semirara Mining and Power Corporation
27	SM Investments Corporation
28	San Miguel Corporation
29	SM Prime Holdings, Inc.
30	Universal Robina Corporation

2016 TOP 25

PRICE GAINERS

COMMON ISSUES

TABLE 08

RANK	ISSUE	CODE	2016 CLOSE (IN PHP)	2015 CLOSE (IN PHP)	% CHANGE
1	Concrete Aggregates Corporation "B"	CAB	121.00	10.00	1,110.00
2	Da Vinci Capital Holdings, Inc.	DAVIN	6.47	1.60	304.38
3	Top Frontier Investment Holdings, Inc.	TFHI	262.00	67.60	287.57
4	Imperial Resources, Inc. "A"	IMP	15.48	4.20	268.57
5	Imperial Resources, Inc. "B"	IMPB	100.00	28.00	257.14
6	Now Corporation	NOW	2.49	0.75	232.00
7	Liberty Flour Mills, Inc.	LFM	74.95	26.00	188.27
8	PXP Energy Corporation	PXP	3.31	1.30	154.62
9	Megawide Construction Corporation	MWIDE	14.80	6.20	138.71
10	Vitarich Corporation	VITA	1.36	0.60	126.67
11	Harbor Star Shipping Services, Inc.	TUGS	2.65	1.17	126.50
12	STI Education Systems Holdings, Inc.	STI	0.97	0.43	125.58
13	Central Azucarera de Tarlac, Inc.	CAT	22.00	10.00	120.11
14	Pryce Corporation	PPC	5.00	2.38	110.08
15	Araneta Properties, Inc.	ARA	2.35	1.12	109.82
16	Concrete Aggregates Corporation "A"	CA	90.00	45.00	100.00
17	Primex Corporation	PRMX	3.38	1.71	97.66
18	Bogo-Medellin Milling Company, Inc.	BMM	97.00	49.40	96.36
19	Philex Mining Corporation	PX	8.60	4.40	95.45
20	Asiabest Group International Inc.	ABG	19.60	10.28	90.66
21	Filinvest Development Corporation	FDC	8.24	4.40	87.27
22	San Miguel Corporation	SMC	92.30	49.90	84.97
23	Premium Leisure Corp.	PLC	1.17	0.64	82.81
24	Arthaland Corporation	ALCO	0.40	0.22	81.82
25	San Miguel Pure Foods Company, Inc.	PF	231.00	129.00	79.07

PRICE LOSERS

COMMON ISSUES

TABLE 09

RANK	ISSUE	CODE	2016 CLOSE (IN PHP)	2015 CLOSE (IN PHP)	% CHANGE
1	Philweb Corporation	WEB	10.60	23.10	-54.11
2	Leisure & Resorts World Corporation	LR	3.96	7.63	-48.10
3	Xurpas Inc.	X	7.99	15.22	-47.50
4	Alterra Capital Partners, Inc.	ALT	9.10	16.40	-44.51
5	Manila Broadcasting Company	MBC	17.30	29.90	-42.14
6	Roxas Holdings, Inc.	ROX	2.75	4.68	-41.19
7	Abra Mining and Industrial Corporation	AR	0.0032	0.005	-36.00
8	Ionics, Inc.	ION	1.58	2.46	-35.77
9	Macay Holdings, Inc.	MACAY	26.95	41.35	-34.82
10	PLDT Inc.	TEL	1,365.00	2,060.00	-33.74
11	ABS-CBN Corporation	ABS	43.80	61.90	-29.24
12	SSI Group, Inc.	SSI	2.55	3.45	-26.09
13	Travellers International Hotel Group, Inc.	RWM	3.29	4.40	-25.23
14	Oriental Peninsula Resources Group, Inc.	ORE	1.06	1.40	-24.29
15	Calata Corporation	CAL	2.26	2.94	-23.06
16	Coal Asia Holdings Incorporated	COAL	0.45	0.58	-22.41
17	Ever-Gotesco Resources & Holdings, Inc.	EVER	0.125	0.16	-21.88
18	Emperador Inc.	EMP	7.00	8.95	-21.79
18	Crown Asia Chemicals Corporation	CROWN	1.85	2.35	-21.28
20	Alliance Global Group, Inc.	AGI	12.78	16.10	-20.62
21	Vantage Equities, Inc.	V	1.25	1.57	-20.38
22	Easycall Communications Philippines, Inc.	ECP	3.06	3.78	-19.05
23	Globe Telecom, Inc.	GLO	1,509.00	1,852.00	-18.52
24	National Reinsurance Corporation of the Philippines	NRCP	0.77	0.94	-18.09
25	Manila Electric Company	MER	265.00	320.00	-17.19

COMPANIES BY VALUE TRADED

REGULAR MARKET

TABLE 10

RANK	COMPANY NAME	CODE	VALUE TRADED (IN PHP)
1	Ayala Land, Inc.	ALI	116,322,142,480
2	Universal Robina Corporation	URC	99,203,790,722
3	SM Prime Holdings, Inc.	SMPH	93,126,432,434
4	PLDT Inc.	TEL	80,923,945,930
5	Ayala Corporation	AC	74,395,882,790
6	Security Bank Corporation	SECB	70,717,500,993
7	Metropolitan Bank & Trust Company	MBT	69,932,137,913
8	SM Investments Corporation	SM	66,011,842,995
9	BDO Unibank, Inc.	BDO	61,964,159,295
10	Metro Pacific Investments Corporation	MPI	59,456,428,367
11	GT Capital Holdings, Inc.	GTCAP	58,216,254,470
12	JG Summit Holdings, Inc.	JGS	51,133,909,145
13	Globe Telecom, Inc.	GLO	46,297,106,915
14	Megaworld Corporation	MEG	45,997,612,142
15	Jollibee Foods Corporation	JFC	43,175,538,338
16	Bank of the Philippine Islands	BPI	42,083,110,533
17	Aboitiz Equity Ventures, Inc.	AEV	33,375,673,982
18	International Container Terminal Services, Inc.	ICT	28,176,437,137
19	Puregold Price Club, Inc.	PGOLD	25,182,032,070
20	Robinsons Retail Holdings, Inc.	RRHI	22,842,363,420
21	Alliance Global Group, Inc.	AGI	21,379,891,398
22	Cemex Holdings Philippines, Inc.	CHP	21,237,431,940
23	DMCI Holdings, Inc.	DMC	21,082,595,622
24	Aboitiz Power Corporation	AP	20,857,924,970
25	Semirara Mining and Power Corporation	SCC	19,330,549,971

COMPANIES BY TRADING FREQUENCY

REGULAR MARKET

TABLE 11

RANK	COMPANY NAME	CODE	NUMBER OF TRADES
1	Ayala Land, Inc.	ALI	641,053
2	Metropolitan Bank & Trust Company	MBT	602,134
3	Universal Robina Corporation	URC	569,169
4	Metro Pacific Investments Corporation	MPI	567,712
5	Megaworld Corporation	MEG	522,452
6	BDO Unibank, Inc.	BDO	512,150
7	JG Summit Holdings, Inc.	JGS	498,237
8	SM Prime Holdings, Inc.	SMPH	495,207
9	PLDT Inc.	TEL	478,808
10	Jollibee Foods Corporation	JFC	422,258
11	Ayala Corporation	AC	385,409
12	Security Bank Corporation	SECB	376,773
13	Bank of the Philippine Islands	BPI	354,215
14	SM Investments Corporation	SM	350,352
15	Energy Development Corporation	EDC	329,185
16	Globe Telecom, Inc.	GLO	316,078
17	International Container Terminal Services, Inc.	ICT	306,628
18	DoubleDragon Properties Corp.	DD	294,027
19	GT Capital Holdings, Inc.	GTCAP	280,008
20	Aboitiz Equity Ventures, Inc.	AEV	277,141
21	Alliance Global Group, Inc.	AGI	276,070
22	Now Corporation	NOW	274,023
23	First Gen Corporation	FGEN	268,780
24	Cebu Air, Inc.	CEB	252,419
25	Nickel Asia Corporation	NIKL	235,769

COMPANIES BY MARKET CAPITALIZATION

REGULAR MARKET

TABLE 12

RANK	COMPANY NAME	CODE	MARKET CAPITALIZATION (IN PHP)
1	Manulife Financial Corporation	MFC	1,539,920,403,060.00
2	Sun Life Financial Inc.	SLF	1,000,568,358,167.00
3	SM Prime Holdings, Inc.	SMPH	818,726,218,524.90
4	SM Investments Corporation	SM	789,001,777,885.00
5	JG Summit Holdings, Inc.	JGS	484,566,238,096.05
6	Ayala Land, Inc.	ALI	470,805,842,816.00
7	Ayala Corporation	AC	453,053,463,625.50
8	BDO Unibank, Inc.	BDO	409,161,373,340.80
9	Aboitiz Equity Ventures, Inc.	AEV	398,872,513,035.60
10	Universal Robina Corporation	URC	360,380,465,418.00
11	Bank of the Philippine Islands	BPI	348,903,226,898.40
12	Aboitiz Power Corporation	AP	306,853,799,601.90
13	Manila Electric Company	MER	298,681,156,825.00
14	PLDT Inc.	TEL	294,916,132,875.00
15	Metropolitan Bank & Trust Company	MBT	230,880,544,263.60
16	GT Capital Holdings, Inc.	GTCAP	221,361,000,000.00
17	San Miguel Corporation	SMC	219,537,855,469.40
18	Metro Pacific Investments Corporation	MPI	209,814,500,488.32
19	Jollibee Foods Corporation	JFC	208,566,207,148.00
20	Globe Telecom, Inc.	GLO	200,308,284,618.00
21	DMCI Holdings, Inc.	DMC	176,059,252,200.00
22	International Container Terminal Services, Inc.	ICT	145,918,010,717.80
23	Philippine Trust Company	PTC	145,000,000,000.00
24	Security Bank Corporation	SECB	143,172,388,530.00
25	Semirara Mining and Power Corporation	SCC	138,487,235,900.00





DIVERSIFY PRODUCT LINE

Markets worldwide were affected by the volatility that stemmed from uncertainties over interest rate direction in the United States of America and the slump in the commodities market. Amidst this scenario, The Philippine Stock Exchange, Inc. diversified its product line.

The PSE developed rules for the listing of two products – the Dollar Denominated Securities and the Public-Private Partnership Companies. These new products add to the capital raising mechanisms available at the PSE to companies seeking to raise funds for capital expenditures and other corporate requirements.



PSE President and CEO Hans B. Sicat with panelists during the PPP Forum in April

PPP Listing

Taking off from the series of roundtable discussions the PSE conducted in partnership with the Public-Private Partnership (PPP) Center of the Philippines and in cooperation with the Securities and Exchange Commission (SEC) and the Asian Development Bank (ADB), the PSE submitted to the SEC in August its proposed Supplemental Listing and Disclosure Rules applicable to a PPP Company (PPP Listing and Disclosure Rules). The SEC approved the rules on November 8, 2016. The PPP Listing and Disclosure Rules give PPP firms an additional venue to raise funds for their PPP project through equity instruments, aside from the usual bank debt, bond issuance, and/or internally generated capital.

Among the salient features of the PPP Listing and Disclosure Rules include the following: 1) exception of the PPP company from the three-year track record and operating history requirements required of companies under the PSE Main Board listing; 2) at least 15 years of remaining period of effectivity of the PPP contract from the date of filing of the listing application; 3) PPP project cost of at least P5 billion; and 4) submission of the PPP company to the Exchange of a business plan that shall include its plans for liquidation and winding up, or a proposal for a new business, at least three years before the scheduled expiration of the PPP contract.

On February 21, 2017, the PSE formalized its partnership with the PPP Center for information sharing to facilitate the processing of listing applications and the enforcement of continuing listing requirements through a memorandum of agreement. After the signing ceremony, a bell ringing program was held to mark the occasion. A PPP Listing Forum entitled “Towards the Golden Age of Infrastructure” was also held and attended by various stakeholders and prospective PPP companies.

Dollar Denominated Securities

On November 10, the PSE received the approval of the SEC for its Rules on Dollar Denominated Securities (DDS). DDS are securities listed, traded and settled in US dollars (USD). DDS are a different asset class than the issuer’s existing listed shares at the PSE.

The introduction of DDS provides issuers an alternative to meet their dollar-denominated requirements by raising capital in US

dollars at the PSE to mitigate foreign exchange risks. On the investor side, the product can have a new investment for their dollar assets with potentially higher returns but without being exposed to foreign exchange risks.

Under the DDS Rules, trading participants are required, among others, to have foreign currency deposit unit (FCDU) accounts, attend DDS training sessions conducted by the PSE and issue a sworn certification to the PSE attesting to its operational readiness in order to be eligible to trade DDS. Trading by investors shall be governed by the board lot table especially designed for DDS. The PSE’s clearing and settlement subsidiary, Securities Clearing Corporation of the Philippines, appointed BDO Unibank, Inc. as the designated settlement bank for the launch of DDS.

Shelf Listing

The PSE Board of Directors approved the Exchange’s Policy on Shelf Listing (Policy) on February 24. The shelf listing mechanism of the Exchange allows Issuers to do a one-time filing of application for listing of securities which are intended to be offered in tranches or on a continuous basis in the future. This eases the process for listing and trading of such securities as it does away with the filing of a listing application for each subsequent tranche of a share offering. This initiative of the Exchange is in line with the shelf-registration of securities being implemented by the SEC pursuant to Section 8.1.2 of the 2015 Securities Regulation Code Implementing Rules and Regulations.

The Policy provides that the Board of Directors of the Exchange shall have authority to approve shelf-listing of securities covered by a valid and subsisting SEC Shelf Registration Order, but PSE Management shall have the authority to approve subsequent takedowns off the said shelf listed securities that have earlier been approved for listing. The processing of shelf listing application shall follow the standard procedure applicable to listing of securities. However, processing of applications covering actual takedowns from a previously approved shelf listing application shall be shorter, in accordance with the SEC shelf registration procedures and subject to the listed company’s full compliance with the documentary requirements.



Bell ringing event to mark the partnership between PSE and PPP Center for PPP Listings

Enhancing Existing Products

Shari'ah List

The PSE continued to publish a list of Shari'ah compliant securities on a quarterly basis for the third year. The Exchange updated the list in the months of January, April, July, and October, with 54, 57, 53, and 56 eligible securities, respectively.

Continuing the Shari'ah compliance project allows the Exchange to pick up where it left off in pursuit of the development of new products and services, including Islamic indices, ETFs and other benchmarks for funds and REITs. The Shari'ah compliance project also complements the development of Environmental, Social and Governance (ESG) benchmarks. The PSE also continues to market the product through press releases, media promotions, presentations, product forums and roadshows to increase awareness and market participation in Shari'ah-compliant securities.

ETF

The PSE celebrated the "ETF Awareness Week" coinciding with the third listing anniversary of the first-ever ETF in the country. The celebration kicked-off with a bell ringing ceremony followed by a series of activities which included a cocktail celebration for various stakeholders, webinar and seminar sessions which were attended by more than 700 participants.

Market Data Products

The Exchange also developed two products, the Market Capitalization End-of-Day File (MCAP) and the Listed Company Stock Feed. These products are aimed at making data products more accessible by parsing and sending only the specific information requirements of various clients. The MCAP file was introduced in February while the listed company stock feed is scheduled for launching in 2017.



Bell ringing ceremony to celebrate ETF Awareness Week

The PSE also continued to benchmark its projects with the market data programs of other exchanges. The PSE has started crafting its Market Data Policies and Procedures Guidebook which covers the use of market data products by data vendors and other potential clients. The Guidebook is set to be launched in 2017.



EXPAND STAKEHOLDER BASE

The year saw a rotation of funds from emerging markets like the Philippines to developed countries. Despite this, the PSE beefed up its financial literacy initiatives as well as its projects aimed at addressing the needs of potential listing applicants. The Exchange also partnered with select institutions for some of its programs. All these were undertaken to ensure that the Exchange will be able to expand its stakeholder base.

Growing number of stock market investors

The total number of accounts in 2016 rose to 773,187 accounts, a growth of 8.5 percent from 712,549 accounts the previous year. Of the total, 258,506 accounts or 33.4 percent were considered active or traded at least once during the year, higher than the active to total ratio of 32.7 percent in 2015. In the five years from 2011 to 2016, the total number of stock market accounts has grown by a compounded annual growth rate (CAGR) of 8.9 percent.

The increase in the overall number of accounts in the market was due in large part to the higher number of retail investors joining the market during the year at 746,595 accounts, up by 10.0 percent from 678,449 retail accounts the prior year. Growth in the number of retail accounts offset the decrease in institutional accounts which declined by 22.0 percent to 26,592 accounts from 34,100 accounts in 2015. Retail accounts cornered 96.6 percent of the total accounts, while institutional accounts cornered the remaining 3.4 percent.

Of the total accounts during the year, 759,592 or 98.2 percent were owned by local investors, whereas 13,595 or 1.8 percent were held by foreign investors.

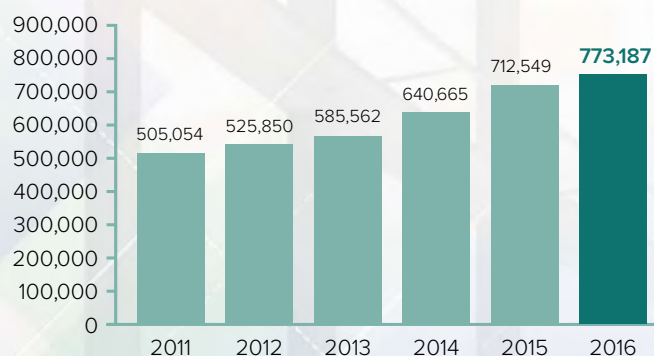
Out of the 773,187 total market accounts in 2016, 302,516 were online accounts, up by 27.8 percent from 236,669 online accounts in 2015. Since 2011, the number of online accounts has grown by a CAGR of 41.8 percent – faster than the overall market.

Retail investors also dominated the online accounts with 301,577 accounts or 99.7 percent of the total, with the remaining 939 accounts or 0.3 percent being accounted for by institutional investors. Majority of the online accounts were also credited to local investors with 298,571 accounts or 98.7 percent, while 3,945 accounts or 1.3 percent were classified as foreign.

Online accounts were also more active compared to their traditional counterparts and the overall market in general. Of the total online accounts, 61.2 percent were considered active, higher in comparison to the overall market's 33.4 percent and the 15.6 percent active accounts among non-online accounts.

PSETradex

In 2016, five more trading participants (TPs) signed-up for the PSETradex Service subscription even as three other TPs, namely, BDO Nomura Securities, Inc., PNB Securities, Inc. and Sunsecurities, Inc. were able launch their online trading platforms using PSETradex.



Total Stock Market Accounts 2011-2016



Total Online Accounts 2011-2016

This has brought the total TPs subscribed to PSETradex to 25, 13 of which have already started offering online trading services to investors. The total number of clients using PSETradex also surged by 617 percent to 8,379 from 1,168 in 2015.

Meanwhile, among TPs, the number of trading accounts deployed to licensed traders increased by 1.6 percent. These trading accounts allow licensed traders to execute orders and trades via the PSE-provided trading terminal, PSETradex Expert or via the TP's own Front-End Order Management System (FEOMS).



PSE Roadshow in Baguio City

Financial Literacy Campaign

The PSE reached close to 28,000 potential investors in 2016, 24 percent higher compared with the previous year, through its market education activities in Cebu and Metro Manila such as roadshows, seminars, webinars, and other financial literacy campaigns. The figure comes on top of the rapidly growing online community of more than 100,000+ Facebook followers that the PSE has built through its active social media presence.

Most-attended PSE Roadshow

PSE market education initiatives ended 2016 on a high note following the record-high number of attendees in its Baguio City roadshow on November 19. Close to 500 attendees from the provinces of Benguet and La Union, and areas in Central Luzon trooped to Hotel Veniz Baguio, making it PSE's most well-attended roadshow to date.

Casting its focus in Luzon in 2016, the PSE also held roadshows in Pampanga and Laguna on July 2 and September 9, respectively. The learning sessions covered topics such as Stock Market 101, Exchange-Traded Funds, Online Trading, Stock Picking, and Stock Market Outlook.

The PSE roadshows featured presentations from the PSE, Capital Markets Integrity Corporation (CMIC), and trading participants - AB Capital Securities, Inc., AP Securities, Inc., First Metro Securities Brokerage Corporation, Maybank ATR KimEng Securities, Inc., and Philstocks Financial, Inc.

Free seminars are now conducted weekly in Manila and Cebu

PSE increased the frequency of its regular stock market seminars in Manila and Cebu to a weekly basis from a semi-monthly schedule to address the growing interest of the public to learn the basics of stock investing. This move doubled the total seminar attendees that it reached the previous year.

Close to 80 stock market newbies participate in each session that features a Stock Market 101 seminar by the PSE and complemented by a presentation from one guest stock brokerage firm.

Meanwhile, PSE's Cebu Satellite Office gathered close to 3,500 individuals in 2016, 77 percent higher compared to the previous year, as it paralleled the frequency of stock market awareness activities offered in Manila.

Established to be the pioneering learning center in the south, the PSE Cebu continues to attract visiting groups from nearby

areas in the Visayas and Mindanao such as University of Eastern Philippines Samar, Colegio de la Purisima Concepcion-Roxas City, St. Paul University-Surigao, Northern Bukidnon Community College, Misamis University, Notre Dame of Marbel University-Koronadal, Mindanao State University-Iligan, and Notre Dame of Jolo College.

More Webinars Conducted

PSE conducted 12 webinar sessions in 2016 with topics catering to beginner, intermediate, and advance-level investors, surpassing the eight sessions offered the previous year. With more than 500 attendees per session, this year's webinar series kicked off with an introduction to stock market investing, exchange traded funds, technical analysis, fundamental analysis, portfolio management, and personal finance.

Since its launch in 2014, the PSE webinars have been successful in gathering a geographically separated audience through an online platform where participants get to listen to a live presentation, send questions real-time via chat, and interact with the webinar panelists, all from the comforts of their home or workplace.

The wide array of topics offered by the PSE webinars combined with the convenience of the platform has attracted participants from various countries such as Australia, Hong Kong, Italy, Japan, Middle East, New Zealand, Singapore, South Korea, Thailand, United Kingdom, and United States of America.

New CSSC Partner

PSE welcomed De La Salle-College of Saint Benilde School of Professional and Continuing Education (DLS-CSB SPaCE) as its newest partner in conducting the PSE Certified Securities Specialist Course (CSSC). Thirty nine students coming from diverse professional backgrounds formed part of the pilot run in September.

DLS-CSB SPaCE is PSE's seventh partner in conducting the PSE's flagship continuing education program. Since its maiden run in 2007, the PSE has established partnerships with distinguished schools - namely, Ateneo Center for Continuing Education (Ateneo CCE), UST Center for Continuing Professional Education and Development (UST CCPED), iACADEMY School of Continuing Education (iACADEMY SCE), UP Development Center for Finance (UP DCF), and USC School of Business and Economics-Center for Entrepreneurship and Lifelong Learning (USC SBE-CELL).

In 2016, PSE bestowed the title "Certified Securities Specialist" to 102 successful participants, bringing the pool of graduates that the program has produced to 633.



PSE welcomes DLS-CSB SPaCE as CSSC partner school

Active Collaboration with Schools and Institutions

More than 100 groups from different organizations visited the Exchange throughout the year. Guests enjoyed a sneak peek into the daily activities of investors and trading participants and were guided on how to start their investing journey. Students also got to check the latest collections and resource materials available at the PSE library that may aid in their research.

Some of the visiting groups from outside of Metro Manila came from Ateneo de Cagayan, Caraga State University, Catanduanes State University, UP Visayas, Mount Carmel College-Baler, Central Luzon State University-Nueva Ecija, Kyoto University, and Singapore Management University.

Meanwhile, the PSE continued to collaborate with various stakeholders to advocate financial literacy. The PSE conducted stock market seminars for 28 institutions comprising of schools private companies, listed companies, government agencies, and socio-civic organizations. Among these are Movie and Television Review and Classification Board, Government Service Insurance System, Bangko Sentral ng Pilipinas, Aboitiz Equity Ventures, FINEX Foundation Business Education Committee of Cagayan de Oro City, UP National College of Public Administration and Governance, and the Rotary Clubs of Makati and Pasay.

More than 2,500 Runners are #FITtoInvest

PSE held the 12th edition of the PSE Bull Run on January 10 at Bonifacio Global City, Taguig. Tagged as “FIT TO INVEST”, the annual fun running event of the Exchange aims to advocate physical fitness alongside financial fitness.

More than 2,500 runners representing listed and private companies, trading participants, government agencies, entertainment industry, and other stakeholders participated in the sold-out event which featured four running categories - 5K, 10K, 16K, and 21K.



Running enthusiasts at the 12th PSE Bull Run

PSE Facebook Page Hits 100K Milestone

PSE's official Facebook page has reached more than 100,000 followers in December. The 66 percent increase in PSE's fan base was propelled mostly by millennials aged 25-34 years old (46 percent), followed by those who are more than 34 years old (28 percent), and those who are below 25 years old (26 percent).

PSE's active online presence has encouraged interaction with various stakeholders through comments, feedback, and questions. PSE embarked on a social media campaign in April making its Facebook page a rich source of market information and updates



LSI kiosk in a designated receiving center during an IPO

on the Exchange's latest activities such as Initial Public Offerings (IPOs), events and stock market tidbits which are featured through five hashtags—#MondayMotivation, #TriviaTuesday, #WordyWednesday, #ThrowbackThursday, and #FridayFeature.

The Exchange's Twitter account, on the other hand, had over 40,000 followers. The Twitter account provides regular index level updates and disclosures pertaining to earnings results, dividend declarations, joint ventures, and mergers and acquisitions.

IPO Kiosks for Local Small Investors

To help investors who are interested in subscribing to IPO shares, the PSE deployed additional receiving centers for Local Small Investor (LSI) Applications called IPO Kiosks. These kiosks, which augment the regular receiving centers located in PSE Ayala and PSE Tektite, were installed in three commercial establishments and utilized for the IPO of Golden Haven Memorial Park, Inc., Cemex Holdings Philippines, Inc., Pilipinas Shell Petroleum Corporation, and Shakey's Pizza Asia Ventures, Inc.

The presence of the IPO Kiosks in public locations helped raise awareness about stock market investing. Both new and old investors have benefited from having IPO Kiosks available in high-foot traffic commercial areas. Numerous passers-by have opened trading accounts after discussing investing in stocks with the personnel in the IPO Kiosk and investors have experienced greater ease and convenience in subscribing to IPO shares.

Hand-Holding Program for Public Listing

The PSE's Hand-Holding Program engages companies who have shown keen and serious interest in pursuing a public listing. The PSE acquaints the company with the requirements and processes of listing, and provides the necessary introduction to key parties involved in the IPO. Follow-up meetings are conducted quarterly to monitor the progress of the target company in the exercise.

At the end of 2016, the PSE had over 140 companies in its Hand-Holding Program. These companies are from different industries operating in the country but are not limited to Philippine companies. One notable company that was part of the Hand-Holding Program is Pilipinas Shell Petroleum Corporation, which listed on November 3.

International Roadshow

The PSE and DBP-Daiwa Capital Markets Philippines, Inc. jointly organized the 4th Daiwa ASEAN Conference: Philippine Corporate Day held last January 28 and 29 at the Daiwa Corporate Offices



PSE and SSS partnership for capital market development

in Tokyo, Japan. The Philippine Corporate Day brought together premier PSE-listed companies and top Japanese fund managers to discuss investment prospects, opportunities, and insights. The Philippine Corporate Day was attended by eight PSE-listed companies namely Ayala Corporation, International Container Terminal Services, Inc., JG Summit Holdings, Inc., Manila Electric Company, Metro Pacific Investments Corporation, The Philippine Stock Exchange, Inc., San Miguel Corporation, and Universal Robina Corporation. The event also saw the participation of 48 Japanese fund managers.

PSE-PCCI Partnership

The PSE inked a Memorandum of Understanding with the Philippine Chamber of Commerce and Industry (PCCI) in 2013 to carry out programs aimed at the development of the capital markets.

For 2016, the PSE participated in two Area Business Conferences (ABC) organized by PCCI – the North Luzon ABC in Tuguegarao City, Cagayan and the Visayas ABC in Ormoc City, Leyte. In both events, the Exchange encouraged companies based in the

respective areas to list at the PSE by discussing the benefits of being a listed company and the advantages of raising capital through the equity market.

The PSE and PCCI also conducted a Listing Forum on June 28 at the BA Securities Hall of the Commerce & Industry Plaza in McKinley Town Center, Taguig City. The forum targeted PCCI-member companies that may qualify to list at the PSE. The forum featured presentations from the PSE, the SEC, BDO Capital and Investment Corporation, Crown Asia Chemicals Corporation, and Foundation for Economic Freedom.

PSE and SSS MOA Signing

The PSE and the Social Security System signed a Memorandum of Agreement to undertake cooperation initiatives in the areas of market education and Small, Medium, Emerging (SME) Board promotion. The agreement is in support of the efforts of the PSE - PCCI Capital Market Development Committee.

An integral project in the agreement is the roll out of basic stock market investing seminars for SSS employees and members. To support listed companies with small market capitalization (small cap), SSS also aligned its definition of small cap with the PSE's definition for the SME Board. SSS also created a P1 billion investment facility for listed small-cap companies.

PSE-DBP Listing Forum

Another important partner of the PSE in capital market promotion is the Development Bank of the Philippines (DBP). PSE and DBP signed a Memorandum of Agreement to undertake several initiatives to meet this objective. In 2016, the PSE conducted its second SME listing forum with the bank on November 17 at its headquarters in Ayala. Entitled "Accelerating SME Growth Through Listing: A PSE-DBP Listing Forum", the event was attended by representatives from 15 companies that are qualified to list. Representatives from the PSE, SEC, and Abacus Capital and Investment Corporation explained the listing requirements and procedures while Itapinas Development Corporation shared the company's listing experience.



PSE President and CEO Hans B. Sicat addressing the participants of the PSE-DBP Listing Forum





ENHANCE CORPORATE GOVERNANCE

Regardless of market conditions, it is imperative for Exchanges to uphold fair, orderly, and transparent markets. In the case of the PSE, volatile markets even became an opportunity to promote corporate governance.

Best Stock Exchange in Southeast Asia

The Philippine Stock Exchange bagged the 2016 Best Stock Exchange Award in Southeast Asia award. This is the third time the PSE was recognized by institutional investment magazine Alpha Southeast Asia as the best in the region in the last four years. The award giving body cited the new products introduced by the PSE and the corporate governance program it promotes. Aside from the 2016 award, it was also conferred this distinction in 2013 and 2015



PSE CPRD Head Mark Visda receiving the Best Stock Exchange in Southeast Asia award from Alpha Southeast Asia Publisher and CEO Siddiq Bazarwala

2016 PSE Bell Awards for Corporate Governance

The Exchange held its 5th PSE Bell Awards for Corporate Governance program on November 10 to recognize listed companies adhering to the highest standards of corporate governance in the country and whose corporate governance practices as benchmarked with international standards. It also recognized trading participants (TPs) that have demonstrated excellent compliance with PSE and SEC rules and regulations and other applicable laws while contributing to the performance and development of the stock market.

The awardees were chosen by an independent panel of judges composed of prominent leaders in government, the business sector, the diplomatic corps and the academe. They were selected for their independence, integrity and commitment to corporate governance. The panel of judges for the 2016 Bell Awards were:

1. **Hon. Teresita J. Herbosa**
Chair, Securities and Exchange Commission and Chair 2016 Bell Awards Panel of Judges
2. **H.E. Amanda Gorely**
Australian Ambassador to the Philippines
3. **Dr. Jikyeong Kang**
President and Dean, Asian Institute of Management
4. **Fr. Jose Ramon T. Villarin, S.J.**
President, Ateneo de Manila University
5. **Atty. Cornelio C. Gison**
President & CEO, Capital Markets Integrity Corporation

2016 Code of Corporate Governance for Publicly Listed Companies

The Exchange participated in the revision of the 2009 Code of Corporate Governance as a member of the technical working group created by the SEC joining other members from various business

The following winners and finalists were recognized in an awarding ceremony on November 10 at the Makati Diamond Residences

2016 PSE Bell Awardees

Listed Company Awardees

1. Manila Water Company, Inc. (MWC)
2. Philex Mining Corporation (PX)
3. Cebu Property Ventures and Development Corporation (CPV)
4. China Banking Corporation (CHIB)
5. Aboitiz Power Corporation (AP)

Trading Participant Awardees

1. Credit Suisse Securities (Philippines), Inc.
2. Macquarie Capital Securities (Philippines), Inc.
3. UBS Securities Philippines Inc.
4. Deutsche Regis Partners Inc.
5. R.S. Lim & Company, Inc.

groups, regulators, individual independent directors, and other stakeholders. Developing a new Code of Corporate Governance for publicly listed companies (PLCs) was the first action item for implementation in the Philippine Corporate Governance Blueprint. The CG Blueprint was developed and launched by the SEC in November 2015 together with the PSE. The Blueprint was only the first step in a series of Codes that will be developed for entities under SEC's jurisdiction.

On November 22, the 2016 Code was publicly launched by the SEC after a public consultation period. This Code was intended to raise the corporate governance standards of Philippine corporations to a level at par with its regional and global counterparts. The latest G20/OECD Principles of Corporate Governance and the ASEAN Corporate Governance Scorecard were used as key reference materials in the drafting of this Code.

3rd SEC-PSE Corporate Governance Forum

The Exchange co-sponsored with the SEC the 3rd SEC-PSE Corporate Governance Forum, in collaboration with USAID, the International Finance Corporation of the World Bank Group, the Makati Business Club, the Financial Executives Institute of the Philippines and the Management Association of the Philippines. The forum was held on November 22 at the Philippine International Convention Center, during which the 2016 Code of Corporate Governance for Publicly Listed Companies was also launched. In addition to distinguished speakers and panelists from the private and public sectors, the event featured Philippine Vice President Maria Leonor Robredo as the keynote speaker.

Enterprise Risk Management

Recognizing its exposure to a wide range of risks that can interfere or disrupt market operations, the PSE formally adopted an Enterprise Risk Management (ERM) Framework in 2013. As part of this framework, for 2016, the company focused on the following key risks: system failure, disaster events, system attack, and settlement fails. The Exchange placed various risk mitigation measures to address these four key risks identified together with other fundamental risks.

Exchange employees also participated in various fire, bomb, and earthquake drills throughout the year as part of its disaster preparedness program.



The 2016 PSE Bell Awards winners for listed companies and trading participants during the awarding ceremony held on November 10 at Makati Diamond Residences

Business Continuity Management

In accordance with its Business Continuity Management Policy, the Exchange conducted several disaster recovery (DR) tests during the year under different fail-over scenarios. DR tests were conducted on May 14, June 18 and August 20, with the last one being participated by trading participants, data vendors and the Securities Clearing Corporation of the Philippines (SCCP).

The tests assessed the Exchange's readiness to continue trading, clearing and settlement operations in the event of a major system failure, attack or disaster in the Exchange's primary data center and its trading floors. It also tested the abilities of TPs and data vendors to connect to the PSE's DR site and commence or continue trading and data feeds. The DR site and regular DR tests will continue to be significant Business Continuity measures of the Exchange.

Meanwhile, the Nasdaq X-stream Workstation was also deployed to TPs to serve as a back-up trading terminal for business continuity purposes.

Trading Participants' Rules

The Exchange's Board of Directors approved for public review and comment the proposed amendments to the PSE Rules Governing Trading Rights and Trading Participants (TP Rules). The PSE will seek SEC approval for the proposed amendments after the public comment phase.

The proposed amendments intend to align the TP Rules with the 2015 Implementing Rules and Regulations of the Securities Regulation Code and the rules of the CMIC. It also seeks to provide a more accurate interpretation on select provisions. The enhanced TP Rules and expanded guidelines aim to improve TP compliance and help the Exchange efficiently monitor observance of said rules.

Meanwhile, the Trading Participants Relations Section (TPRS) continued its education initiatives on TP compliance. Throughout the year, TPRS ensured that the submission of reportorial requirements was closely tracked based on meticulous review of disclosures.

Guideline for Minimum Commission Rule

The Exchange released the Interpretative Guideline for the Minimum Commission Rule in August. The guidelines aim to provide a common understanding of the terms and proper computation of commission rates among trading participants specifically on aggregation of orders under specific parameters.



PROMOTE EFFICIENCIES

Employing tools that promote efficiencies allow services to be delivered according to the desired expectations of customers. In addition, efficient operations allow the company to create more shareholder value. In the past year, this outcome was achieved by employing technology and by automating systems and processes.

Service Desk System

To further improve the handling of requests and incidents, the PSE launched the Service Desk System which allows an efficient mechanism for employees to create a ticket for service requests and incident reports. The system streamlined the process of communicating requests for service of PSE employees and resolving reported incidents. Aside from organizing and tracking records of all issues and requests submitted, it also communicated resolution schedules.

The trends of service requests and incident reports are analyzed and submitted to PSE Management on a regular basis. The report provides perspective on critical and recurring incidents and requests which, in turn helps in coming up with long-term solutions as well as improving turnaround time and resolution rate. PSE recorded and responded to more than 6,000 TP issues and queries. PSE also received and processed close to 2,000 TP service requests.

PSE continues to enhance the Service Desk System to better manage service requests and incident reports of the trading participants, listed companies, data vendors and investors.

FEOMS and Direct Market Access

TPs who want to design and develop their own order management system are required to have their system certified by the PSE. Ten FEOMS successfully passed system certification in 2016 bringing the total number of TPs with certified FEOMS to 35.

Meanwhile, two TPs launched their direct market access facility in 2016 adding to the 28 TPs already offering DMA. Through the DMA facility, the customers of TPs can post orders directly to PSE without the trader's manual intervention.

X-Stream Workstation Trading Terminal

In June, the Exchange completed the deployment of X-Stream Workstation (XW) to all TPs as part of the Company's business continuity management. The XW provides basic order management features and market data information.

Broker sessions were conducted during the first quarter on the use of the XW, particularly for TPs who are using the PSETradex Expert as their primary trading terminal. The use of the XW terminal will form part of the DR exercises that will be tested by the Exchange under its business continuity framework.

NTP Server Upgrade

The PSE upgraded its Network Time Protocol (NTP) Server to ensure that all servers connected to the trading system observe a synchronized time to avoid trading-related problems attributed to price-time priority of orders.

Bandwidth Expansion

The primary bandwidth of the PSE was augmented to cope with an increased demand for internet access and online trading and help prevent any potential system slowdown.

Cybersecurity

The PSE continued to increase security measures to ensure the integrity of its systems. Security devices were enhanced to counter any potential cyber security attack while security channels were also improved to guarantee that internal systems will only be accessible to authorized users. These augment the Critical Alarm Monitoring System, which provides real-time notification alerts among relevant personnel, as well as the security appliances that have been deployed to detect and prevent vulnerability exploits.

System Availability

The Exchange recorded 100 percent uptime for most of its technology infrastructures including internet and email systems, website, back office system, IT security, server and storage maintenance. This means that outside of the scheduled or pre-announced maintenance works, these systems were up all throughout the year. Meantime, the PSETradeXTS had an almost complete system availability, if not for one incident of downtime in April caused by a telecommunications connectivity issue.

Data and Records Management

To help meet its twin goals of achieving operational efficiency and addressing environmental concerns, the PSE continued and introduced more online and automated systems. These online processes expedite specific activities while at the same time reduce the Company's paper consumption.

PSE Office-Wide Digitization Project

The Exchange continued its program to convert documents into digital records. For 2016, more than 320,000 pages of records from the Corporate Governance Office and the Listings Department were digitized. These records were scanned, indexed and stored in a Document Management System that serves as the repository of the Exchange's digital records. Additional licenses were issued to departments and offices to facilitate access to the records, while user trainings were conducted to familiarize employees on how to use the system. A quarterly monitoring procedure was also institutionalized to ensure the compliance of departments and offices to records management policies and to maximize the utilization of the system.

The digitization activity in 2016 forms part of the initiative to scan documents of various PSE Divisions, in connection with the business continuity requirements and information security protocols of the Exchange.

E-Payment System

In October 2016, the PSE launched an e-payment system to expand the available payment channels for clients and improve convenience in purchasing PSE products and services. The Exchange partnered with Dragonpay to utilize the latter's e-payment system for payment processing of requests such as retail data purchases, PSE report purchases, certification of stock price for investors and certificate of good standing for listed companies. The Dragonpay E-Payment System likewise enables real-time tracking of payments and generation of electronic reports to effectively monitor transactions.

With this system, requests for information can be paid through the participating banks' automated teller machines, retail and mobile payment channels, and select 7-11 outlets, among others.



PSE and Dragonpay Corporation partnership for e-payment facility



New Contract Management System (CoMaS)

The PSE developed the Contract Management System (CoMaS) to institutionalize paperless transactions between the Office of the General Counsel and the requesting divisions and enable the General Counsel and Legal Officers to conduct the contract review process electronically through the system. Aside from being a repository of contracts, the enhanced system also includes features such as a notification system to alert users of upcoming deadlines specified in a contract, and expanded use of the Laserfische system to enable faster searching of contracts in the repository. This new system is set to be launched in January 2017.

Library Management System

The Integrated Library Management System was implemented by the Exchange in 2016. The system is an online tool that enables electronic searching of books and library materials and computerized recording of library transactions, specifically the circulation of its collection.

PSE's New Headquarters

Since its incorporation, the PSE has always maintained two trading floors. In line with its goal to physically unify both floors, the Exchange is building its new headquarters in Bonifacio Global City. The PSE is now closer to its aspiration of having a unified trading floor with the commencement of the planning for the fit-out of its new building. The Exchange's new building is expected to enhance the Company's operations and trading services.



STRENGTHEN RELATIONSHIPS

Challenging times are ideal moments to nurture camaraderie within the company and foster solidarity with external stakeholders. For the PSE, the uncertainties provided opportunities to strengthen relationships.



PSE President and CEO Hans B. Sicat at the Emerging Markets Working Group Session at the World Federation of Exchanges Meeting in Cartagena, Colombia

Emerging Markets Working Group in the World Federation of Exchanges

The PSE took on a much bigger role in the global stock exchange community by serving as the chairman of the World Federation of Exchanges' (WFE) Emerging Markets Working Group (EMWG) for 2016. During the year, the Exchange spearheaded efforts to conduct a capacity-building session for members of the Asian and Oceanian Stock Exchanges Federation at its meeting in Bangkok, Thailand in March. The session tackled two of the most pressing issues in Europe, namely, the UK referendum to remain or leave the European Union, more popularly termed as "Brexit", and the Markets in Financial Instruments Directive 2 or MiFID 2, an EU legislation to guide the regulation of financial products and the venues where these instruments are traded.

The EMWG also led the development of a report on enhancing liquidity for emerging markets with the help of third-party consultant Oliver Wyman. The report, entitled "Enhancing Liquidity in Emerging Market Exchanges," was disseminated to WFE members on October 13. To further raise awareness and gather feedback on the report, the EMWG conducted a roundtable during the 56th WFE General Assembly and Annual Meeting in Cartagena, Colombia on November 2, with the session attracting participants from various stock exchanges, CCPs, regulators, and the World Bank.

ASEAN Exchanges Collaboration

The Exchange continued to actively participate in the ASEAN Exchanges collaboration, especially given the backdrop of greater integration in the ASEAN region.

During the 24th ASEAN Exchanges CEOs meeting on March 24 held in Bangkok, Thailand, the Exchanges endorsed global index provider MSCI's request to use the ASEAN brand name for MSCI's existing South East Asia indices. In return, MSCI expressed its interest to closely work with the ASEAN Exchanges by increasing coverage and client awareness of the MSCI ASEAN indices, participating in ASEAN Exchange-initiated roadshows, and potentially developing additional sector, growth and factor indices focused on ASEAN listed companies. The initiative with MSCI adds to the ASEAN Exchanges' existing partnership with FTSE Russell, which has been providing index development services to the Exchanges since 2005.

The ASEAN Exchanges also successfully conducted the 3rd ASEAN Broker Networking Session on October 8, hosted by the Hanoi Stock Exchange in Hanoi, Vietnam. The broker conference attracted the participation of more than 100 brokers from the region and provided attendees valuable networking opportunities and new learnings from panel discussions that tackled a variety of topics. The networking sessions remain an important component of the ASEAN Exchanges' goal of capital market integration by bringing the ASEAN brokerage community closer with one another and encouraging greater intra-ASEAN cross-border investment activity.

Listing Anniversaries

The PSE recognized companies celebrating listing anniversary milestones during the year through special bell ringing ceremonies.

In 2016, the PSE celebrated the listing anniversaries of five companies. Liberty Flour Mills, Inc. and Shang Properties, Inc. celebrated their 25th listing anniversaries while First Gen Corporation, COL Financial Group, Inc., and Energy Development Corporation celebrated their 10th listing anniversaries.

Employee Engagement Activities

As part of its commitment to the employees, the PSE annually holds regular major Exchange-wide initiatives to promote employee camaraderie and fun at the workplace.

For 2016, these company-wide events included a Town Hall Meeting with the company President and CEO to discuss relevant developments in the organization, the Annual Summer Outing which was held at the Estrellas de Mendoza Beach Resort in San Juan, Batangas, and the Halloween Party for the employees and their children. A monthly Kapihan with the President and CEO was also conducted to give birthday celebrants an opportunity to be up close and personal with the Exchange's Captain of the Ship. The PSE Christmas party capped the year's socials for the employees which highly engaged everyone. The friendly competitions, fun games and activities, raffle and awards sparked unity, creativity and friendship within the Company.

To help motivate employees, the Employee Services Department started a weekly "PSEInspires" series by sending inspirational messages during the work week. This complements the regular publication of the HR Inspire! Newsletter which provides updates on HR initiatives and employee engagement efforts.

Library Activities

Aside from providing day-to-day service to the investing and general public, the PSE Library also implemented various activities to engage its regular patrons. During the year, the PSE Library conducted Stock Flick, a film showing activity featuring movies related to the stock market, along with the 1st PSE Library Stock Knowledge Awards, where individual awards were given to PSE Library users for their continued support and patronage of the library's services. The PSE Library also facilitated discussions with academic and government libraries for possible partnerships that will enable resource-sharing in 2017.



PSE birthday celebrants at the Kapihan with the President



PSE Library users and guests at the 1st PSE Library Stock Knowledge Awards and PSE Stock Flick



PROFIT, PEOPLE, PLANET:

SUSTAINABILITY REPORT

The stock market can be said to be a palpable expression of commitment to sustainability. We are, after all, concerned not merely with growth, but with analysis and implementation of the factors that make continuous growth possible.

It can also be argued that our core responsibility as a stock market operator has to also be deeply concerned with the progress of a broader stakeholder base. Simply put, when our investors, personnel, government and corporate colleagues, and national and regional neighbors struggle, so do we. When they thrive, our business likewise enjoys the opportunity to excel.

In light of that – along with the Philippines' ongoing relative economic health and the burgeoning interest in the stock market across the country – we invested a lot of our sustainability efforts on people in 2016. We strove to nurture not only our own employees, but stakeholders both internal and external, even enlightening and cultivating future potential stakeholders.

Amid all these, we did not neglect our core business concerns and environmental responsibilities – because, like the stock market, sustainability is about the big picture. As a regulator, we are, in a sense, a caretaker, seeing to the well-being of not just individual trees, but the entire vast forest that surrounds us.

At the Philippine Stock Exchange, therefore, sustainability is far more than a currently-fashionable catchphrase – rather, it makes one of the soundest and most sensible of investments, and we remain committed to practicing and promoting its principles in all that we do.



Hans B. Sicat
President and CEO

PROFIT

Products

On November 8, the Securities and Exchange Commission approved the Philippine Stock Exchange's Supplemental Listing and Disclosure Rules applicable to a PPP company. PPP Listing and Disclosure Rules give Public-Private Partnership firms a viable option to fund projects through equity instruments, aside from the usual bank debt, bond issuance, and/or internally-generated capital. The PSE's proposal was formed following a series of roundtable discussions in partnership with the PPP Center of the Philippines, and in cooperation with Asian Development Bank and the SEC.

On November 10, the Exchange received the SEC's approval on its Rules on Dollar-Denominated Securities – securities listed, traded, and settled in US dollars (USD). These DDS Rules provide issuers and investors with alternatives to meet specific requirements. Issuers with dollar-denominated requirements can raise capital in USD at the PSE, to mitigate foreign exchange risks. The product can also reduce the currency risk exposure of foreign investors who trade PSE-listed securities, and offers local investors an alternative investment option for their USD currency holdings.

Dividends

The Exchange declared a PhP7.00 cash dividend per share in 2016, broken down as PhP4.29 regular dividend and PhP2.71 special cash dividend to stockholders of record, as of March 30, 2016, payable on April 25, 2016. The PSE's policy for the declaration of regular cash dividends out of the unrestricted retained earnings is equivalent to fifty percent (50%) of the Exchange's audited net income. The PSE can also declare special dividends in addition to this regular dividend policy, which it has done for the past few years. The declaration of regular and special dividends is dependent on the cash flow, business plan and financial condition of the Exchange.

Corporate Governance

The Exchange celebrated its fifth year of the PSE Bell Awards for Corporate Governance, an initiative that recognizes listed companies adhering to the highest standards of corporate governance in the country, and whose CG practices measure up to international standards. It also recognizes trading participants (TPs) that have demonstrated excellent compliance with PSE and SEC rules, regulations, and other applicable laws, while contributing to the performance and development of the stock market.

The 2016 Code of Corporate Governance, which is intended to raise the CG standards of Philippine corporations to a level on par with their regional and global counterparts, was publicly launched by the SEC on November 22, after a public consultation period. The latest G20/OECD Principles of Corporate Governance and the ASEAN Corporate Governance Scorecard were used as key reference materials in the drafting of this Code. The PSE participated – along with various business groups, other regulators, individual independent directors, and other stakeholders – as a member of the Technical Working Group, created by the SEC for the revision of the 2009 Code.

The development of a new Code of Corporate Governance for publicly-listed companies (PLCs) is the first action item for implementation in the Philippine Corporate Governance Blueprint, and the first of a series of corporate governance codes for different types of Philippine corporations under SEC supervision. The CG Blueprint was developed and launched by the SEC in November 2015, with the assistance of the PSE.

In further collaboration with the SEC, the Exchange co-sponsored the third SEC-PSE Corporate Governance Forum, along with USAID, the International Finance Corporation of the World Bank Group, the Makati Business Club, the Financial Executives Institute of the Philippines, and the Management Association of the Philippines. The forum was held on November 22 at the Philippine International Convention Center, during which the 2016 Code of Corporate Governance for Publicly Listed Companies was also launched. In addition to distinguished speakers and panelists from the private and public sectors, the event featured Vice-President Maria Leonor Robredo as keynote speaker.

Disclosure

The PSE champions high standards of disclosure and transparency, ensuring timely and accurate disclosure of all material information, to help investors make informed decisions. The Exchange hosts its annual stockholders' meeting to provide shareholders with an update on the year's performance, an opportunity to dialogue with PSE officials, and the annual report.

To keep both internal and external stakeholders well-informed of ongoing company news, the PSE sends out its bi-monthly corporate newsletter, PSE Bulletin.

Pertinent information – such as annual reports, financial reports, dividend history, stock price, company presentations, shareholder information, press releases, and the newsletter – is electronically-accessible at the PSE EDGE (Electronic Disclosure Generation Technology) website, <http://edge.pse.com.ph/>, as well as the Exchange's Investor Relations website, <http://www.pse.com.ph/investorRelations/home.html>. The PSE also offers regular postings of stock market news and alerts via its social media platforms, Facebook and Twitter.

Annual CG Training for directors and key officers

The annual CG seminar was held in-house for the first time on October 26 at The Peninsula Manila and was attended by the directors, management and key officers of the Exchange. The seminar covered the Proposed Revisions to the 2009 Code of Corporate Governance and Sustainable Business Development. Atty. Rosario Carmela Austria, SEC Assistant Director-Corporate Governance Division and Mr. Anthony Abaya, Chairman of S.E.E.D. Institute, gave lectures on the aforementioned subjects.

Business Continuity

The Exchange conducted disaster recovery (DR) tests on May 14, June 18, and August 20 – the last with the cooperation of trading participants, data vendors, and the Securities Clearing Corporation of the Philippines – under different fail-over scenarios. The tests are intended to assess the Exchange's readiness to continue trading, clearing, and settlement operations, in the event of a major system failure, attack, or disaster in the Exchange's primary data center or its trading floors, as well as to test the abilities of TPs and data vendors to connect to the PSE's DR site and commence or continue trading and data feeds. The DR site and regular DR tests will continue to be significant Business Continuity measures of the Exchange.

Company Policy Info Session

In line with its internal governance initiatives, the Company conducted various info sessions to keep employees abreast of company policies. The following info sessions were held throughout the year:

- a. Code of Ethics and Business Conduct, Information Security and Social Media Policy in January;

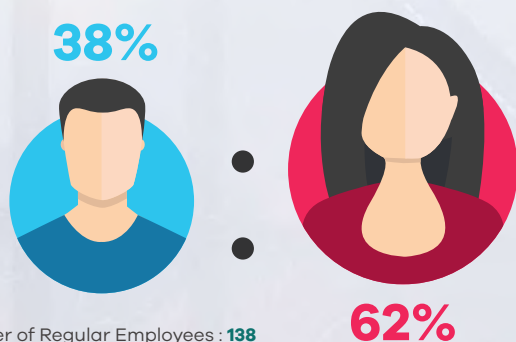
- b. Bomb Threat Awareness and Readiness in February and August;
- c. Non-Disclosure Agreement ("NDA") in September;
- d. Conflict of Interest and Whistleblowing Guidelines in November;
- e. Drug Awareness in December; and
- f. Emergency Marshalls Refresher Course in December.

PEOPLE

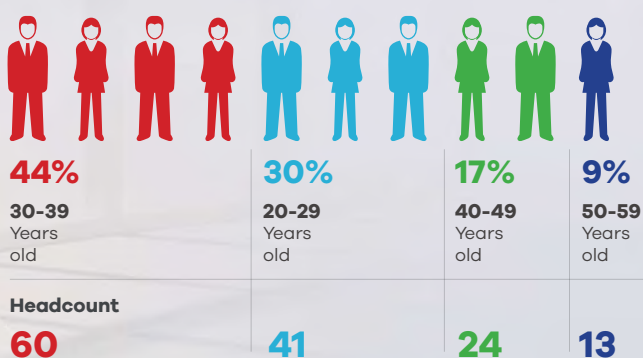
Human Resource Analytics

Analytics show that the PSE is maintaining a workforce strategically-aligned toward continuous organizational progress, with a gender balance skewing significantly in favor of female employees. Of its population of 138 regulars – most in their 30s – nearly 100% are college graduates, while a substantial 20% have master's degrees. All this puts the Exchange in a good position, moving forward, to nurture a long-term workforce, where currently less than 10 PSE personnel have over 20 years' tenure, with a quarter of employees having been with the company for less than a year.

Employees' Distribution by Gender



Age Group (2016)



Number of Regular Employees : 138

Education



Number of Regular Employees : 138

Career Growth

Further toward the goal of retaining a committed workforce, the PSE established a Learning and Development Framework. Through this program, the Exchange provided professional training and educational assistance for 110 employees in 2016, from 62 in 2015. It comprised of seven information, four in-house, and 39 external training programs covering Skills Enhancement, Certified Securities Specialist Course scholarships, and the concomitant HR analysis.

Health and Wellness

The 2016 wellness program kicked off on February 12 with Please Be Careful with My Heart, A PSE Valentine's Love Affair. Employees were serenaded by PhilCare cupids, receiving flowers, chocolates, body massages and consultation on hypertension and how to maintain a healthy heart.

Weekly zumba and tae bo sessions resumed, with cardio kickboxing added to the available workout list.

May and August, respectively, were marked by the annual basketball and bowling tournaments, attended by players from various PSE divisions and trading participants, as well as cheering crowds.

In June, the Human Resources and Administration Division, along with the Public and Investor Relations Department, conducted anti-flu vaccination for all employees, along with their dependents and interested trading participants. New employees received Hepatitis B vaccination, in compliance with Exchange Rules and Regulations, and as mandated by the Department of Labor and Employment.

The monthly Lunch and Learn wellness series was launched in September, in collaboration with PhilCare. The first session covered common health problems during cold, rainy weather, while succeeding sessions, in November and December, explored common skin diseases, proper skincare and weight management.



PSE employees during Zumba class

Employee Engagement

The initiative to promote bonding and camaraderie at the workplace began, as always, from the top, with the monthly Kapihan with the President and CEO, at which the birthday celebrants of that month enjoyed coffee and conversation with the top brass.

The 2016 annual summer outing was themed 'Alohamazing', and was held at the Estrellas de Mendoza Beach Resort in San Juan, Batangas. In April, employees met with the President and other Exchange officers in a town hall meeting, to discuss relevant organizational developments.

In September the #PSEInspires series was launched providing weekly postings of motivational messages meant to uplift personnel from the daily work grind, encouraging them to live and work with purpose and passion.

Employees and their children donned their scariest outfits for October's Halloween party, which featured trick-or-treat and a movie screening for the kids, while adults participated in various games and a dress-up-your-booth competition.

To provide employees with a mechanism to give feedback on various HR programs, an online feedback system dubbed #PSEpulse was deployed in the last quarter of the year. Two online surveys were conducted during the October to December period.

The HR Inspire! newsletter continued to be well-received, in its second year of delivering information on Human Resources events and updates.

Stakeholders Unite

The PSE Chairman's Cup Golf Invitational marked its 20th year in 2016. This year's golf event was held on April 30 at the Tagaytay Midlands Golf Club. More than 150 participants – from TPs to key officers of listed companies and individuals who have been involved in the development of the capital markets – took part in the Invitational Cup. The annual golf tournament is an avenue to promote camaraderie among PSE stakeholders.

The 12th edition of the PSE's annual Bull Run was held on January 10, with the aim of advocating physical fitness alongside financial fitness. Tagged 'Fit to Invest', the event was attended by more than 2,500 runners, representing listed and private companies, trading participants, government agencies, the entertainment industry, and other stakeholders. The fun run featured 5-kilometer, 10k, 16k and 21k running categories.

The PSE remained a first mover in organizing indoor football among industry players, holding its 7th PSE Futsal Cup on July 23 at the Emilio Aguinaldo College Gymnasium, Manila. Port operator International Container Terminal Services, Inc. (ICTSI) regained the title they had previously won in 2012 and 2014, triumphing over a field of over a hundred players from listed companies and stockbrokerage firms, including Aboitiz Equity Ventures, Ayala Land, Globe Telecom, SM Prime Holdings, Accord Capital Equities Corp., Asiasec Equities, Deutsche Regis Partners, Maybank ATR Kim Eng Securities, R.S. Lim and Company, UBS Securities Philippines, Unicapital Securities, and Westlink Global Equities.



International Container Terminal Services, Inc. emerged as 7th PSE Futsal Cup Champion

Community Involvement

The #PSEHelps campaign drive extended aid to victims of Typhoons Karen and Lawin, which caused considerable damage in many parts of Luzon. HRAD collected donations – in the form of pre-loved clothes, blankets, towels, canned goods and mineral water – which were turned over to the Department of Social Welfare and Development for proper dissemination.

The PSE accepted 43 interns in 2016, comprising students from Philippine universities, as well as the University of New South Wales in Australia, McGill University in Canada, New York University in Abu Dhabi, the University of Bristol in England, the University of Rochester in New York, and The British School Manila. The internship program exposed students to financial markets, engaging them in various research, marketing, and operations functions of the Exchange.

PSE Foundation

For its mandate to educate the investing public and increase public awareness on the stock market, the PSE Foundation undertook or funded the following projects:

1. Co-sponsored the "PSE Bull-Run 2016" with a donation of Php200 thousand. This is a yearly commitment of the PSE Foundation in helping raise public awareness on the stock market. More than 2,500 participants joined the run.
2. Likewise, a yearly commitment of the PSE Foundation in support of the capital market development is its donation of Php90 thousand to the FINEX-CMDC (Capital Market Development Council) as its share in the operating expenses of the CMDC secretariat.

The Foundation also donated three units of old desktop computers to Maila Rosario College in Tuguegarao City, Cagayan in March.

Market Education

To match growing interest in the stock market, the PSE held weekly stock market seminars in Cebu and Manila, doubling both frequency and total attendees from the semi-monthly schedule followed in 2015.

The Exchange conducted 12 webinar sessions in 2016, surpassing the eight sessions offered the previous year by 50 percent. Hosting over 500 attendees per session, the series covered topics for beginner, intermediate, and advanced-level investors, including an introduction to stock market investing, exchange-traded funds, technical analysis, fundamental analysis, portfolio management and personal finance.

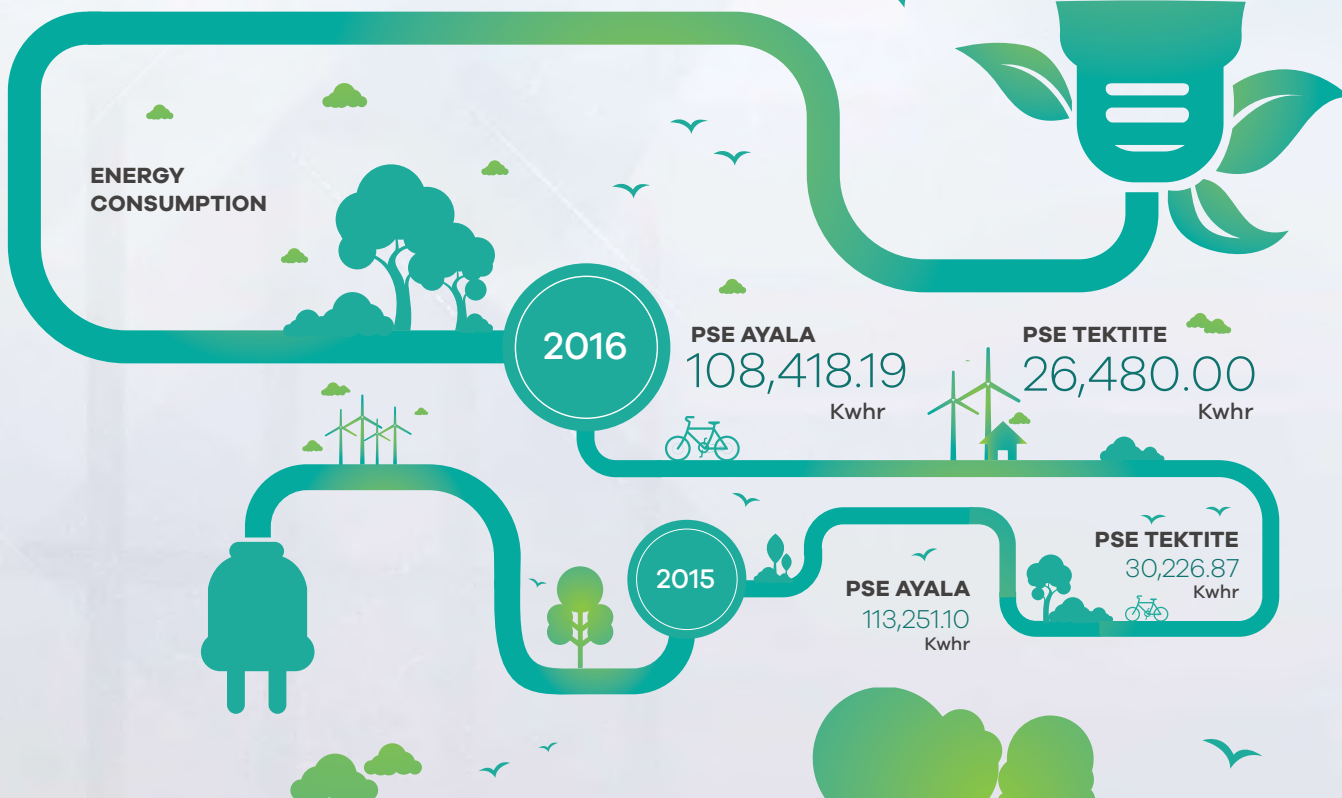
In both seminars and webinars, the PSE continued its call for market vigilance against investment scams. Informational materials, advertisements, a help desk number (819-4100), and an email address (investing@pse.com.ph) were likewise developed to assist the general public.

Casting its focus on Luzon in 2016, the Exchange held financial literacy roadshows in Pampanga on July 2, Laguna on September 9, and Baguio City on November 19. The event at Hotel Venez Baguio drew a record number of attendees – nearly 500 from Benguet, La Union, and areas of Central Luzon – making it the company's most well-attended roadshow to date, and ending the year on a definite high note.

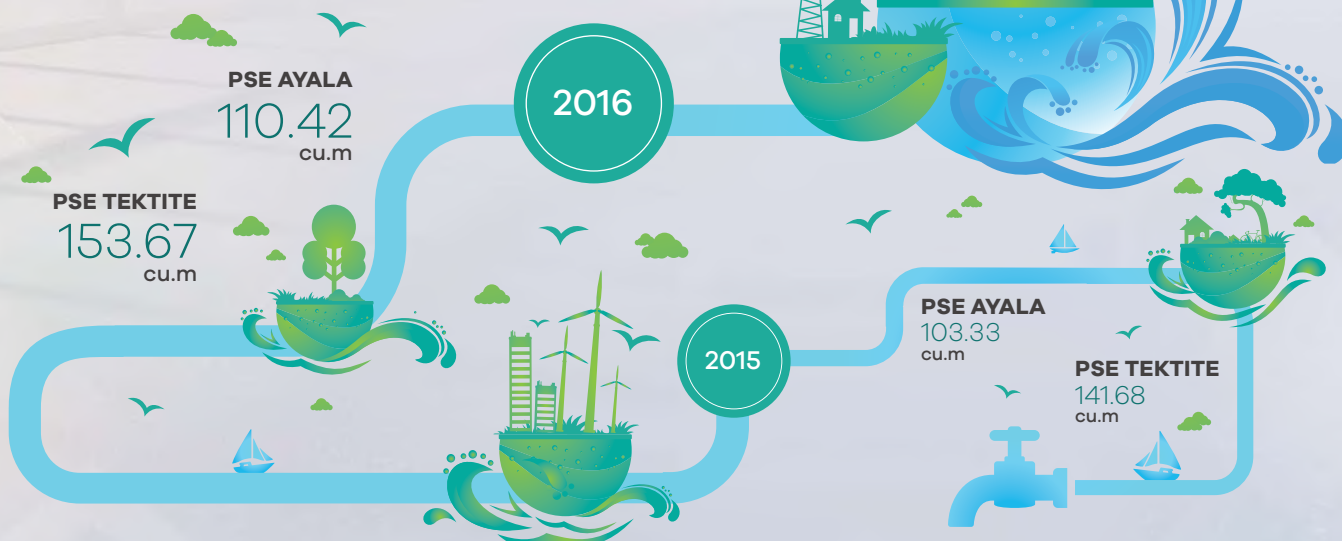
PLANET

Responsible Management

The PSE's electricity consumption continued to decline satisfyingly, with total consumption per month decreasing by 12.40 percent at the Tektite offices, and by 4.27 percent at Ayala. This was achieved through frequent monitoring and adjustment of the equipment operational schedule, particularly optimizing air-conditioning use for data centers, lighting and electronic board displays.



Although it rose slightly from 2015, water consumption remained well below the high usage marked in 2014. The increase in total monthly consumption – about 8.46 percent for Tektite, and 6.86 percent for Ayala – is attributable to heightened weekend housekeeping activities, as the PSE performed considerable cleaning and maintenance in 2016.







REPORT OF SUBSIDIARIES



SECURITIES CLEARING CORPORATION OF THE PHILIPPINES

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary of The Philippine Stock Exchange, Inc. (PSE) and is under the regulatory supervision of the Securities and Exchange Commission (SEC). It was established primarily as the clearing and settlement agency for equities trades transacted through the facilities of the Exchange, and acts as a central counterparty to trades executed through the Exchange. SCCP is authorized by the SEC to charge fees and impose fines and penalties and other sanctions as approved by the SCCP Board of Directors to ensure compliance of its clearing members.

Financial Performance

SCCP ended the year with a net income of P253.56 million, 10.0 percent lower than the net income of P281.62 million in 2015 due to the decline in the value traded at the stock market by 10.3 percent. From this net income, a total of P210 million was declared as cash dividends to the PSE, the sole stockholder of the SCCP.

2016 Internal and External Audit Ratings

The Corporation's books of accounts once again passed the high standards of accuracy, reliability, orderliness and effective controls of our external auditor. As with previous reviews, the Corporation did not receive any negative or major comment from its external auditor during their 2016 review.

Likewise, the Internal Audit Group gave the SCCP an overall audit rating of Excellent for its examination of the Corporation's Financial Operation covering the period January 2015 to July 2016 and Process Review of Clearing and Settlement Operations, Information Technology Management, Risk Management and Corporate Governance, covering the period July 2015 to June 2016.

Clearing and Settlement Operations

Clearing members continued to adhere to the T+3 12:00 noon settlement deadline, achieving a compliance rate of 99.99 percent and 99.98 percent for the delivery of their securities and cash obligations, respectively. There were no overnight fails during the year.

On the average, SCCP was able to release the Due Broker entitlements during the year at 12:28 p.m., slightly better than the average time of 12:34 p.m. in 2015. This enabled the clearing members to release the cash and securities entitlements to their investor clients at a reasonably early time.

Update on the Acquisition of a New Clearing & Settlement System

SCCP is in the process of acquiring a new clearing and settlement (C&S) system to replace its existing C&S system. The new system is intended to support the initiatives of the Exchange to launch new products and services, such as the Dollar Denominated Securities, and will incorporate global best practices in clearing and settlement services using advanced or latest, technology available in the market.

The C&S Project Team issued requests for proposals from vendors of clearing and settlement systems and received five proposals before the end of the first quarter of 2016. The new clearing and settlement system is being designed to be capable of handling the following:

1. Multi-settlement bank
2. Multi-currency (Peso, US dollar, Euro, Yen, etc.)
3. Multi-settlement cycle (T+0, T+1, T+2, T+3)
4. Multi-settlement model (DVP Model 1 (gross-gross), DVP Model 2 (netted cash, gross securities), and DVP Model 3 Multilateral Netting)
5. Multi-asset class (equities, ETF, fixed income, etc.)
6. Central bank money and commercial bank money

The functional and technical requirements were evaluated first, followed by the financial proposal. Responses were evaluated based on:

1. Features and functions of the proposed solution;
2. Prior experience and capacity of the respondent to engage in the Project;
3. Overall value of the financial proposal;
4. Comprehensiveness and clarity of the response to the RFP;
5. Ease of integration with the existing system;
6. Possibility of growth;
7. Time to implement; and
8. Ability of the respondent to deliver, implement and provide support.

The Project Team likewise conducted due diligence by gathering information from the potential vendors' existing C&S clients. The clients gave useful feedback on their experience with the implementation process, ease of use of the vendors' systems, capability to integrate with other systems, promptness and facility in troubleshooting, and several other important criteria. The vendor proposals and the feedback from the due diligence were used in the evaluation and shortlisting that was presented to the SCCP Board.

The implementation of a new C&S system will entail a major revision and enhancement of its Rules and Operating Procedures which will in turn require prior SCCP Board approval, public consultation and SEC approval. SCCP will likewise conduct market briefings and hands-on training sessions as well as a series of simulation tests to ensure that all its clearing members have gained familiarity with the features of the new C&S system as well as its functionalities. SCCP plans to launch its new clearing and settlement system in 2018.

Dollar Denominated Securities

The SCCP worked very closely with the Exchange and the Capital Markets Integrity Corporation towards the formulation of the Rules that would govern the Dollar Denominated Securities (DDS). The Securities and Exchange Commission approved the PSE DDS Rules on November 10.

Meetings held with the Bangko Sentral ng Pilipinas (BSP) proved fruitful with the inclusion of purchases by Philippine residents of foreign exchange through the banking system to fund outward investments, and in the case of SCCP, to fund settlement fails, as among the amendments to the Foreign Exchange Regulations which were approved by the Monetary Board on September 8.

The SCCP participated in meetings that were held with vendors of the TPs' back-office systems to discuss the modifications that would be needed since brokers' systems can only handle peso trades at the onset. SCCP also took part in the DDS training sessions for Ayala-based and Tektite-based brokers.

The SCCP Board approved the designation of BDO Unibank, Inc. as the Settlement Bank for DDS trades. SCCP may add to the roster of Settlement Banks for DDS trades in the future.

Additional Settlement Bank

Citibank, N.A. was accredited by the SCCP Board as its ninth settlement bank on October 19 after they passed the user acceptance testing with SCCP and integration testing with the existing settlement banks. Citibank adds to the eight accredited settlement banks of SCCP, namely Asia United Bank, BDO Unibank, Inc., Deutsche Bank, Hongkong and Shanghai Banking Corporation, Maybank Philippines Inc., Metropolitan Bank and Trust Company, Rizal Commercial Banking Corporation and UnionBank of the Philippines.

Annual Credit Review of Settlement Banks

SCCP's clearing members settle their cash obligations to SCCP through accounts opened with any of our accredited settlement banks, majority of whom are universal banks. Thus, SCCP is exposed to the risk of a settlement bank's insolvency or illiquidity for as long as the cash payments delivered by the net buying clearing members to their settlement banks for payment to SCCP have not yet been ultimately credited to the accounts of the net selling clearing members on T+3.

As part of its regular risk management procedures, SCCP conducts a formal review of its settlement banks annually, in addition to its regular monitoring throughout the year. Its 2016 annual credit review, as in the past, covered the banks' creditworthiness, liquidity, adherence to the capital adequacy ratio requirement of the BSP, quality of loan portfolio and technical and operational capability of the banks concerned.

The 2016 annual credit review of the banks confirmed that SCCP's financial partners are well-capitalized and liquid, have adequate buffers against potential credit losses, and maintain capital adequacy ratios well above the requirements of the Bangko Sentral ng Pilipinas as well as the Basel III capital adequacy requirements.

Shortening of Settlement Cycle from T+3 to T+2

The SCCP Board has authorized management to make the necessary preparations for the implementation of a shortened settlement cycle from T+3 to T+2 after the US and the ASEAN clearinghouses have implemented the same, and after the Philippine Clearing House Corporation has reduced the check clearing time from three days to 3:00PM of the following day, which is projected to be rolled out in the first half of 2017. The shortened settlement cycle is expected to reduce the settlement risks that SCCP faces for as long as trades remain outstanding and unsettled. Clearinghouses in Europe, Hong Kong, Australia, New Zealand and Vietnam have already shortened their settlement cycle to T+2. Except for Vietnam, the rest of Southeast Asia is still on T+3 settlement cycle. Indonesia plans to implement the T+2 settlement cycle in the first quarter of 2018, while Japan plans to do so in the second quarter of 2019.

Business Continuity and Disaster Recovery Testing

SCCP successfully conducted testing of its Business Continuity and Disaster Recovery (BC/DR) plan on a quarterly basis during the year.

SECURITIES CLEARING CORPORATION OF THE PHILIPPINES

BOARD OF DIRECTORS AND OFFICERS



JOSE T. PARDO
Chairman-Independent Director



HANS B. SICAT
President and Chief Executive Officer,
Director



WILLIAM L. ANG
Director



EMMANUEL O. BAUTISTA
Director



ANABELLE L. CHUA
Director



FRANCIS CHUA
Director



DAKILA B. FONACIER
Independent Director



WINSTON F. GARCIA
Independent Director



EDDIE T. GOBING
Director



AMOR C. ILISCUPIDEZ
Director



ALEJANDRO T. YU
Director



OMELITA J. TIANGCO
Treasurer



AISSA V. ENCARNACION
Corporate Secretary



RENEE D. RUBIO
Chief Operating Officer



CAPITAL MARKETS INTEGRITY CORPORATION

The Capital Markets Integrity Corporation (CMIC), a wholly-owned subsidiary of the PSE, is a self-regulatory organization (SRO) tasked to conduct independent audit and surveillance and enforce compliance with the securities laws by PSE trading participants (TPs). The CMIC is principally responsible in carrying out the enforcement role of an SRO in pursuance of securities laws. It has jurisdiction to investigate and resolve violations of securities laws as well as trading-related irregularities and unusual trading activities.

The CMIC is composed of three major departments, the Surveillance Department (SD), the Audit and Compliance Department (ACD), and the Investigation and Enforcement Department (IED), all of which play a vital role in fulfilling the company's task in safeguarding the investing public's interests and maintaining the market's integrity.

Surveillance

The SD monitors daily market activities, identifies any irregularities they spot in the market and investigates unfair trading activities. In 2016, it investigated a total of 167 cases, 24 of which were referred to the IED for further investigation. SD referred two cases to the ACD for special audit. Its investigation of 10 more cases continues.

Audit and Compliance

The ACD, through its Regular Examination Unit, completed its regular audit of all 132 TPs. At the end of the year, 95 percent of the TPs had no material violations, a positive indicator of the CMIC's ultimate goal of strengthening the capital markets industry. On the other hand, the ACD's Risk Management Unit (RMU), conducted spot audits on 43 TPs and found 95 percent of TPs having no material violations. The RMU is in charge of determining the TPs' compliance with the Risk Based Capital Adequacy Ratio (RBCA) and their reserve requirement, among other conditions imposed by securities laws.

Investigation and Enforcement

The IED, which conducts investigations and inquiries to determine possible violations of pertinent securities laws, issued resolutions on 10 investor complaints and 21 endorsed cases involving purported trading-related irregularities and unusual trading activities, among others. Within the year, the IED also received and consequently initiated its investigation of eight cases filed by investors and 24 cases endorsed by the SD. Of these total cases, eight were endorsed to the Securities and Exchange Commission (SEC) for further investigation and/or appropriate action, while six matters involving possible violations of the PSE Disclosure Rules were endorsed to the Exchange for evaluation.

Liquidation of closed TPs

On July 26, the SEC ordered CMIC to process claims of I. Ackerman & Co., Inc.'s (IACI) customers. This follows the SEC order directing CMIC to take over IACI's operations in 2015. Responding to this order, CMIC submitted its liquidation plan and allocation plan to liquidate IACI's trade-related assets and to settle IACI's trade-related liabilities to its customers.

The CMIC suspended the operations of IACI in 2014 for various violations of pertinent securities laws.

Meanwhile, the CMIC updated the allocation plan prepared by the then Market Regulations Division of the PSE for the clients of Marino Olondriz y Cia and Asian Capital Equities, Inc. The CMIC shall turn over the remaining assets of the above failed trading participants after the request for the payment of management fees has been acted upon by the SEC.

Reportorial Matters

The CMIC regularly submitted the following reports to the SEC:

1. Reports on resolved and appealed cases, and dockets of examinations and investigations being conducted by the CMIC;
2. Monthly report on started and completed audits;
3. Risk management unit reports; and
4. Report on the results of the monitoring of trading of listed companies and examinations being conducted by the CMIC.

Seminars and Trainings

The 2016 CMIC Trading Participants' Seminar was held on November 4 at the Asian Institute of Management in Makati City. There were 152 attendees representing 84 TPs. The seminar was also attended by representatives from the SEC, PSE, and the Securities Clearing Corporation of the Philippines.

The CMIC continues to provide training for its staff to enhance their proficiency in adhering to the corporation's core standards and practicing the values of professionalism, integrity, teamwork, competence, honesty, and fairness.

CMIC Management and Amendment of Rules

The CMIC has also started revising its rules to further strengthen and enhance its effectiveness in implementing these rules.

The CMIC continues to work towards a capital market industry that is fundamentally objective, integrally dynamic, and essentially progressive.

CAPITAL MARKETS INTEGRITY CORPORATION

BOARD OF DIRECTORS AND OFFICERS



DAKILA B. FONACIER
Chairman

CORNELIO C. GISON
President



ANDREW JEROME T. GAN
Independent Director

VIRGINIA T. OBCENA
Independent Director

PAUL S. SAGAYO, JR.
Independent Director &
Corporate Secretary

KATHERINE L. SHIH
Director



**MARIA FARAH
NICHOLAS-SUCHIANO**
Independent Director

OMELITA J. TIANGCO
Treasurer

JENNIFER B. REYES
Assistant Corporate
Secretary

GRACE M. CALUBAQUIB
Assistant Vice President,
Head, Surveillance Department

LISTED COMPANIES & ISSUES

AS OF **DECEMBER 31, 2016**

ISSUE/SECURITY	CODE	PAR VALUE IN PHP	WEBSITE
FINANCIALS SECTOR			
BANKS			
Asia United Bank Corporation	AUB	10	www.aub.com.ph
BDO Unibank, Inc.	BDO	10	www.bdo.com.ph
Bank of the Philippine Islands	BPI	10	www.bpiexpressonline.com
China Banking Corporation	CHIB	10	www.chinabank.ph
Citystate Savings Bank, Inc.	CSB	10	www1.citystate.com.ph
Export and Industry Bank, Inc. "A"	EIBA	0.25	-no corporate website-
Export and Industry Bank, Inc. "B"	EIBB	0.25	-no corporate website-
East West Banking Corporation	EW	10	www.eastwestbanker.com
Metropolitan Bank & Trust Company	MBT	20	www.metrobank.com.ph
NextGenesis Corporation	NXGEN	10	-no corporate website-
Philippine Business Bank	PBB	10	www.pbb.com.ph
Philippine Bank of Communications	PBC	25	www.pbcom.com.ph
Philippine National Bank	PNB	40	www.pnb.com.ph
Philippine Savings Bank	PSB	10	www.psbank.com.ph
Philippine Trust Company	PTC	10	www.philtrustbank.com
Rizal Commercial Banking Corporation	RCB	10	www.rcbc.com
Security Bank Corporation	SECB	10	www.securitybank.com
Union Bank of the Philippines	UBP	10	www.unionbankph.com

ISSUE/SECURITY	CODE	PAR VALUE IN PHP	WEBSITE
OTHER FINANCIAL INSTITUTIONS			
AG Finance, Incorporated	AGF	1	www.agfinance.ph
Bright Kindle Resources & Investments Inc.	BKR	0.55	www.brightkindle.com
BDO Leasing and Finance, Inc.	BLFI	1	www.bdo.com.ph/business/leasing-financing/about-us
COL Financial Group, Inc.	COL	1	www.colfinancial.com
First Abacus Financial Holdings Corporation	FAF	1	www.firstabacusfinancial.com.ph
Filipino Fund, Inc.	FFI	1	-no corporate website-
I-Remit, Inc.	I	1	www.myiremit.com
Medco Holdings, Inc.	MED	1	www.medco.com.ph
Manulife Financial Corporation	MFC	-	www.manulife.com
National Reinsurance Corporation of the Philippines	NRCP	1	www.nrmp.com.ph
The Philippine Stock Exchange, Inc.	PSE	1	www.pse.com.ph
Sun Life Financial Inc.	SLF	-	www.sunlife.com
Vantage Equities, Inc.	V	1	www.vantage.com.ph

INDUSTRIAL SECTOR

ELECTRICITY, ENERGY, POWER & WATER

Alsons Consolidated Resources, Inc.	ACR	1	www.acr.com.ph
Aboitiz Power Corporation	AP	1	www.aboitzpower.com
Basic Energy Corporation	BSC	0.25	www.basicenergy.ph
Energy Development Corporation	EDC	1	www.energy.com.ph
First Gen Corporation	FGEN	1	www.firstgen.com.ph
First Philippine Holdings Corporation	FPH	10	www.fphc.com
Philippine H2O Ventures Corp.	H2O	1	www.h2o.ph
Manila Electric Company	MER	10	www.meralco.com.ph
Manila Water Company, Inc.	MWC	1	www.manilawater.com
Petron Corporation	PCOR	1	www.petron.com
PHINMA Energy Corporation	PHEN	1	www.phinma.com.ph
Phoenix Petroleum Philippines, Inc.	PNX	1	www.phoenixfuels.ph
Pilipinas Shell Petroleum Corporation	SHLPH	1	www.pilipinas.shell.com.ph
SPC Power Corporation	SPC	1	-no corporate website-
Vivant Corporation	VVT	1	www.vivant.com.ph

FOOD, BEVERAGE & TOBACCO

AgriNurture, Inc.	ANI	1	www.ani.com.ph
Bogo-Medellin Milling Company, Inc.	BMM	10	-no corporate website-
Central Azucarera de Tarlac, Inc.	CAT	1	www.luisitasugar.com
Century Pacific Food, Inc.	CNPF	1	www.centurypacific.com.ph
Del Monte Pacific Limited	DMPL	\$0.01	www.delmontepacific.com
D&L Industries, Inc.	DNL	1	www.dnl.com.ph
Emperador Inc.	EMP	1	www.emperadorbrandy.com
Alliance Select Foods International, Inc.	FOOD	1	www.allianceselectfoods.com
Ginebra San Miguel, Inc.	GSMI	1	www.ginebrasanmiguel.com
Jollibee Foods Corporation	JFC	1	www.jollibee.com.ph
Liberty Flour Mills, Inc.	LFM	10	www.libertygroup.com.ph
Macay Holdings, Inc.	MACAY	1	www.macayholdings.com.ph
Max's Group, Inc.	MAXS	1	www.maxsgroupinc.com
Millennium Global Holdings, Inc.	MG	1	www.millennium-globalholdingsinc.com
San Miguel Pure Foods Company, Inc.	PF	10	www.sanmiguelpurefoods.com
Pepsi-Cola Products Philippines, Inc.	PIP	0.15	www.pepsiphilippines.com
Shakey's Pizza Asia Ventures, Inc.	PIZZA	1	www.shakeyspizza.ph
Roxas and Company, Inc.	RCI	1	www.roxascompany.com.ph
RFM Corporation	RFM	1	www.rfmfoods.com
Roxas Holdings, Inc.	ROX	1	www.roxasholdings.com.ph

ISSUE/SECURITY	CODE	PAR VALUE IN VALUE	WEBSITE
FOOD, BEVERAGE & TOBACCO			
Swift Foods, Inc.	SFI	1	www.swiftfoods.com.ph
Universal Robina Corporation	URC	1	www2.urc.com.ph
Vitarich Corporation	VITA	1	www.vitarich.com
Victorias Milling Company, Inc.	VMC	1	www.victoriasmilling.com
CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES			
Asiabest Group International Inc.	ABG	1	www.asiabestgroup.com
Concrete Aggregates Corporation "A"	CA	10	www.cac.com.ph
Concrete Aggregates Corporation "B"	CAB	10	www.cac.com.ph
Cemex Holdings Philippines, Inc.	CHP	1	www.cemexholdingsphilippines.com
Da Vinci Capital Holdings, Inc.	DAVIN	0.023	www.davincicapital.com.ph
EEl Corporation	EEI	1	www.eei.com.ph
Holcim Philippines, Inc.	HLCM	1	www.holcim.ph
Megawide Construction Corporation	MWIDE	1	www.megawide.com.ph
Phinma Corporation	PHN	10	www.phinma.com.ph
Philippine National Construction Corporation	PNC	10	www.pncc.ph
Supercity Realty Development Corporation	SRDC	1	www.supercity.com.ph
TKC Metals Corporation	T	1	www.tkcmetals.com.ph
Vulcan Industrial & Mining Corporation	VUL	1	-no corporate website-
CHEMICALS			
Chemical Industries of the Philippines, Inc.	CIP	10	www.chemphil.com.ph
Crown Asia Chemicals Corporation	CROWN	1	www.crownpvc.com.ph
Euro-Med Laboratories Phil., Inc.	EURO	1	www.euromedlab.net
LMG Chemicals Corporation	LMG	1	www.chemphil.com.ph
Mabuhay Vinyl Corporation	MVC	1	www.mvc.com.ph
Pryce Corporation	PPC	1	www.pryce.com.ph
ELECTRICAL COMPONENTS & EQUIPMENT			
Concepcion Industrial Corporation	CIC	1	www.cic.ph
Greenery Holdings Incorporated	GREEN	1	www.ghi.com.ph
Integrated Micro-Electronics, Inc.	IMI	1	www.global-imi.com
Ionics, Inc.	ION	1	www.ionicsgroup.com
Panasonic Manufacturing Philippines Corporation	PMPC	1	www.panasonic.com.ph
Phoenix Semiconductor Philippines Corp.	PSPC	1	www.pspc.com.ph
Cirtek Holdings Philippines Corporation	TECH	1	www.cirtekholdings.com
OTHER INDUSTRIALS			
Filsyn Corporation "A"	FYN	5	www.filsyncorp.com
Filsyn Corporation "B"	FYNB	5	www.filsyncorp.com
Picop Resources, Inc.	PCP	1	-no corporate website-
Steniel Manufacturing Corporation	STN	1	-no corporate website-
HOLDING FIRMS SECTOR			
Asia Amalgamated Holdings Corporation	AAA	1	-no corporate website-
AbaCore Capital Holdings, Inc.	ABA	1	www.abacorecapital.com
Ayala Corporation	AC	50	www.ayala.com.ph
Aboitiz Equity Ventures, Inc.	AEV	1	www.aboitiz.com
Alliance Global Group, Inc.	AGI	1	www.allianceglobalinc.com
A. Soriano Corporation	ANS	1	www.anscor.com.ph

ISSUE/SECURITY	CODE	PAR VALUE IN VALUE	WEBSITE
HOLDING FIRMS SECTOR			
Anglo Philippine Holdings Corporation	APO	1	www.anglophil.com
ATN Holdings, Inc. "A"	ATN	0.1	www.atnholdings.com
ATN Holdings, Inc. "B"	ATNB	0.1	www.atnholdings.com
BHI Holdings, Inc.	BH	100	www.bhi-holdings.com
Cosco Capital, Inc.	COSCO	1	www.coscocapital.com
DMCI Holdings, Inc.	DMC	1	www.dmciholdings.com
Filinvest Development Corporation	FDC	1	www.filinvestgroup.com
F & J Prince Holdings Corporation "A"	FJP	1	www.fjprince.com
F & J Prince Holdings Corporation "B"	FJPB	1	www.fjprince.com
Forum Pacific, Inc.	FPI	1	www.forumpacific.com
GT Capital Holdings, Inc.	GTCAP	10	www.gtcapital.com.ph
House of Investments, Inc.	HI	1.5	www.hoi.com.ph
JG Summit Holdings, Inc.	JGS	1	www2.jgsummit.com.ph
Jollville Holdings Corporation	JOH	1	www.joh.ph
Keppel Philippines Holdings, Inc. "A"	KPH	1	-no corporate website-
Keppel Philippines Holdings, Inc. "B"	KPHB	1	-no corporate website-
Lodestar Investment Holdings Corporation	LIHC	0.1	www.lodestarholdings.com
Lopez Holdings Corporation	LPZ	1	www.lopez-holdings.ph
LT Group, Inc.	LTG	1	www.ltg.com.ph
Metro Global Holdings Corporation	MGH	1	www.metroglobalholdings.com
Mabuhay Holdings Corporation	MHC	1	www.mabuhayholdingscorp.com
MJC Investments Corporation	MJIC	1	www.mjcinvestmentscorp.com
Metro Pacific Investments Corporation	MPI	1	www.mpic.com.ph
Pacifica, Inc.	PA	0.005	-no corporate website-
Prime Orion Philippines, Inc.	POPI	1	www.primeorion.com
Prime Media Holdings, Inc.	PRIM	1	www.primemediaholdingsinc.com
Republic Glass Holdings Corporation	REG	1	www.repglass.net
Solid Group, Inc.	SGI	1	www.solidgroup.com.ph
Synergy Grid & Development Phils., Inc.	SGP	1	www.synergygrid.ph
SM Investments Corporation	SM	10	www.sminvestments.com
San Miguel Corporation	SMC	5	www.sanmiguel.com.ph
SOCResources, Inc.	SOC	1	www.southchinasourcesinc.com.ph
Seafront Resources Corporation	SPM	1	www.seafrontresources.com.ph
Top Frontier Investment Holdings, Inc.	TFHI	1	www.topfrontier.com.ph
Unioil Resources & Holdings Company, Inc.	UNI	1	-no corporate website-
Wellex Industries, Inc.	WIN	1	www.wellexindustries.com
Zeus Holdings, Inc.	ZHI	1	www.zeusholdingsinc.com

PROPERTY SECTOR

Arthaland Corporation	ALCO	0.18	www.arthaland.com.ph
Anchor Land Holdings, Inc.	ALHI	1	www.anchorland.com.ph
Ayala Land, Inc.	ALI	1	www.ayalaland.com.ph
Araneta Properties, Inc.	ARA	1	www.aranetaproperties.com
Belle Corporation	BEL	1	www.bellecorp.com
A Brown Company, Inc.	BRN	1	www.abrown.ph
Cityland Development Corporation	CDC	1	www.citylandcondo.com
Crown Equities, Inc.	CEI	0.1	www.crownequitiesinc.com
Cebu Holdings, Inc.	CHI	1	www.cebuholdings.com
Century Properties Group Inc.	CPG	0.53	www.century-properties.com
Cebu Property Ventures and Development Corporation "A"	CPV	1	www.cpvdc.com
Cebu Property Ventures and Development Corporation "B"	CPVB	1	www.cpvdc.com
Cyber Bay Corporation	CYBR	1	-no corporate website-
DoubleDragon Properties Corp.	DD	0.1	www.doubledragon.com.ph
Empire East Land Holdings, Inc.	ELI	1	www.empire-east.com

ISSUE/SECURITY	CODE	PAR VALUE IN PHP	WEBSITE
PROPERTY SECTOR			
Ever-Gotesco Resources and Holdings, Inc.	EVER	1	-no corporate website-
Filinvest Land, Inc.	FLI	1	www.filinvestland.com
Global-Estate Resorts, Inc.	GERI	1	www.global-estate.ph
8990 Holdings, Inc.	HOUSE	1	www.8990holdings.com
IRC Properties, Inc.	IRC	1	www.ircproperties.com
Keppel Philippines Properties, Inc.	KEP	1	www.keppelland.com.ph
City & Land Developers, Incorporated	LAND	1	www.citylandcondo.com
Megaworld Corporation	MEG	1	www.megaworldcorp.com
MRC Allied, Inc.	MRC	0.1	www.mrcallied.com
Philippine Estates Corporation	PHES	1	www.phes.com.ph
Primetown Property Group, Inc.	PMT	1	-no corporate website-
Primex Corporation	PRMX	0.2	primexcorp.com.ph
Robinsons Land Corporation	RLC	1	www.robinsonsland.com
Philippine Realty and Holdings Corporation	RLT	0.5	www.philrealty.ph
Rockwell Land Corporation	ROCK	1	www.e-rockwell.com
Shang Properties, Inc.	SHNG	1	www.shangproperties.com
Sta. Lucia Land, Inc.	SLI	1	www.stalucialand.com.ph
SM Prime Holdings, Inc.	SMPH	1	www.smpriime.com
Starmalls, Inc.	STR	1	www.starmallsinc.com.ph
Suntrust Home Developers, Inc.	SUN	1	www.suntrusthomedev.com
PTFC Redevelopment Corporation	TFC	1	www.ptfc-brc.com/info
Uniwide Holdings, Inc.	UW	1	-no corporate website-
Vista Land & Lifescapes, Inc.	VLL	1	www.vistaland.com.ph
SERVICES SECTOR			
MEDIA			
ABS-CBN Corporation	ABS	1	corporate.abs-cbn.com
GMA Network, Inc.	GMA7	1	www.gmanetwork.com
Manila Bulletin Publishing Corporation	MB	1	www.mb.com.ph
Manila Broadcasting Company	MBC	1	www.manilabroadcasting.com
TELECOMMUNICATIONS			
Globe Telecom, Inc.	GLO	50	www.globe.com.ph
Philippine Telegraph and Telephone Corporation	PTT	1	www.ptt.net.ph
PLDT Inc.	TEL	5	www.pldt.com
INFORMATION TECHNOLOGY			
Apollo Global Capital, Inc.	APL	0.01	-no corporate website-
DFNN, Inc.	DFNN	1	www.dfnn.com
Imperial Resources, Inc. "A"	IMP	5	www.imperialresources.ph
Imperial Resources, Inc. "B"	IMPB	5	www.imperialresources.ph
Island Information & Technology, Inc.	IS	0.01	www.iiti.ph
ISM Communications Corporation	ISM	1	www.ismcorp.com.ph
Jackstones, Inc.	JAS	1	-no corporate website-
Now Corporation	NOW	1	www.now-corp.com
Transpacific Broadband Group International, Inc.	TBGI	1	www.tbgi.net.ph
Philweb Corporation	WEB	1	www.philweb.com.ph
TRANSPORTATION SERVICES			
2GO Group, Inc.	2GO	1	www.2go.com.ph
Asian Terminals, Inc.	ATI	1	www.asianterminals.com.ph
Cebu Air, Inc.	CEB	1	www.cebupacificair.com
International Container Terminal Services, Inc.	ICT	1	www.ictsi.com

ISSUE/SECURITY	CODE	PAR VALUE IN PHP	WEBSITE
SERVICES SECTOR			
TRANSPORTATION SERVICES			
LBC Express Holdings, Inc.	LBC	1	www.lbcexpressholdings.com
Lorenzo Shipping Corporation	LSC	1	www.lorenzoshipping.com
MacroAsia Corporation	MAC	1	www.macroasiacorp.com
Metro Alliance Holdings & Equities Corporation "A"	MAH	1	www.metroalliance.com
Metro Alliance Holdings & Equities Corporation "B"	MAHB	1	www.metroalliance.com
PAL Holdings, Inc.	PAL	1	www.philippineairlines.com
Globalport 900, Inc.	PORT	1	-no corporate website-
Harbor Star Shipping Services, Inc.	TUGS	1	www.harborstar.com.ph
HOTEL & LEISURE			
Acesite (Phils.) Hotel Corporation	ACE	1	-no corporate website-
Boulevard Holdings, Inc.	BHI	0.1	www.boulevardholdings.com
Discovery World Corporation	DWC	1	www.discovery.com.ph
Grand Plaza Hotel Corporation	GPH	10	www.grandplazahotelcorp.com
Waterfront Philippines, Inc.	WPI	1	www.waterfronthotels.com.ph
EDUCATION			
Centro Escolar University	CEU	1	www.ceu.edu.ph
Far Eastern University, Inc.	FEU	100	www.feu.edu.ph
iPeople, Inc.	IPO	1	www.ipeople.com.ph
STI Education Systems Holdings, Inc.	STI	0.5	www.stiholdings.com
CASINOS & GAMING			
Berjaya Philippines, Inc.	BCOR	1	www.berjaya.com
Bloomberry Resorts Corporation	BLOOM	1	bloomberry.ph
IP E-Game Ventures, Inc.	EG	0.01	-no corporate website-
Pacific Online Systems Corporation	LOTO	1	www.loto.com.ph
Leisure & Resorts World Corporation	LR	1	www.lrtc.com.ph
Melco Crown (Philippines) Resorts Corporation	MCP	1	www.melco-crown-philippines.com
Manila Jockey Club, Inc.	MJC	1	www.manilajockey.com
Premium Leisure Corp.	PLC	0.25	www.premiumleisurecorp.com
Philippine Racing Club, Inc.	PRC	1	www.santa-ana-park.com
Travellers International Hotel Group, Inc.	RWM	0.1	www.travellers.com.ph
RETAIL			
Calata Corporation	CAL	1	www.calatacorp.com
Metro Retail Stores Group, Inc.	MRSGL	1	www.metroretail.com.ph
Puregold Price Club, Inc.	PGOLD	1	www.puregold.com.ph
Robinsons Retail Holdings, Inc.	RRHI	1	www.robinsonsretailholdings.com.ph
Philippine Seven Corporation	SEVN	1	www.7-eleven.com.ph
SSI Group, Inc.	SSI	1	www.ssigroup.com.ph
OTHER SERVICES			
APC Group, Inc.	APC	1	www.apcaragorn.net
Easycall Communications Philippines, Inc.	ECP	1	www.easycall.com.ph
Golden Haven Memorial Park, Inc.	HVN	1	www.goldenhaven.com.ph
IPM Holdings, Inc.	IPM	1	www.ipmholdings.com.ph
Paxys, Inc.	PAX	1	www.paxys.com
Premiere Horizon Alliance Corporation	PHA	0.25	www.premierehorizon.com
Philcomsat Holdings Corporation	PHC	1	www.phc.com.ph
SBS Philippines Corporation	SBS	1	www.sytengco.com

ISSUE/SECURITY	CODE	PAR VALUE IN PHP	WEBSITE
MINING & OIL SECTOR			

MINING

Atok-Big Wedge Co., Inc.	AB	1	www.atokbigwedge.com
Apex Mining Co., Inc.	APX	1	www.apexmines.com
Abra Mining and Industrial Corporation	AR	0.01	www.abramining.com
Atlas Consolidated Mining and Development Corporation	AT	1	www.atlasmining.com.ph
Benguet Corporation "A"	BC	1	www.benguetcorp.com
Benguet Corporation "B"	BCB	1	www.benguetcorp.com
Coal Asia Holdings Incorporated	COAL	1	www.coalasiaholdings.com
Century Peak Metals Holdings Corporation	CPM	1	www.centurypeakmetals.com
Dizon Copper-Silver Mines, Inc.	DIZ	1	www.dizonmines.com
Global Ferronickel Holdings, Inc.	FNI	1.05	www.gfni.com.ph
GEOGRACE Resources Philippines, Inc.	GEO	1	www.geograce.com
Lepanto Consolidated Mining Company "A"	LC	0.1	www.lepantomining.com
Lepanto Consolidated Mining Company "B"	LCB	0.1	www.lepantomining.com
Manila Mining Corporation "A"	MA	0.01	www.manilamining.com
Manila Mining Corporation "B"	MAB	0.01	www.manilamining.com
Marcventures Holdings, Inc.	MARC	1	www.marcventuresholdings.com
NiHAO Mineral Resources International, Inc.	NI	1	www.nihaominer.com
Nickel Asia Corporation	NIKL	0.5	www.nickelasia.com
Omico Corporation	OM	1	www.omico.com.ph
Oriental Peninsula Resources Group, Inc.	ORE	1	www.orientalpeninsula.com
Philex Mining Corporation	PX	1	www.philexmining.com.ph
Semirara Mining and Power Corporation	SCC	1	www.semiraramining.com
United Paragon Mining Corporation	UPM	0.01	www.unitedparagon.com

OIL

Oriental Petroleum and Minerals Corporation "A"	OPM	0.01	www.opmc.com.ph
Oriental Petroleum and Minerals Corporation "B"	OPMB	0.01	www.opmc.com.ph
The Philodrill Corporation	OV	0.01	www.philodrill.com
PetroEnergy Resources Corporation	PERC	1	www.petroenergy.com.ph
PXP Energy Corporation	PXP	1	www.pxpenery.com.ph
Trans-Asia Petroleum Corporation	TAPET	1	www.transasia-petroleum.com

PREFERRED

Allied Banking Corporation - 15% Cumulative Convertible Preferred A	ABC	1000	www.alliedbank.com.ph
Ayala Corporation Preferred Class "A" Shares	ACPA	100	www.ayala.com.ph
Ayala Corporation Class "B" Series 1 Preferred Shares	ACPB1	100	www.ayala.com.ph
Ayala Corporation Class "B" Series 2 Preferred Shares	ACPB2	100	www.ayala.com.ph
Arthaland Corporation Series "B" Perpetual Preferred Shares	ALCPB	1	www.arthaland.com.ph
Benguet Corporation - 8% Cumulative Convertible Preferred A	BCP	3.44	www.benguetcorp.com
DoubleDragon Properties Corporation Preferred Shares	DDPR	100	www.doubledragon.com.ph
DMCI Holdings, Inc. - Cumulative Convertible Preferred	DMCP	1	www.dmciholdings.com
First Gen Corporation Series "F" Preferred Shares	FGENF	10	www.dmciholdings.com
First Gen Corporation Series "G" Preferred Shares	FGENG	10	www.firstgen.com.ph
First Philippine Holdings Corporation - Preferred	FPHP	100	www.fphc.com
First Philippine Holdings Corporation Series "C" Preferred Shares	FPHPC	100	www.fphc.com
Globe Telecom, Inc. Series A Voting Perpetual Preferred Shares	GLOPA	5	www.globe.com.ph

ISSUE/SECURITY	CODE	PAR VALUE IN PHP	WEBSITE
PREFERRED			
Globe Telecom, Inc. Series A Non-Voting Perpetual Preferred Shares	GLOPP	50	www.globe.com.ph
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "A"	GTPPA	100	www.gtcapital.com.ph
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "B"	GTPPB	100	www.gtcapital.com.ph
Leisure & Resorts World Corporation Preferred	LRP	1	www.lwrc.com.ph
Megawide Construction Corporation Perpetual Preferred Shares	MWP	1	www.megawide.com.ph
San Miguel Pure Foods Company, Inc. - Preferred	PFP	10	www.sanmiguelpurefoods.com
San Miguel Pure Foods Company, Inc. Perpetual Preferred Shares Series "2"	PFP2	10	www.sanmiguelpurefoods.com
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3A" Preferred Shares	PNX3A	1	www.phoenixfuels.ph
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3B" Preferred Shares	PNX3B	1	www.phoenixfuels.ph
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual Preferred Shares	PNXP	1	www.phoenixfuels.ph
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2A"	PRF2A	1	www.petron.com
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2B"	PRF2B	1	www.petron.com
Swift Foods, Inc. Convertible Preferred	SFIP	1	www.swiftfoods.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-A"	SMC2A	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-B"	SMC2B	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-C"	SMC2C	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-D"	SMC2D	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-E"	SMC2E	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-F"	SMC2F	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-G"	SMC2G	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-H"	SMC2H	5	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-I"	SMC2I	5	www.sanmiguel.com.ph
San Miguel Corporation - Preferred Series "I"	SMCP1	5	www.sanmiguel.com.ph
PLDT Conv Series II	TLII	10	www.pldt.com
PLDT Conv Series JJ	TLJJ	10	www.pldt.com

PHILIPPINE DEPOSITARY RECEIPTS			
ABS-CBN Holdings Corporation - Philippine Deposit Receipts	ABSP	0.10*	corporate.abs-cbn.com
GMA Holdings, Inc. - Philippine Deposit Receipts	GMAP	0.05*	www.gmanetwork.com

WARRANTS			
Leisure & Resorts World Corporation Warrants	LRW	15.00*	www.lwrc.com.ph

SMALL, MEDIUM & EMERGING BOARD			
Alterra Capital Partners, Inc.**	ALT	0.25	-no corporate website-
Italpinas Development Corporation	IDC	0.5	www.italpinas.com
Makati Finance Corporation	MFIN	1	www.makatifinance.com.ph
Xurpas Inc.	X	0.1	www.xurpas.com

ETF SECTOR			
ETF-EQUITY			
First Metro Philippine Equity Exchange Traded Fund, Inc.	FMETF	100	www.firstmetroetf.com.ph

*Exercise Price

** Corporate name changed to Philab Holdings Corp on February 16, 2017



CERTIFICATION

This is to certify that the following directors and key officials of The Philippine Stock Exchange, Inc. have attended Corporate Governance trainings organized by the below providers in 2016:

Conducted by: *The Philippine Stock Exchange, Inc.*
 Date of Training: *26 October 2016*
 Program: *2016 PSE, SCCP, CMIC Corporate Governance Training*

Name	Position / Designation
Hans B. Sicat	Director, President and CEO
Emmanuel O. Bautista	Director
Anabelle L. Chua	Director
Dakila B. Fonacier	Independent Director
Eddie T. Gobing	Director
Amor C. Iliscupidez	Director
Edgardo G. Lacson	Director
Ramon S. Monzon	Independent Director
Alejandro T. Yu	Director
Omelita J. Tiangco	Treasurer
Atty. Aissa V. Encarnacion	Corporate Secretary
Atty. Roel A. Refran	Senior Vice President and Chief Operating Officer
J. Argel G. Astudillo	Vice President, Compliance Officer and Head-Corporate Governance Office
Rachelle C. Blanch	Vice President and Head-Markets Operations Division
Atty. Veronica V. Vicedo-Del Rosario	Assistant Vice President, General Counsel and Head-Office of the General Counsel
Jinky A. Alora	Assistant Vice President and Head-Internal Audit Group
John Benette B. Mamañgun	Assistant Vice President, Head-Corporate Planning and Investor Relations Division and OIC-Capital Markets Development Division
Philip A. Driz	Assistant Vice President and Head-Technology Division
Mary Catherine Lydet Soliman-Radaza	Senior Manager and Acting Head-Human Resources and Administration Division
Elisa L. Benavidez	Senior Manager and OIC-Controllershship and Treasury Division

Conducted by: *Securities and Exchange Commission (in collaboration with other institutions)*
 Date of Training: *22 November 2016*
 Program: *3rd SEC-PSE Corporate Governance Forum*

Name	Position / Designation
Hans B. Sicat	Director, President and CEO
J. Argel G. Astudillo	Vice President, Compliance Officer and Head-Corporate Governance Office
Atty. Veronica V. Vicedo-Del Rosario	Assistant Vice President General Counsel and Head-Office of the General Counsel
Jinky A. Alora	Assistant Vice President and Head-Internal Audit Group
Mary Catherine Lydet Soliman-Radaza	Senior Manager and Acting Head-Human Resources and Administration Division
Elisa L. Benavidez	Senior Manager and OIC-Controllershship and Treasury Division

Conducted by: *Risks, Opportunities, Assessment and Management (ROAM), Inc.*
 Date of Training: *29 November 2016*
 Program: *Corporate Governance Seminar*

Name	Position / Designation
Eusebio H. Tanco	Director

Conducted by: *Center for Training and Development, Inc.*
 Date of Training: *5 December 2016*
 Program: *Corporate Governance: Fraud Awareness*

Name	Position / Designation
Wilson L. Sy	Director

Attached are the scanned copies of the proof of attendance for reference.

Lastly, the Commission issued a permanent exemption from the training requirement to our Chairman and Independent Director, Jose T. Pardo, in its en banc meeting held last 8 December 2015.

26 January 2017, Makati City.



J. Argel G. Astudillo
 Compliance Officer



REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI) SS

CERTIFICATE

I, **J. Argel G. Astudillo**, of legal age and with office address at the 3/F Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City, after being sworn to in accordance with law, depose and state that:

1. I am the incumbent Compliance Officer of The Philippine Stock Exchange, Inc. (the "Company"), a corporation duly organized and existing in accordance with the laws of the Republic of the Philippines, with office address at the PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City;
2. I certify that the Company has complied with the provisions of its Manual on Corporate Governance for the calendar year ending December 31, 2016;
3. I am issuing this Certificate based on the requirement of the Company's own Manual on Corporate Governance on the annual reporting on the Company's compliance with the same; and

IN WITNESS WHEREOF, I have signed this Certificate this JAN 24 2017 at Makati City, Metro Manila, Philippines.


J. ARGEL G. ASTUDILLO
Compliance Officer

SUBSCRIBED AND SWORN TO before me this JAN 24 2017 at Makati City, affiant exhibiting to me his Passport No. EB6023702 issued at Manila, Philippines, on July 25, 2012.

WITNESS my hand and notarial seal on the date and place above written.

Doc No. : 8
Page No. : 2
Book No. : 1
Series of 2017




LESLIE GLENNE C. ABAD
Notary Public
PTR No. 1234567890
RES. No. 1234567890
NOTARIAL COMMISSION NO. 1234567890
SF MONTEFINO BLDG., USANOROLOG SE,
LEGASPI VILLAGE, MAKATI CITY



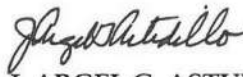
REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI) SS

CERTIFICATE

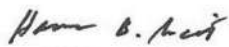
I, **J. Argel G. Astudillo**, of legal age and with office address at the 3/F Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City, after being sworn to in accordance with law, depose and state that:

1. I am the incumbent Compliance Officer of the Securities Clearing Corporation of the Philippines (the "Company"), a corporation duly organized and existing in accordance with the laws of the Republic of the Philippines, with office address at the PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City;
2. I certify that the Company has complied with the provisions of its Manual on Corporate Governance for the calendar year ending December 31, 2016, as prescribed by the Securities and Exchange Memorandum Circulars No. 6, Series of 2009 and No.9, Series of 2014;
3. I am issuing this Certificate based on the requirement of the Securities and Exchange Commission on the annual reporting on the Company's compliance with the Manual of Corporate Governance; and

IN WITNESS WHEREOF, I have signed this Certificate this JAN 24 2017 at Makati City, Metro Manila, Philippines.


J. ARGEL G. ASTUDILLO
Compliance Officer

Countersigned by:

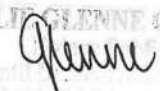

HANS B. SICAT
President and CEO

SUBSCRIBED AND SWORN TO before me this _____ at Makati City, affiant exhibiting to me his Passport No. EB6023702 issued at Manila, Philippines, on July 25, 2012.

WITNESS my hand and notarial seal on the date and place above written.

Doc No. : 9 ;
Page No. : 2 ;
Book No. : I ;
Series of 2017




LESLIE GLENNE C. ABAD
Notary Public
PTR # 9912, Makati City
IBP # 10003, Makati City
ROLL OF ATTORNEYS # 10003
NOTARIAL COMMISSION NO. 10003
SF MONTENEGRO BLDG., 133 AMORSOLO ST.,
LEGASPI VILLAGE, MAKATI CITY

GENERAL NATURE AND SCOPE OF BUSINESS OF REGISTRANT AND ITS SUBSIDIARIES

The Philippine Stock Exchange, Inc. was incorporated on July 14, 1992 as a non-stock corporation and later became a stock corporation on August 3, 2001. On December 15, 2003, pursuant to the demutualization mandate of Republic Act No. 8799, or the Securities Regulation Code (SRC), the Company's outstanding capital stock was listed by way of introduction. On February 18, 2004, the Company sold 6,077,505 shares from its unissued stock to five strategic investors by way of private placement that was approved by the Securities and Exchange Commission (SEC). The strategic investors were the PLDT Beneficial Trust Fund, SMC Retirement Fund, Government Service Insurance System, Kim Eng Investment, Ltd., and KE Strategic Pte. Ltd.

The Company's revenues are primarily derived from listing-related and trading-related fees. The Company charges listing fees for initial public offerings and additional listings, and for annual listing maintenance. Meanwhile, trading revenues are primarily comprised of transaction fees, subscription fees, and service fees related to clearing and settlement. Other sources of revenue are membership, data feed, and miscellaneous fees.

Subsidiary and Affiliates

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary organized primarily as a clearing and settlement agency for SCCP-eligible trades executed through the facilities of the Company. SCCP is responsible for: (a) synchronizing the settlement of funds for transactions of clearing members and the transfer of securities through Delivery versus Payment (DVP) clearing; (b) the administration of the Clearing and Trade Guaranty Fund (CTGF) and guaranteeing the settlement of trades through the implementation of its Fails Management System in the event of a Trading Participant's default; and (c) performance of Risk Management and Monitoring to ensure final and irrevocable settlement.

The Capital Markets Integrity Corporation (CMIC) is also a wholly-owned subsidiary. It functions as the independent audit, surveillance and compliance unit of the Company, having taken over the functions of the former Market Regulation Division of the Company. CMIC operates to ensure the integrity of the capital market and has jurisdiction to investigate all violations of the SRC and CMIC Rules by Trading Participants, and investigate trading-related irregularities and unusual trading activities committed by Issuers. The SEC granted CMIC its authority to operate as the independent audit, surveillance and compliance unit of the Company with provisional self-regulatory organization status on 2 February 2012.

The Company is also a shareholder of the Philippine Dealing System Holdings Corporation (PDSHC), the holding company of the Philippine Dealing & Exchange Corporation (PDEX), otherwise known as the Fixed Income Exchange (FIE), the Philippine Depository & Trust Corp. (PDTCT) and the Philippines Securities Settlement Corporation (PSSC). As of 29 February 2016, the Company is a stockholder of record of 1,311,439 shares, or 20.98%, of all of the issued and outstanding shares.

Properties

The Company is the registered owner of offices at the PSE Centre in Ortigas Center, Pasig City, and the PSE Plaza along Ayala Avenue, Makati City.

On 19 May 2015, the Company and Fort Bonifacio Development Corporation signed a Contract to Sell for the purchase by the Company of office units in Bonifacio Global City to house the Company's new headquarters and offices.

MARKET FOR ISSUERS COMMON EQUITY AND RELATED STOCKHOLDER MATTERS

Principal market where the registrant's common equity is traded

The common stock of the Company is listed in The Philippine Stock Exchange, Inc.

Stock Prices

The high and low prices of the Company's shares in the stock exchange for each quarter of fiscal years 2015 and 2016 and for the first quarter of 2017 are as follows:

2015	High	Low
Q1	P361.20	P290.40
Q2	P339.80	P301.00
Q3	P316.00	P294.80
Q4	P306.00	P275.20
2016	High	Low
Q1	P294.00	P232.00
Q2	P289.00	P257.00
Q3	P289.00	P259.00
Q4	P272.00	P236.20
2017	High	Low
Q1	P250.00	P228.00

The highest and lowest prices of the Company's shares during the year were P294.00 and P232.00, respectively. The stock price of the Company closed at P241.40 on 4 April 2017.

Holders

The number of shareholders of record as of 31 March 2017 is 280. Total shares outstanding as of 31 March 2017 is 73,416,777 shares with a par value of P1.00.

The top twenty (20) holders as of 31 March 2017 are as follows:

	Stockholder	Beneficial Owner	Nationality	No. of Shares	Amount	Percentage
1	PCD Nominee Corp.		Filipino	49,455,332	49,455,332.00	67.36%
		The First Resources Management and Securities Corp.		7,175,739	7,175,739.00	9.77%
		Government Service Insurance System		6,673,202	6,673,202.00	9.09%
		Banco de Oro Trust Banking Group		6,673,200	6,673,200.00	9.09%
2	San Miguel Corporation Retirement Plan		Filipino	7,555,200	7,555,200.00	10.29%
3	PCD Nominee Corp.		Other Alien	3,355,581	3,355,581.00	4.57%
4	BA Securities, Inc. FAO No. 06-324		Chinese	1,173,660	1,173,660.00	1.60%
5	The First Resources Management and Securities Corp.		Filipino	321,360	321,360.00	0.44%
6	Ansaldo Godinez & Company, Inc.		Filipino	240,000	240,000.00	0.33%
7	Armstrong Securities, Inc.		Filipino	240,000	240,000.00	0.33%
8	BDO Nomura Securities, Inc.		Filipino	240,000	240,000.00	0.33%
9	BDO Securities Corporation		Filipino	240,000	240,000.00	0.33%
10	Bernad Securities, Inc.		Filipino	240,000	240,000.00	0.33%
11	Chan, Vicky L.		Filipino	240,000	240,000.00	0.33%
12	Chia Kim Teck		Singaporean	240,000	240,000.00	0.33%
13	Chong, Jose		Filipino	240,000	240,000.00	0.33%
14	Christfund Securities (Phils.), Inc.		Filipino	240,000	240,000.00	0.33%
15	DBS Vickers Securities (Phils.), Inc.		Filipino	240,000	240,000.00	0.33%
16	Deutsche Regis Partners, Inc.		Filipino	240,000	240,000.00	0.33%
17	FEB Stock Brokers, Inc.		Filipino	240,000	240,000.00	0.33%
18	Five Karats Property Holdings, Inc.		Filipino	240,000	240,000.00	0.33%
19	Go, Genevieve W. J.		Filipino	240,000	240,000.00	0.33%
20	Goldstar Securities, Inc.		Filipino	240,000	240,000.00	0.33%

As of 31 December 2016, the Company's public float level is at 62.34%.

Dividends

Dividends per Share:

P7.00 in 2012

P9.00 in 2013

P9.00 in 2014

P9.00 in 2015,

P7.00 in 2016, 2016, broken down as P4.29 regular dividend and P2.71 special cash dividend to stockholders of record as of 30 March 2016 payable on 25 April 2016.

Dividend Policy

The Company adopts a policy for the declaration of regular cash dividend out of the unrestricted retained earnings equivalent to fifty percent (50%) of the Company's audited net income. However, the Company can also declare special dividends, which it has done so for the past few years, in addition to the regular dividend policy. The declaration of regular and special dividends is dependent on the cash flow, business plan and financial condition of the Company.

Recent Sale of Unregistered/Exempt Securities

The common shares granted to eligible employees pursuant to the Employee Stock Purchase Plan ("ESPP") is an exempt transaction under Section 10.2 of the Securities Regulation Code, as stated under Resolution No. 179 Series of 2008 of the Securities and Exchange Commission.

Pursuant to the approval of the stockholders granted on 2 May 2015, the Company offered for sale 150,000 shares or about 0.25% of the outstanding capital stock of the Exchange as of December 31, 2014. Each offering shall consist of 50,000 shares.

Offer date shall be quarterly for a period of three (3) full years exercisable within January to December of each year commencing in 2015. Any un-availed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year.

Offer price shall be fixed based on the volume weighted Average Price (VWAP) of PSE shares for the month preceding the offer date less a discount of ten percent (10%). All shares were sold for cash.

2016 REPORT OF THE AUDIT COMMITTEE

The Audit Committee is the body tasked with assisting the Board of Directors of the Exchange in the performance of its supervision and control over the financial reporting process, system of internal controls, audit process, and monitoring of compliance with applicable laws, rules and regulations. The Audit Committee directly exercises oversight authority over the financial management functions of the Exchange, as well as oversight and direct interface with its internal and external auditors. It is composed of six members and chaired by an independent director.

In accordance with its mandate, the Committee confirms that:

- it held a total of 16 meetings during the year, in which a majority of the members were present;
- It discussed and approved the scope, frequency and risk-based audit plan of the Internal Audit Group of the Exchange, covering the following key risk areas as identified and assessed: 1) Financial Review, 2) Review of Fixed Assets, 3) Review of Timely Renewal of Contracts, 4) Review of Intercompany Transactions, 5) Incident Management Review, 6) Project Management Review and, 7) Business Process Review;
- It reviewed the Internal Audit Group's reports and recommendations, and ensured communication to Management of their findings and recommendations for timely and corrective action;
- it reviewed and approved the IT Audit Plan and Audit Timetable of the outsourced IT Auditor, Reyes Tacandong & Co. The Committee recommended that the IT audit scope include audit of its subsidiaries SCCP and CMIC, covering IT General Controls, Access Controls, Risk Management and Business Continuity Plan;
- It reviewed the Internal Control System of the Exchange covering the year 2016 and was evaluated as effective and adequate;
- It reviewed the Information Security Policy presented by the Corporate Governance Office and endorsed the same to the Board of Directors, which approved the policy;
- It reviewed and endorsed to the Board of Directors for its approval the Updated Compliance Plan;
- It recommended to the Board of Directors the appointment of SGV & Co. as the independent external auditor of the Exchange for the year 2016, after an evaluation of its qualifications and past performance;
- It reviewed and approved the audit scope and approach of SGV & Co., assessed its performance in relation to its engagement, and approved all audit services rendered for 2016, including the related fees for such services, after concluding that such services do not impair its independence;
- it reviewed and discussed with management and SGV & Co. the annual consolidated financial statements of the Exchange, and its subsidiaries, the Securities Clearing Corporation of the Philippines and the Capital Markets Integrity Corporation, as of December 31, 2016, before submission to the Board
- it reviewed and discussed with Management the proposed 2017 Budget and endorsed its approval to the Board with some revisions; and

The Committee performed this function in the following context:

- Management retains primary responsibility for the financial statements and for assessing the effectiveness of internal control over financial reporting; and
- SGV & Co. is responsible for expressing an opinion on the conformity of the annual consolidated financial statements with Philippine Financial Reporting Standards.

In keeping with the mandate of the Committee and based on the reviews and discussions undertaken, the Committee recommended to the Board of Directors of the Exchange:

- the inclusion of its audited consolidated financial statements as of December 31, 2016 in the Annual Report to the Stockholders; and
- the filing of the audited consolidated financial statements with the Securities and Exchange Commission.

March 15, 2017.



RAMON S. MONZON
Committee Chairman



ANABELLE LIM-CHUA
Member



DAKILA B. FONACIER
Member



AMOR C. ILISCUPIDEZ
Member



EUSEBIO H. TANCO
Member



ALEJANDRO T. YU
Member

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

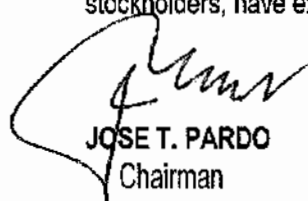
The management of The Philippine Stock Exchange, Inc. and Subsidiaries (PSE Group) is responsible for the preparation and fair presentation of the financial statements including the schedules attached herein, for the years 2016 and 2015 ended December 31, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

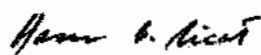
In preparing the financial statements, management is responsible for assessing the PSE Group's ability to continue as a going concern, disclosing, as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the PSE Group or to cease operations, or has no realistic alternative to do so.

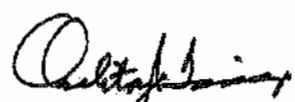
The Board of Directors is responsible for overseeing the PSE Group's financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

SyCip Gorres Velayo & Co. (SGV & Co.), the independent auditors appointed by the stockholders, have audited the financial statements of the PSE Group in accordance with Philippine Standards on Auditing and in its report to the stockholders, have expressed their opinion on the fairness of presentation upon completion of such audit.


JOSE T. PARDO
Chairman


HANS B. SICAT
President & Chief Executive
Officer

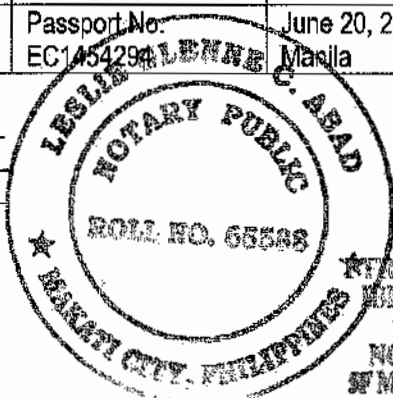

OMELITA J. TIANGCO
Treasurer

REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI}

SUBSCRIBED AND SWORN to before me this day of 10 2017 at _____ affiants presented to me the following competent evidence of their identity:

NAME	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE
JOSE T. PARDO	Senior Citizen No. 47614	December 1, 2010 / Manila	Passport No. EB6622316	23 October 2012 / Manila
HANS B. SICAT	Philippine Passport No. EC7002022	March 11, 2016 / Manila	US Passport No. 452050974	19 April 2010 / USA
OMELITA J. TIANGCO	Passport No. EC1454294	June 20, 2014 / Manila	Driver's License No. N26-99-031789	03 September 2019 / Manila

Doc. No. 177
Page No. 36
Book No. 1
Series of 2017.




LESLIE GLENNE C. ABAD
Notary Public
Until December 31, 2017
PTR # 5213603 ; 01-04-2017 ; M-60
ID # 1000442 ; 01-03-2017 ; Q-
ROLL OF ATTORNEYS NO. 60
NOTARIAL COMMISSION NO. M-533
5F MONTEFINO BLDG., 128 AMORSOLO ST.,
LEGASPI VILLAGE, MAKATI CITY

The Philippine Stock Exchange, Inc. and Subsidiaries

**Consolidated Financial Statements
December 31, 2016 and 2015
and Years Ended December 31, 2016, 2015 and
2014**

and

Independent Auditor's Report

COVER SHEET

for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

A N 0 9 2 0 0 2 5 5 7

COMPANY NAME

T	H	E		P	H	I	L	I	P	P	I	N	E		S	T	O	C	K		E	X	C	H	A	N	G	E	,
		I	N	C	.			A	N	D			S	U	B	S	I	D	I	A	R	I	E	S					

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

2	n	d		F	l	o	o	r	,		P	S	E		P	l	a	z	a	,		A	y	a	l	a		T	r	
		i	a	n	g	l	e	,			A	y	a	l	a		A	v	e	n	u	e	,		M	a	k	a	t	i

Form Type

A C F S

Department requiring the report

C F D

Secondary License Type, If
Applicable

N / A

COMPANY INFORMATION

Company's Email Address

www.pse.com.ph

Company's Telephone Number

(02) 688-7600

Mobile Number

-

No. of Stockholders

279

Annual Meeting (Month / Day)

5/07

Fiscal Year (Month / Day)

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Ms. Elisa L. Benavidez

Email Address

elbenavidez@pse.com.ph

Telephone Number/s

(02) 688-7564

Mobile Number

0998-9675923

CONTACT PERSON'S ADDRESS

2nd Floor, PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City

NOTE1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
The Philippine Stock Exchange, Inc. and Subsidiaries

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and its subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2016 and 2015, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2016, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2016 and 2015, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2016 in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matter

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Recognition and Measurement of Provision

As discussed in Notes 4 and 30 of the consolidated financial statements, the Exchange is involved in legal proceedings. We focused on this matter because it involves significant management judgment and estimates in assessing the probability of the cash outflow and in determining the amount of provision for legal cases, if any, which could have a significant impact on the consolidated financial statements.

Audit response

Our audit procedures included obtaining an understanding of the management's process for assessing the probability of cash outflow and determining the amount of provision. We obtained direct confirmation from the internal and external legal counsels of the Exchange and discussed with them the status and probable outcome of the legal proceedings. We also evaluated management's assessment by considering relevant laws, rulings and jurisprudence. We recalculated the estimated amount of cash outflow based on our understanding of the facts and status of the case.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2016, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2016 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.



In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ms. Mariecris N. Barboso.

SYCIP GORRES VELAYO & CO.

Mariecris N. Barboso
Partner
CPA Certificate No. 97101
SEC Accreditation No. 1513-A (Group A),
October 6, 2015, valid until October 5, 2018
Tax Identification No. 202-065-716
BIR Accreditation No. 08-001998-108-2015,
March 4, 2015, valid until March 3, 2018
PTR No. 5908670, January 3, 2017, Makati City

February 22, 2017

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2016	2015
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5, 6 and 7)	P833,795,068	P559,142,961
Financial assets at fair value through profit or loss (Notes 5, 6 and 8)	230,899,656	408,522,954
Available-for-sale investments (Notes 5, 6 and 9)	25,313,718	30,127,014
Receivables (Notes 5, 6 and 10)	93,898,622	95,949,857
Other current assets (Note 11)	38,152,470	71,744,528
Total Current Assets	1,222,059,534	1,165,487,314
Noncurrent Assets		
Long-term available-for-sale investments (Notes 5, 6 and 9)	524,753,293	604,755,345
Property and equipment (Note 12)	1,200,316,134	404,725,839
Investment in an associate (Note 13)	376,168,913	351,064,004
Deferred tax assets - net (Note 25)	10,541,589	3,665,000
Pension asset (Note 26)	30,859,416	21,922,122
Other noncurrent assets (Notes 5 and 14)	64,127,192	569,668,411
Total Noncurrent Assets	2,206,766,537	1,955,800,721
	P3,428,826,071	P3,121,288,035
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 15)	P205,996,820	P233,128,967
Provision (Notes 3, 4 and 30)	39,860,000	—
Income tax payable	57,957,468	11,866,281
Deferred fees and others (Note 16)	96,478,476	56,158,566
Total Current Liabilities	400,292,764	301,153,814
Noncurrent Liability		
Pension liability (Note 26)	12,714,982	11,552,853
Total Liabilities	413,007,746	312,706,667
EQUITY		
Capital stock (Notes 1 and 18)	73,480,413	73,480,413
Additional paid-in capital (Notes 1, 18 and 31)	1,072,120,935	1,071,644,783
Subscribed capital stock - net (Notes 18 and 31)	2,532,662	—
Treasury stock (Note 18)	(68,000,023)	(68,000,023)
Retained earnings:		
Unappropriated (Note 18)	1,231,878,470	1,140,313,920
Appropriated (Note 18)	121,000,000	121,000,000
Donated capital (Note 17)	586,829,985	490,649,154
Unrealized loss on available-for-sale investments - net (Note 9)	(8,968,499)	(10,553,762)
Remeasurement gains (losses) on pension benefits and others - net (Notes 13 and 26)	4,944,382	(9,953,117)
Total Equity	3,015,818,325	2,808,581,368
	P3,428,826,071	P3,121,288,035

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2016	2015	2014
REVENUES (Note 19)	P1,263,286,439	P1,214,206,000	P1,519,848,711
COST AND EXPENSES			
Cost of services (Note 21)	245,267,535	250,650,118	249,328,985
General and administrative (Note 22)	347,329,345	351,255,247	342,828,495
	592,596,880	601,905,365	592,157,480
OTHER INCOME (EXPENSES)			
Income from donation (Note 17)	96,180,831	115,417,000	—
Equity in net income of an associate (Note 13)	49,166,134	38,118,221	43,503,303
Interest income (Note 20)	32,346,353	43,571,399	44,070,430
Mark-to-market gain (loss) on financial assets at fair value through profit or loss (Note 8)	31,748,890	(14,223,658)	97,078,827
Write-off of nonfinancial asset (Note 11)	(14,137,479)	—	—
Dividend income (Note 8)	7,811,185	8,601,172	9,873,506
Gain on sale of other investments (Note 17)	—	41,634,724	—
Others – net	1,640,396	2,575,554	(307,084)
	204,756,310	235,694,412	194,218,982
INCOME BEFORE INCOME TAX	875,445,869	847,995,047	1,121,910,213
PROVISIONS FOR INCOME TAX (Note 25)	173,904,471	165,186,164	254,355,442
NET INCOME (Note 27)	701,541,398	682,808,883	867,554,771
OTHER COMPREHENSIVE INCOME (LOSS)			
Item to be reclassified to profit or loss in subsequent periods -			
Change in the fair value of available-for-sale investments - net of tax (Note 9)	1,585,263	(18,942,563)	1,965,944
Items not to be reclassified to profit or loss in subsequent periods -			
Remeasurement gains on pension benefits - net (Note 26)	14,917,425	15,162,296	7,729,112
Share in remeasurement losses on pension benefits of an associate (Note 13)	(19,926)	(4,456,569)	(1,838,771)
	14,897,499	10,705,727	5,890,341
	16,482,762	(8,236,836)	7,856,285
TOTAL COMPREHENSIVE INCOME	P718,024,160	P674,572,047	P875,411,056
Basic Earnings Per Share (Note 27)	P9.56	P9.31	P11.83
Diluted Earnings Per Share (Note 27)	P9.55	P9.31	P11.83

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Capital Stock (Notes 1 and 18)	Subscribed Capital Stock (Notes 18 and 31)	Paid-in Capital (Notes 1, 18 and 31)	Treasury Stock (Note 18)	Retained Earnings		Net Unrealized Investments - net (Note 9)	Remeasurement Losses on Pension Benefits and others - net (Notes 13 and 26)	Total
					Unappropriated (Note 18)	Appropriated (Note 18)			
Balances as at January 1, 2016	P73,480,413	P-	P1,071,644,783	(P68,000,023)	P1,140,313,920	P121,000,000	(P10,553,762)	(P9,953,117)	P2,808,581,368
Net income	-	-	-	-	605,360,567	-	-	-	701,541,398
Other comprehensive income	-	-	-	-	-	-	1,585,263	14,897,499	16,482,762
Total comprehensive income	-	-	-	-	605,360,567	-	1,585,263	14,897,499	718,024,160
Employee stock purchase plan (Note 31)	-	7,275,854	476,152	-	-	-	-	-	7,752,006
Subscription receivable	-	(4,743,192)	-	-	-	-	-	-	(4,743,192)
Cash dividends	-	-	-	-	(513,796,017)	-	-	-	(513,796,017)
Balances as at December 31, 2016	P73,480,413	P2,532,662	P1,072,120,935	(P68,000,023)	P1,231,878,470	P121,000,000	(P8,968,499)	P4,944,382	P3,015,818,325
Balances as at January 1, 2015	P73,480,413	P-	P1,071,644,783	(P68,000,023)	P1,270,940,071	P71,000,000	P8,388,801	(P20,658,844)	P2,794,432,786
Net income	-	-	-	-	567,391,883	-	-	-	682,808,883
Other comprehensive income (loss)	-	-	-	-	-	-	(18,942,563)	10,705,727	(8,236,836)
Total comprehensive income (loss)	-	-	-	-	567,391,883	-	(18,942,563)	10,705,727	674,572,047
Reclassification of donated capital (Note 17)	-	-	-	-	12,405,431	-	-	-	-
Appropriation of retained earnings	-	-	-	-	(50,000,000)	50,000,000	-	-	-
Cash dividends	-	-	-	-	(660,423,465)	-	-	-	(660,423,465)
Balances as at December 31, 2015	P73,480,413	P-	P1,071,644,783	(P68,000,023)	P1,140,313,920	P121,000,000	(P10,553,762)	(P9,953,117)	P2,808,581,368
Balances as at January 1, 2014	P73,430,409	P-	P1,057,118,399	(P68,000,012)	P1,063,358,765	P71,000,000	P6,422,857	(P26,549,185)	P2,564,418,818
Net income	-	-	-	-	867,554,771	-	-	-	867,554,771
Other comprehensive loss (loss)	-	-	-	-	-	-	1,965,944	5,890,341	7,856,285
Total comprehensive income (loss)	-	-	-	-	867,554,771	-	1,965,944	5,890,341	875,411,056
Employee stock purchase plan	50,000	-	14,526,384	-	-	-	-	-	14,576,384
Acquisition of treasury stock	4	-	-	(11)	-	-	-	-	(7)
Cash dividends	-	-	-	-	(659,973,465)	-	-	-	(659,973,465)
Balances as at December 31, 2014	P73,480,413	P-	P1,071,644,783	(P68,000,023)	P1,270,940,071	P71,000,000	P8,388,801	(P20,658,844)	P2,794,432,786

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2016	2015	2014
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	P875,445,869	P847,995,047	P1,121,910,213
Adjustments for:			
Depreciation (Notes 12, 14, 21 and 22)	91,380,849	117,711,716	139,504,987
Income from donation (Note 17)	(96,180,831)	(115,417,000)	—
Equity in net income of an associate (Note 13)	(49,166,134)	(38,118,221)	(43,503,303)
Provision (Note 30)	39,860,000	—	—
Interest income (Note 20)	(32,346,353)	(43,571,399)	(44,070,430)
Mark-to-market loss (gain) on financial assets at fair value through profit or loss (Note 8)	(31,748,890)	14,223,658	(97,078,827)
Write-off of nonfinancial asset	15,523,220	—	—
Net movements in pension (Note 26)	13,423,145	(5,340,387)	(15,059,928)
Dividend income (Note 8)	(7,811,185)	(8,601,172)	(9,873,506)
Amortization of computer software (Note 14)	5,074,682	(5,313,104)	5,666,290
Unrealized foreign exchange gains - net	(2,139,823)	(119,410)	(186,690)
Amortization of debt premium (Note 9)	1,400,610	1,397,893	1,372,759
Share-based payment expense (Note 31)	476,152	—	1,582,884
Impairment of receivables	305,576	—	—
Gain on disposal of property and equipment (Note 12)	—	(1,015,010)	(130,975)
Income before working capital changes	823,496,887	763,832,611	1,060,133,474
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	1,128,949	(3,097,815)	103,307,261
Other current assets	16,754,259	(29,026,226)	4,053,076
Increase (decrease) in:			
Accounts payable and other current liabilities	(48,404,944)	(50,928,527)	(50,504,659)
Deferred fees and others	40,319,910	12,273,495	(138,384,185)
Cash generated from operations	833,295,061	693,053,538	978,604,967
Income taxes paid	(140,970,757)	(159,882,433)	(318,546,867)
Interest received	32,943,905	44,096,835	43,296,101
Net cash provided by operating activities	725,268,209	577,267,940	703,354,201
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8, 10 and 13)	31,852,485	8,601,172	9,873,506
Acquisitions of/additions to:			
Available-for-sale investments (Note 9)	—	(213,811,747)	(56,000,000)
Property and equipment (Note 12)	(389,137,017)	(55,882,703)	(58,934,440)
Computer software (Note 14)	—	(3,421,107)	—
Proceeds from maturities/withdrawal/sale of:			
Available-for-sale investments (Note 9)	85,000,000	231,911,000	10,000,000
Financial assets at fair value through profit or loss (Note 8)	209,372,188	36,095,221	12,617,148
Property and equipment (Note 12)	—	1,728,468	277,019
Decrease (increase) in other noncurrent assets (Note 14)	121,419,774	(409,051,112)	(397,828)
Net cash provided by (used in) investing activities	58,507,430	(403,830,808)	(82,564,595)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend payments (Note 18)	(513,796,017)	(660,423,465)	(659,973,465)
Share-based payment transactions	2,532,662	—	13,165,751
Net cash used in financing activities	(511,263,355)	(660,423,465)	(646,807,714)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	272,512,284	(486,986,333)	(26,018,108)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	2,139,823	654,309	525,089
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	559,142,961	1,045,474,985	1,070,968,004
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	P833,795,068	P559,142,961	P1,045,474,985

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments.

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.8 million divided into 36.8 million shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 entitled "Securities Regulation Code" (SRC) and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
- c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 18). Gross proceeds from the private placement offering amounted to ₱726.3 million, inclusive of additional paid-in capital of ₱720.2 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.1 million were recorded as a reduction of the additional paid-in capital.

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management.

To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD).

SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

The registered office address of the Parent Company is 2nd Floor, PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City.

The accompanying consolidated financial statements were authorized for issue by the Parent Company's BOD on February 22, 2017.

2. Basis of Preparation and Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation

The consolidated financial statements of the Parent Company and its subsidiaries (collectively referred to as the Group) have been prepared in compliance with Philippine Financial Reporting Standards (PFRS).

The Group's consolidated financial statements have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVPL) and available-for-sale (AFS) investments, which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under PFRS. All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous period.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2016 and 2015 and for each of the three years in the period ended December 31, 2016. The financial statements of the subsidiaries are prepared for the same reporting year as the Parent Company, using consistent accounting policies.

Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Parent Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Parent Company's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements include the accounts of the Parent Company and the following wholly-owned subsidiaries as at December 31, 2016 and 2015:

	Principal Activities	Direct Ownership
SCCP	Clearing agency	100.00%
CMIC	Audit and surveillance unit	100.00%

Changes in Accounting Policies and Disclosures

The Group applied for the first time certain pronouncements, which are effective for annual periods beginning on or after January 1, 2016. Adoption of these pronouncements did not have a significant impact on the Group's financial position or performance unless otherwise indicated.

- Amendments to PFRS 10, *Consolidated Financial Statements*, PFRS 12, *Disclosure of Interests in Other Entities*, and PAS 28, *Investments in Associates and Joint Ventures*, *Investment Entities: Applying the Consolidation Exception*
- Amendments to PFRS 11, *Joint Arrangements*, *Accounting for Acquisitions of Interests in Joint Operations*
- PFRS 14, *Regulatory Deferral Accounts*
- Amendments to PAS 1, *Presentation of Financial Statements*, *Disclosure Initiative*

The amendments are intended to assist entities in applying judgment when meeting the presentation and disclosure requirements in PFRSs. They clarify the following:

- That entities shall not reduce the understandability of their financial statements by either obscuring material information with immaterial information; or aggregating material items that have different natures or functions;
- That specific line items in the statement of income and other comprehensive income and the statement of financial position may be disaggregated;
- That entities have flexibility as to the order in which they present the notes to financial statements; and
- That the share of other comprehensive income of associates and joint ventures accounted for using the equity method must be presented in aggregate as a single line item, and classified between those items that will or will not be subsequently reclassified to profit or loss.

The amendments affect the disclosures only and have no significant impact on the financial statements of the Group.

- Amendments to PAS 16, *Property, Plant and Equipment* and PAS 38, *Intangible Assets, Clarification of Acceptable Methods of Depreciation and Amortization*
- Amendments to PAS 16 and PAS 41, *Agriculture: Bearer Plants*
- Amendments to PAS 27, *Equity Method in Separate Financial Statements*
- Annual Improvements to PFRSs 2012–2014 Cycle
 - Amendment to PFRS 5, *Non-current Assets Held for Sale and Discontinued Operations, Changes in Methods of Disposal*
 - Amendment to PFRS 7, *Financial Instruments: Disclosures, Servicing Contracts*
 - Amendment to PFRS 7, *Applicability of the Amendments to PFRS 7 to Condensed Interim Financial Statements*
 - Amendment to PAS 19, *Employee Benefits, Discount Rate: Regional Market Issue*
 - Amendment to PAS 34, *Interim Financial Reporting, Disclosure of Information 'Elsewhere in the Interim Financial Report'*

Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2017

- Amendment to PFRS 12, *Clarification of the Scope of the Standard* (Part of Annual Improvements to PFRSs 2014–2016 Cycle)

The amendments clarify that the disclosure requirements in PFRS 12, other than those relating to summarized financial information, apply to an entity's interest in a subsidiary, a joint venture or an associate (or a portion of its interest in a joint venture or an associate) that is classified (or included in a disposal group that is classified) as held for sale.

- Amendments to PAS 7, *Statement of Cash Flows, Disclosure Initiative*

The amendments to PAS 7 require an entity to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes (such as foreign exchange gains or losses). On initial application of the amendments, entities are not required to provide comparative information for preceding periods. Early application of the amendments is permitted. Application of amendments will result in additional disclosures in the 2017 consolidated financial statements of the Group.

- Amendments to PAS 12, *Income Taxes, Recognition of Deferred Tax Assets for Unrealized Losses*

The amendments clarify that an entity needs to consider whether tax law restricts the sources of taxable profits against which it may make deductions on the reversal of that deductible temporary difference. Furthermore, the amendments provide guidance on how an entity should determine future taxable profits and explain the circumstances in which taxable profit may include the recovery of some assets for more than their carrying amount.

Entities are required to apply the amendments retrospectively. However, on initial application of the amendments, the change in the opening equity of the earliest comparative period may be recognized in opening retained earnings (or in another component of equity, as appropriate), without allocating the change between opening retained earnings and other components of equity. Entities applying this relief must disclose that fact. Early application of the amendments is permitted.

Effective January 1, 2018

- Amendments to PFRS 2, *Share-based Payment, Classification and Measurement of Share-based Payment Transactions*

The amendments to PFRS 2 address three main areas: the effects of vesting conditions on the measurement of a cash-settled share-based payment transaction; the classification of a share-based payment transaction with net settlement features for withholding tax obligations; and the accounting where a modification to the terms and conditions of a share-based payment transaction changes its classification from cash settled to equity settled.

On adoption, entities are required to apply the amendments without restating prior periods, but retrospective application is permitted if elected for all three amendments and if other criteria are met. Early application of the amendments is permitted.

The Group is assessing the potential effect of the amendments on its consolidated financial statements.

- Amendments to PFRS 4, *Insurance Contracts, Applying PFRS 9, Financial Instruments, with PFRS 4*

The amendments address concerns arising from implementing PFRS 9, the new financial instruments standard before implementing the forthcoming insurance contracts standard. They allow entities to choose between the overlay approach and the deferral approach to deal with the transitional challenges. The overlay approach gives all entities that issue insurance contracts the option to recognize in other comprehensive income, rather than profit or loss, the volatility that could arise when PFRS 9 is applied before the new insurance contracts standard is issued. On the other hand, the deferral approach gives entities whose activities are predominantly connected with insurance an optional temporary exemption from applying PFRS 9 until the earlier of application of the forthcoming insurance contracts standard or January 1, 2021.

The overlay approach and the deferral approach will only be available to an entity if it has not previously applied PFRS 9.

The amendments are not applicable to the Group since none of the entities within the Group have activities that are predominantly connected with insurance or issue insurance contracts.

- *PFRS 15, Revenue from Contracts with Customers*

PFRS 15 establishes a new five-step model that will apply to revenue arising from contracts with customers. Under PFRS 15, revenue is recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The principles in PFRS 15 provide a more structured approach to measuring and recognizing revenue.

The new revenue standard is applicable to all entities and will supersede all current revenue recognition requirements under PFRSs. Either a full or modified retrospective application is required for annual periods beginning on or after January 1, 2018. The Group is currently assessing the impact of IFRS 15 and plans to adopt the new standard on the required effective date once adopted locally.

- *PFRS 9, Financial Instruments*

PFRS 9 reflects all phases of the financial instruments project and replaces PAS 39, *Financial Instruments: Recognition and Measurement*, and all previous versions of PFRS 9. The standard introduces new requirements for classification and measurement, impairment, and hedge accounting. PFRS 9 is effective for annual periods beginning on or after January 1, 2018, with early application permitted. Retrospective application is required, but providing comparative information is not compulsory. For hedge accounting, the requirements are generally applied prospectively, with some limited exceptions.

The adoption of PFRS 9 will have an effect on the classification and measurement of the Group's financial assets and impairment methodology for financial assets, but will have no impact on the classification and measurement of the Group's financial liabilities. The adoption will also have an effect on the Group's application of hedge accounting and on the amount of its credit losses. The Group is currently assessing the impact of adopting this standard on its consolidated financial statements.

- *Amendments to PAS 28, Measuring an Associate or Joint Venture at Fair Value (Part of Annual Improvements to PFRSs 2014–2016 Cycle)*

The amendments clarify that an entity that is a venture capital organization, or other qualifying entity, may elect, at initial recognition on an investment-by-investment basis, to measure its investments in associates and joint ventures at fair value through profit or loss. They also clarify that if an entity that is not itself an investment entity has an interest in an associate or joint venture that is an investment entity, the entity may, when applying the equity method, elect to retain the fair value measurement applied by that investment entity associate or joint venture to the investment entity associate's or joint venture's interests in subsidiaries. This election is made separately for each investment entity associate or joint venture, at the later of the date on which (a) the investment entity associate or joint venture is initially recognized; (b) the associate or joint venture becomes an investment entity; and (c) the investment entity associate or joint venture first becomes a parent. The amendments should be applied retrospectively, with earlier application permitted.

- *Amendments to PAS 40, Investment Property, Transfers of Investment Property*

The amendments clarify when an entity should transfer property, including property under construction or development into, or out of investment property. The amendments state that a change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use. A mere change in management's intentions for the use of a property does not provide evidence of a change in use. The amendments should be applied prospectively to changes in use that occur on or after the beginning of the annual reporting period in which the entity first applies the amendments. Retrospective application is only permitted if this is possible without the use of hindsight.

- *Philippine Interpretation IFRIC-22, Foreign Currency Transactions and Advance Consideration*

The interpretation clarifies that in determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which an entity initially recognizes the nonmonetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, then the entity must determine a date of the transactions for each payment or receipt of advance consideration. The interpretation may be applied on a fully retrospective basis. Entities may apply the interpretation prospectively to all assets, expenses and income in its scope that are initially recognized on or after the beginning of the reporting period in which the entity first applies the interpretation or the beginning of a prior reporting period presented as comparative information in the financial statements of the reporting period in which the entity first applies the interpretation.

Effective January 1, 2019

- PFRS 16, *Leases*

Under the new standard, lessees will no longer classify their leases as either operating or finance leases in accordance with PAS 17, *Leases*. Rather, lessees will apply the single-asset model. Under this model, lessees will recognize the assets and related liabilities for most leases on their balance sheets, and subsequently, will depreciate the lease assets and recognize interest on the lease liabilities in their profit or loss. Leases with a term of 12 months or less or for which the underlying asset is of low value are exempted from these requirements.

The accounting by lessors is substantially unchanged as the new standard carries forward the principles of lessor accounting under PAS 17. Lessors, however, will be required to disclose more information in their financial statements, particularly on the risk exposure to residual value.

Entities may early adopt PFRS 16 but only if they have also adopted PFRS 15. When adopting PFRS 16, an entity is permitted to use either a full retrospective or a modified retrospective approach, with options to use certain transition reliefs. The Group is currently assessing the impact of adopting PFRS 16.

Deferred Effectivity

- Amendments to PFRS 10 and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*
The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3, *Business Combinations*. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council postponed the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board has completed its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

3. Summary of Significant Accounting Policies and Financial Reporting

Current versus Noncurrent Classification

The Group presents assets and liabilities in consolidated statements of financial position based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require

delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition of Financial Instruments. Financial assets are classified, at initial recognition, as financial assets at FVPL, loans and receivables, held-to-maturity investments (HTM), AFS investments, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVPL, transaction costs that are attributable to the acquisition of the financial asset.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group has no HTM investments, financial liabilities at FVPL and derivatives designated as hedging instruments in an effective hedge as at December 31, 2016 and 2015.

Subsequent Measurement. The subsequent measurement of financial assets depends on their classification as follows:

Financial Assets at FVPL. Financial assets at FVPL include financial assets held for trading and financial assets designated upon initial recognition at FVPL. Financial assets are classified as held for trading if these are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including any separated derivatives, are also classified under financial assets at FVPL, unless these are designated as effective hedging instruments as defined by PAS 39. The Group has not designated any financial assets at FVPL. Financial assets at FVPL are carried in the consolidated statement of financial position at fair value with net changes in fair value presented as interest expense (negative net changes in fair value) or interest income (positive net changes in fair value) in profit and loss.

This category includes the Group's investment in management account which is classified as FVPL as it is being managed on a fair value basis (see Note 8).

Loans and Receivables. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. The EIR amortization is included in the "Interest income" account in profit or loss. The losses arising from impairment are recognized in profit or loss as part of "Others - net" account.

This category includes cash and cash equivalents, receivables, restricted deposits in bank and refundable deposits under "Other noncurrent assets" (see Note 14).

AFS Investments. AFS investments include equity investments and debt securities. Equity investments classified as AFS are those that are neither classified as held for trading nor designated as FVPL. Debt securities in this category are those that are intended to be held for an indefinite period of time and that may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, AFS investments are subsequently measured at fair value with unrealized gains or losses recognized in other comprehensive income (OCI) and credited in the AFS reserve in equity until the investments is derecognized, at which time the cumulative gain or loss is recognized in the consolidated statement of comprehensive income, or the investment is determined to be impaired, when the cumulative loss is reclassified from the AFS reserve in equity to the consolidated statement of comprehensive income. Interest earned while holding AFS investments is reported as interest income using the EIR method.

The Group evaluates whether the ability and intention to sell its AFS investments in the near term is still appropriate. When, in rare circumstances, the Group is unable to trade these financial assets due to inactive markets, the Group may elect to reclassify these financial assets if the management has the ability and intention to hold the assets for foreseeable future or until maturity.

The Group's AFS investments in 2016 and 2015 include investments in government securities, corporate bonds and quoted equity securities (see Note 9).

Other Financial Liabilities. This category pertains to financial liabilities that are not held for trading or not designated as at FVPL upon the inception of the liability. These include liabilities arising from operations and borrowings. Other financial liabilities are recognized initially at fair value and are subsequently carried at amortized cost, taking into account the impact of applying the EIR method of amortization (or accretion) for any related premium, discount and any directly attributable transaction costs. Gains and losses are recognized in the consolidated statements of comprehensive income when the liabilities are derecognized as well as through the EIR amortization process.

This category includes accounts payable and other current liabilities excluding payable to government agencies and subscription payable (see Note 15).

Determination of Fair Value

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability, or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

Derecognition of Financial Assets and Liabilities

Financial Asset. A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired; or
- the Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either: (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statement of profit or loss.

Impairment of Financial Assets

The Group assesses at each reporting date whether a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired, if and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or a group of financial assets that can be reliably estimated. Objective evidence of impairment may include indications that the borrower or a group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Assets Carried at Amortized Cost. The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are no longer included in a collective assessment of impairment.

The amount of any impairment loss identified is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original EIR.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognized in the consolidated statement of profit or loss. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to interest expense in profit or loss.

AFS Investments. For AFS financial assets, the Group assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of equity investments classified as AFS, objective evidence would include a significant or prolonged decline in the fair value of the investment below its cost. 'Significant' is evaluated against the original cost of the investment and 'prolonged' against the period in which the fair value has been below its original cost. When there is evidence of impairment, the cumulative loss - measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognized in profit or loss is removed from OCI and recognized in profit or loss. Impairment losses on equity investments are not reversed through profit or loss; increases in their fair value after impairment are recognized in OCI.

The determination of what is 'significant' or 'prolonged' requires judgment. In making this judgment, the Group evaluates, among other factors, the duration or extent to which the fair value of an investment is less than its cost.

In the case of debt instruments classified as AFS, the impairment is assessed based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the consolidated statement of profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

'Day 1 Difference'

Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the consolidated statement of profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the consolidated statements of profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, even of default, and event of insolvency or bankruptcy of the Company and all of the counterparties.

Other Current Assets

Other current assets include deposits which pertain to deposits to suppliers to be applied for future purchases; prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; and creditable withholding taxes, which will be applied in the following year against the Company's corporate income tax due.

Value-added Tax (VAT)

Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statements of financial position.

Investment Properties

Investment properties consist of buildings held by the Group for capital appreciation and rental income purposes. Investment properties are measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of an investment property.

Depreciation is computed on a straight-line basis over 10 years which is the estimated useful life of the building.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to investment property when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or completion of construction or development. Transfers are made from investment property when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale.

Property and Equipment

Property and equipment, except land, is stated at cost less accumulated depreciation and any impairment in value. The cost of the land, which is represented by shares in the Condominium Corporation donated to the Parent Company, is valued at the fair value of the land at the date of donation. Land is subsequently carried at cost less any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful life of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years
Transportation equipment	5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven (7) years.

Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as "Equity in net income of an associate" account in the consolidated statement of comprehensive income.

Upon loss of significant influence over the associate, the Group measures and recognized any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of comprehensive income.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, investment property, computer software, and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees

Deferred fees represent listing fees, listing maintenance fees and data feed fees which are collected but not yet earned as at reporting date. This account is reversed and recognized as revenue when services are rendered.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital stock.

Subscribed Capital Stock / Subscription Receivable

Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the consolidated statement of profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings

Retained earnings represent the Company's accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income

Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions related to donation are met or removed.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using a quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The Group has concluded that it is acting as principal in all of its revenue arrangements.

The following specific recognition criteria must also be met before revenue is recognized:

Listing Fees. Listing fees for initial public offering are recognized upon listing of an applicant. The annual listing fees are recognized on an accrual basis based on the listing agreement. The additional listing fees are recognized upon the listing of new securities issued by an applicant.

Listing Maintenance, Processing, Service Fees, and Trading-related Fees. Revenue is recognized when the related services are rendered.

Other Revenues. Revenue is recognized when the services are rendered or when penalties or fines are charged. This account mainly consists of trading and listing related fines and penalties for late payment, late submission of requirements, noncompliance and nondisclosure of listed companies.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company has a funded noncontributory defined benefit retirement plan, while SCCP has an unfunded noncontributory defined benefit retirement plan, administered by trustees, covering their permanent employees. The Parent Company and SCCP's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost
- Net interest on the net defined benefit liability or asset
- Remeasurements of net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to pay as a result of the unused entitlement.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

Operating Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date, whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a Lessee. Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognized as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

Income Taxes

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward of unused tax credits and unused NOLCO can be utilized, except:

- where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- in respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- in respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiary.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year by the weighted average number of common shares outstanding during the year, adjusted for the effects of dilutive stock options. Stocks under ESPP are deemed to have been converted into shares on the date when granted.

Operating Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Parent Company reports its primary segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Date

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting date (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Operating Lease Commitments - Company as Lessee. CMIC has entered into a property lease for its office premises as a lessee. CMIC has determined, based on evaluation of the terms and condition of the lease agreement, that the significant risks and rewards of ownership of the leased property was retained by the lessor and accounts this lease as operating lease. Other operating leases entered into by the CMIC include leases of office equipment, which are normally for a period of not more than a year, and/or renewable yearly. Rent expense arising from operating leases amounted to P3.60 million and P3.61 million in 2016 and 2015, respectively (see Notes 21 and 22).

Fair Values of Financial Assets and Liabilities. The Group carries certain financial assets at fair value. Fair value determinations for financial assets and liabilities are based generally on listed or quoted market prices. If prices are not readily determinable or if liquidating the positions is reasonably expected to affect market prices, fair value is based on management's estimate of amounts that could be realized under current market conditions, assuming an orderly liquidation over a reasonable period of time.

Assessing Significant Influence over Associate. Management assessed that the Parent Company has significant influence over its associate by virtue of the Parent Company's more than 20% voting power in the investee, representation on the BOD, and participation in policy-making processes of the associates.

Assessing Control over Subsidiaries. Management assessed that the Parent Company has control over its subsidiaries as it is exposed or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Determination of Functional Currency. The Group has determined its functional currency to be PHP. The determination of functional currency was based on the primary economic environment in which the Group operates. It is the currency that mainly influences sales price for goods and services, purchase of goods and other costs of selling and incurrence of various operating expenses.

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Impairment of AFS Investments. The Group treats AFS equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgment. The Group treats 'significant' generally as 20% or more and 'prolonged' as greater than the period of six months. In addition, the Group evaluates other factors, including normal volatility in share price for quoted equities and the future cash flows and the discount factors for unquoted equities.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statements of comprehensive income.

There was no provision for impairment loss on AFS equity investments in 2016, 2015 and 2014. The total carrying value of AFS investments amounted to P550.07 million and P634.88 million as at December 31, 2016 and 2015, respectively (see Note 9).

Impairment of Receivables. The Group annually reviews its receivables that are individually significant to assess impairment. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, it collectively assesses them for impairment. For the purpose of a collective evaluation of impairment, receivables are grouped based on credit risk. In determining whether an impairment loss should be recorded in the consolidated statements of profit or loss, the Group makes judgment as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from the receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers. Allowance for impairment losses is maintained at a level considered adequate to provide for potentially uncollectible receivables.

Provision for impairment losses amounted to P0.31 million and P0.15 million in 2016 and 2015, respectively. There was no provision for impairment loss in 2014. As at December 31, 2016 and 2015, the carrying values of receivables amounted to P93.90 million and P95.95 million, respectively (see Note 10).

Estimation of Useful Lives of Property and Equipment and Computer Software. The Group estimated the useful lives of its property and equipment and computer software based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment and computer software would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no significant changes in the estimated useful lives of the Group's property and equipment and computer software in 2016. However, in 2015 and 2014, there was a change in estimated useful life of certain trading system equipment of the parent company due to change in the anticipated use of the asset. Such change resulted to an increase in depreciation accounted under "Cost of services" account in the 2015 and 2014 profit or loss amounting to P29.97 million and P43.50 million, respectively (see Notes 12, 21 and 22).

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Among others, the factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and
- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There was no provision for impairment losses in 2016 and 2015. The carrying value of the investment in an associate amounted to P376.17 million and P351.06 million as at December 31, 2016 and 2015, respectively (see Note 13).

Provisions. The Group recognizes a provision for an obligation resulting from a past event when it has assessed that it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These assessments are made based on available evidence, including the opinion of experts. Future events and developments may result in changes in these assessments which may impact the Group's financial position and performance (see Note 30).

Contingencies. The Group is currently involved in legal proceedings. The estimate of the probable costs for the resolution of these claims has been developed in consultation with counsel handling the defense in these matters and is based upon an analysis of potential results. The outcome of these legal proceeding are not presently determinable. In the opinion of management and its legal counsel, the eventual liability under these lawsuits or claims, if any, will not have a material or adverse effect on the consolidated financial position and results of operations (see Note 30).

Present Value of Pension Liability. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions.

While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 26.

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2016 and 2015, the Parent Company and CMIC recognized total deferred tax assets amounting to P20.69 million and P10.48 million, respectively (see Note 25). SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to P3.52 million and P3.47 million in 2016 and 2015, respectively.

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, financial assets at FVPL and AFS investments. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, other noncurrent assets - deposits in bank, accounts payable and other current liabilities excluding payable to government agencies and subscription payable, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Exchange regularly evaluates its projected and actual cash flows.

To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at December 31, 2016				
	Within a Year	1–2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	P833,726,568	P–	P–	P68,500	P833,795,068
Receivables:					
Receivables from:					
Trading participants	55,370,159	–	–	–	55,370,159
Listed companies	4,995,176	–	–	–	4,995,176
Data vendors	11,466,288	–	–	–	11,466,288
Accrued interest receivable	3,880,578	–	–	–	3,880,578
Advances	20,101,979	–	–	–	20,101,979
Others	1,145,043	–	–	–	1,145,043
Other noncurrent assets:					
Deposits in bank	–	–	687,051	–	687,051
Refundable Deposits	413,770	–	–	–	413,770
Financial assets at FVPL	230,899,656	–	–	–	230,899,656
AFS investments:					
Government debt securities*					
Short-term	–	–	–	–	–
Long-term	16,958,463	22,498,867	369,804,762	–	409,262,092
Corporate bonds*					
Short-term	25,418,651	–	–	–	25,418,651
Long-term	5,969,459	5,671,459	114,883,854	–	126,524,772
Equity securities	–	–	–	1,100,000	1,100,000
	P1,210,345,790	P28,170,326	P485,375,667	P1,168,500	P1,725,060,283
Financial Liabilities					
Other financial liabilities:					
Accounts payable and other current liabilities:					
Trade	P37,190,387	P–	P–	P–	P37,190,387
Due to SEC	99,776,398	–	–	–	99,776,398
Accrued expenses**	54,857,072	–	–	–	54,857,072
Others	5,983,867	–	–	–	5,983,867
	P197,807,724	P–	P–	P–	P197,807,724

*Including interest.

**Excluding accrued taxes amounting to P1.10 million

	As at December 31, 2015				
	Within a Year	1–2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	P559,070,830	P–	P–	P72,131	P559,142,961
Receivables:					
Receivables from:					
Trading participants	64,353,217	–	–	–	64,353,217
Listed companies	14,289,270	–	–	–	14,289,270
Data vendors	11,092,297	–	–	–	11,092,297
Accrued interest receivable	4,478,130	–	–	–	4,478,130
Advances	1,304,938	–	–	–	1,304,938
Others	3,187,030	–	–	–	3,187,030
Other noncurrent assets:					
Deposits in bank	–	–	685,764	–	685,764
Refundable Deposits	–	–	394,611	–	394,611
Financial assets at FVPL	408,522,954	–	–	–	408,522,954
AFS investments:					
Government debt securities*:					
Short-term	30,169,279	–	–	–	30,169,279
Long-term	19,619,398	20,183,175	432,803,876	–	472,525,718
Corporate bonds*:					
Short-term	–	–	–	–	–
Long-term	7,980,597	30,519,648	120,758,653	–	159,258,898
Equity securities	–	–	–	1,100,000	1,100,000
	P1,124,067,940	P50,702,823	P554,642,904	P1,172,131	P1,730,505,067
Financial Liabilities					
Accounts payable and other current liabilities:					
Trade	P43,040,133	P–	P–	P–	P43,040,133
Due to SEC	95,624,010	–	–	–	95,624,010
Accrued expenses**	81,362,574	–	–	–	81,362,574
Others	4,577,804	–	–	–	4,577,804
	P224,604,521	P–	P–	P–	P224,604,521

*Including interest.

**Excluding accrued taxes amounting to P0.91 million.

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

The tables below show the aging analysis of the Group's financial assets as at December 31, 2016 and 2015:

As at December 31, 2016							
Past Due but not Impaired							
	Neither Past Due nor Impaired	30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days	Past Due and Impaired	Total
Loans and receivables:							
Cash and cash equivalents*	P833,726,568	P-	P-	P-	P-	P-	P833,726,568
Receivables:							
Receivables from:							
Trading participants	55,049,717	1,680	-	-	-	318,762	55,370,159
Listed companies	1,439,960	8,520	379,286	227,411	465,721	2,474,278	4,995,176
Data vendors	10,035,789	706,368	370,249	-	353,882	-	11,466,288
Accrued interest receivable	2,663,845	-	-	-	-	-	2,663,845
Advances	20,101,979	-	-	-	-	-	20,101,979
Others	867,269	6,160	-	-	31,998	239,616	1,145,043
Other noncurrent assets:							
Deposits in bank	687,051	-	-	-	-	-	687,051
Refundable deposits	413,770	-	-	-	-	-	413,770
Financial assets at FVPL	230,899,656	-	-	-	-	-	230,899,656
AFS investments:							
Government debt securities:							
Short term	-	-	-	-	-	-	-
Long term	405,875,315	-	-	-	-	-	405,875,315
Corporate bonds:							
Short term	25,313,718	-	-	-	-	-	25,313,718
Long term	117,777,978	-	-	-	-	-	117,777,978
Equity securities	1,100,000	-	-	-	-	-	1,100,000
	P1,705,952,615	P722,728	P749,535	P227,411	P851,601	P3,032,656	P1,711,536,546

*Excluding cash on hand amounting to P0.07 million.

As at December 31, 2015							
Past Due but not Impaired							
	Neither Past Due nor Impaired	30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days	Past Due and Impaired	Total
Loans and receivables:							
Cash and cash equivalents*	P559,070,830	P	P	P	P	P	P559,070,830
Receivables:							
Receivables from:							
Trading participants	64,099,470	-	-	-	-	253,747	64,353,217
Listed companies	1,541,632	9,108,554	93,360	141,606	929,840	2,474,278	14,289,270
Data vendors	7,480,090	918,413	2,517,999	175,795	-	-	11,092,297
Accrued interest receivable	4,478,130	-	-	-	-	-	4,478,130
Advances	1,304,938	-	-	-	-	-	1,304,938
Others	1,853,710	672,000	-	32,000	602,320	27,000	3,187,030
Other noncurrent assets:							
Deposits in bank	685,764	-	-	-	-	-	685,764
Refundable deposits	394,611	-	-	-	-	-	394,611
Financial assets at FVPL	408,522,954	-	-	-	-	-	408,522,954
AFS investments:							
Government debt securities:							
Short term	30,127,014	-	-	-	-	-	30,127,014
Long term	456,243,992	-	-	-	-	-	456,243,992
Corporate bonds:							
Short term	-	-	-	-	-	-	-
Long term	147,411,353	-	-	-	-	-	147,411,353
Equity securities	1,100,000	-	-	-	-	-	1,100,000
	P1,684,314,488	P10,698,967	P2,611,359	P349,401	P1,532,160	P2,755,025	P1,702,261,400

Credit Quality of Financial Assets

The credit quality of financial assets is managed by the Group using high quality and standard quality as internal credit ratings.

High Quality. This pertains to a counterparty who is not expected by the Group to default in settling its obligations, thus credit risk exposure is minimal. This normally includes large prime financial institutions, companies and government agencies.

Standard Quality. Other financial assets not belonging to high quality financial assets are included in this category.

The credit analyses of the Group's financial assets are as follows as at December:

	2016		
	High Quality	Standard Quality	Total
Cash and cash equivalents*	P833,726,568	P—	P833,726,568
Receivables:			
Receivables from:			
Trading participants	55,049,717	1,680	55,051,397
Listed companies	1,439,960	1,080,938	2,520,898
Data vendors	10,035,789	1,430,499	11,466,288
Accrued interest receivable	2,663,845	—	2,663,845
Advances	20,037,648	—	20,037,648
Others	867,269	277,774	1,145,043
Deposits in bank	687,051	—	687,051
Refundable deposit	—	413,770	413,770
Financial assets at FVPL	230,899,656	—	230,899,656
AFS Investments:			
Government debt securities:			
Short-term	—	—	—
Long-term	405,875,315	—	405,875,315
Corporate bonds:			
Short-term	25,313,718	—	25,313,718
Long-term	117,777,978	—	117,777,978
Equity securities	—	1,100,000	1,100,000
	P1,704,374,514	P4,304,661	P1,708,679,175

*Excluding cash on hand amounting to P0.05 million.

	2015		
	High Quality	Standard Quality	Total
Cash and cash equivalents*	P559,070,830	P—	P559,070,830
Receivables:			
Receivables from:			
Trading participants	64,099,470	—	64,099,470
Listed companies	1,541,632	10,273,360	11,814,992
Data vendors	7,480,090	3,612,207	11,092,297
Accrued interest receivable	4,478,130	—	4,478,130
Advances	1,304,938	—	1,304,938
Others	1,853,710	1,306,320	3,160,030
Other noncurrent assets:			
Deposits in bank	—	685,764	685,764
Refundable deposits	394,611	—	394,611
Financial assets at FVPL	408,522,954	—	408,522,954
AFS Investments:			
Government debt securities:			
Short-term	30,127,014	—	30,127,014
Long-term	456,243,992	—	456,243,992
Corporate bonds:			
Short-term	—	—	—
Long-term	147,411,353	—	147,411,353
Equity securities	—	1,100,000	1,100,000
	P1,682,528,724	P16,977,651	P1,699,506,375

*Excluding cash on hand amounting to P0.07 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Treasury Manager is responsible for the identification of investments that provide a relatively stable rate of return and submit these identified investments to the Vice President for Controllershship and Treasury Division who endorses it to the Treasurer or President for approval. The Group is guided by a BOD approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. In addition, on a monthly basis, the Treasurer reports the investment portfolio performance and management's performance associated with the investment portfolio to the BOD.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVPL and AFS investments in the consolidated balance sheets. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVPL as at December 31, 2016 and 2015) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss (In Millions)
2016	+2.80%	P6.24
	-2.80%	(6.24)
2015	+7.73%	P31.73
	-7.73%	(31.73)

As at December 31, 2016 and 2015, the Group's exposure to equity price risk arising from AFS investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on AFS fixed rate debt securities).

	Effect on Equity (In Millions)	
	2016	2015
Increase (Decrease) in interest rates:		
+70 basis points	(P21.62)	(P27.66)
-70 basis points	23.47	28.19

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2016 and 2015:

	2016		2015	
	In USD	In P	In USD	In P
Financial assets:				
Cash and cash equivalents	\$623,509	P31,000,881	\$133,198	P6,268,281
Receivables	229,686	10,935,722	220,687	10,385,530
	\$853,195	P41,936,603	\$353,885	P16,653,811
Financial liability -				
Payable	\$17,633	P876,709	\$79,846	P3,757,543

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was P49.72 to US\$1.00 and P47.06 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2016 and 2015, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

	2016	2015
USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)	Effect on Income Before Tax (in millions)
6%	P2.40	P0.84
(6%)	(2.40)	(0.84)

The increase in P rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets, by category and by class, recognized as at December 31, 2016 and 2015:

	2016			
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVPL	P230,899,656	P230,899,656	P-	P-
AFS investments:				
Government securities				
Current	-	-	-	-
Long-term	405,875,315	31,461,950	374,413,365	-
Corporate bonds:				
Current	25,313,718	25,313,718	-	-
Long-term	117,777,978	117,777,978	-	-
Equity securities	1,100,000	1,100,000	-	-
	550,067,011	175,653,646	374,413,365	-
	P780,966,667	P406,553,302	P374,413,365	P-
	2015			
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVPL	P408,522,954	P408,522,954	P-	P-
AFS investments:				
Government securities				
Current	30,127,014	-	30,127,014	-
Long-term	456,243,992	177,156,782	278,536,396	-
Corporate bonds:				
Current	-	-	-	-
Long-term	147,962,168	147,962,168	-	-
Equity securities	1,100,000	1,100,000	-	-
	635,433,174	326,218,950	308,663,410	-
	P1,043,956,128	P734,741,904	P308,663,410	P-

During the years ended December 31, 2016 and 2015, there were no transfer between level 1 and level 2 fair value measurements. There are no financial instruments classified under levels 2 and 3.

Cash and Cash Equivalents, Receivables and Other Noncurrent Assets – Deposits in Bank, Accounts Payable and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

7. Cash and Cash Equivalents

This account consists of:

	2016	2015
Cash on hand and in banks	P120,668,982	P64,478,892
Cash equivalents	713,126,086	494,664,069
	P833,795,068	P559,142,961

Cash in banks earns interest at an average of 0.25% bank deposit rate. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 1.50% to 2.00%, 0.375% to 1.88% and 1.50% to 2.00% in 2016, 2015 and 2014, respectively.

Interest income earned from cash and cash equivalents amounted to P7.31 million, P11.12 million and P13.33 million in 2016, 2015 and 2014, respectively (see Note 20).

8. Financial Assets at FVPL

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The financial assets at FVPL mainly pertain to held for trading equity securities. The fair value of the investment as at December 31, 2016 and 2015 amounted to P230.90 million and P408.52 million, respectively.

Mark-to-market gain (loss) on financial assets at FVPL amounted to P31.75 million, (P14.22 million) and P97.08 million in 2016, 2015 and 2014, respectively.

Dividend income earned on financial assets at FVPL amounted to P7.81 million, P8.60 million and P9.87 million in 2016, 2015 and 2014, respectively.

The fair values of the financial assets at FVPL have been determined directly by reference to quoted prices in active markets.

9. Available-for-Sale Investments

This account consists of:

	2016	2015
Debt securities:		
Government debt securities	P431,189,033	P486,371,006
Corporate bonds	117,777,978	147,411,353
Total debt securities	548,967,011	633,782,359
Quoted equity securities	1,100,000	1,100,000
Total AFS investments	550,067,011	634,882,359
Less short-term AFS investments	25,313,718	30,127,014
Long-term AFS investments	P524,753,293	P604,755,345

Short-term AFS investments in 2016 and 2015 pertain to government debt securities with interest rate of 5.75% and 6.00% which will mature in 2017 and 2016, respectively.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 3.25% to 7.75% in 2016 and 2015 and 3.25% to 8.25% in 2014. Long-term government debt securities and corporate bonds as at December 31, 2016 and 2015 will mature starting 2019 to 2032.

Interest income earned from AFS investments amounted to P27.20 million, P32.06 million and P30.75 million in 2016, 2015 and 2014, respectively (see Note 20).

The rollforward analysis of the Group's AFS investments is as follows:

	2016	2015
Balance at beginning of year	P634,882,359	P672,622,068
Acquisitions	—	213,811,747
Maturities	(85,000,000)	(231,911,000)
Amortization of premium	(1,400,610)	(1,397,893)
Recovery of impairment loss	—	700,000
Net change in fair value	1,585,262	(18,942,563)
Balance at end of year	P550,067,011	P634,882,359

As at December 31, 2016 and 2015, movements of net unrealized gain on AFS investments are as follows:

	2016	2015
Balance at beginning of year	(P10,553,762)	P8,388,801
Net change in fair value	1,585,263	(18,942,563)
Balance at end of year	(P8,968,499)	(P10,553,762)

10. Receivables

This account consists of:

	2016	2015
Receivables from:		
Trading participants (Note 28)	P55,370,159	P64,353,217
Listed companies	4,995,176	14,289,270
Data vendors	11,466,288	11,092,297
Accrued interest receivable (Note 20)	3,880,578	4,478,130
Advances to/receivables from:		
Suppliers	13,542,000	—
Other fund members	5,026,758	—
Officers and employees	1,533,221	1,304,938
Others	1,145,043	3,187,030
Total	96,959,223	98,704,882
Less allowance for impairment loss	3,060,601	2,755,025
	P93,898,622	P95,949,857

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The movements in the allowance for impairment losses are as follows:

	2016	2015	2014
Balance at beginning of year	P2,755,025	P2,603,947	P2,603,947
Provision	305,576	151,078	—
Balance at end of year	P3,060,601	P2,755,025	P2,603,947

Provision for impairment losses is presented under “Others - net” account in profit or loss.

11. Other Current Assets

This account consists of:

	2016	2015
Input VAT - net of noncurrent portion	P21,819,590	P31,527,953
Prepaid expenses	15,521,460	23,378,775
Deposits	811,420	16,837,800
	P38,152,470	P71,744,528

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.

Prepaid expenses include prepayments of rental, insurance, prepaid income tax, creditable withholding tax and other expenses which are normally incurred within the next financial year.

Deposit pertains to advance rent and refundable deposit of CMIC which are expected to be rendered within the next financial year. In 2016, the Parent Company has written off its deposit due to expiration of its commercial terms and forfeiture of its right to consume the future services. Consequently, the Parent Company has recognized a corresponding loss in profit or loss amounting to P14.14 million. Also, a property and equipment was recognized in the statement of financial position amounting to P2.70 million as the Parent Company received computer hardware in pursuant to its original agreement with the supplier (see Note 12).

12. Property and Equipment - net

The composition of and movements in property and equipment are as follows:

December 31, 2016									
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	Construction in progress - Office Fit-out	Total
Cost									
At beginning of year	P155,690,154	P81,385,714	P157,518,709	P402,701,588	P321,975,035	P84,128,661	P13,550,073	P-	P1,216,949,934
Acquisitions (Note 17)	-	805,369,600	-	15,232,693	42,609,043	3,184,274	6,336,607	14,917,551	887,649,768
Disposals	-	-	-	(211,539,708)	(2,647,538)	(169,414)	(5,364,286)	-	(219,720,946)
Write-off	-	-	(1,385,714)	-	-	-	-	-	(1,385,714)
At end of year	155,690,154	886,755,314	156,132,995	206,394,573	361,936,540	87,143,521	14,522,394	14,917,551	1,883,493,042
Accumulated Depreciation									
At beginning of year	-	54,400,001	152,533,819	287,366,514	236,032,658	72,289,193	9,601,910	-	812,224,095
Depreciation	-	3,200,000	2,063,913	26,601,730	53,171,580	3,408,638	2,227,869	-	90,673,730
Disposals	-	-	-	(211,539,706)	(2,647,521)	(169,405)	(5,364,285)	-	(219,720,917)
At end of year	-	57,600,001	154,597,732	102,428,538	286,556,717	75,528,426	6,465,494	-	683,176,908
Net book value	P155,690,154	P829,155,313	P1,535,263	P103,966,035	P75,379,823	P11,615,095	P8,056,900	P14,917,551	P1,200,316,134

December 31, 2015									
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment		Total
Cost									
At beginning of year	P155,690,154	225,120,034	158,341,922	364,503,990	306,225,292	82,215,860	14,076,857		P1,306,174,109
Acquisitions	-	-	-	337,501	38,197,598	25,838,110	2,472,161	2,062,500	68,907,900
Disposals	-	-	-	-	-	(10,088,397)	(559,360)	(2,589,284)	(13,237,041)
Reclassifications (Note 14)	-	(143,734,320)**	(1,160,714)*	-	-	-	-	-	(144,895,034)
At end of year	155,690,154	81,385,714	157,181,209	402,701,588	321,975,035	84,128,661	13,550,073		1,216,949,934
Accumulated Depreciation									
At beginning of year	-	179,964,864	147,254,932	239,183,202	197,058,334	68,961,985	9,165,140		841,588,457
Depreciation	-	3,199,999	5,278,887	48,183,312	49,000,556	3,886,558	2,374,771		111,924,083
Disposals	-	-	-	-	-	(10,026,232)	(559,350)	(1,938,001)	(12,523,583)
Reclassifications (Note 14)	-	(128,764,862)	-	-	-	-	-	-	(128,764,862)
At end of year	-	54,400,001	152,533,819	287,366,514	236,032,658	72,289,193	9,601,910		812,224,095
Net book value	P155,690,154	P26,985,713	P4,984,890	P115,335,074	P85,942,377	P11,839,468	P3,948,163		P404,725,839

*Reclassification from building improvements to buildings in 2015 amounting to P1.16 million

**This includes reclassification of building to building improvements and building to other noncurrent asset (see Note 14) amounting to P1.16 million and P144.90 million, respectively.

As at December 31, 2016 and 2015, the Group has acquisitions of property and equipment amounting to P21.27 million and P13.03 million which remained unpaid as at the end of 2016 and 2015, respectively, and are recorded under "Accounts payable and other current liabilities - Trade" account in the consolidated statements of financial position.

The Group disposed property and equipment with carrying value amounting to nil and P0.71 million with related gain on disposal amounting to nil and P1.02 million in 2016 and 2015, respectively. Gain on disposal of property and equipment is included under "Others - net" account in the consolidated statements of comprehensive income.

Write-off of building pertains to the preliminary construction costs amounting to P1.39 million which were no longer used for the acquired Fort Bonifacio Development Corporation (FBDC) office units (see Note 17).

The cost of fully depreciated assets still in use by the Group amounted to P419.29 million and P532.93 million as at December 31, 2016 and 2015, respectively. Reclassification made in 2015 pertains to idle building (see Note 14).

Land. This represents shares in a condominium corporation donated to the Parent Company. Ayala Land, Inc. (ALI) established a stock condominium corporation with the corporate name of Tower One and PSE Exchange Plaza Condominium for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The PSE's share in the parcel of land where the condominium is located and the common areas of the condominium is classified under Land. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at P63.12 million and P92.57 million, respectively. Such shares were received by the Parent Company on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation.

Buildings. These include condominium units at the PSE Plaza, Ayala Triangle and Fort Bonifacio Global City (see Note 17).

Building improvements. These pertain to improvements of office units at PSE Plaza, Ayala Triangle donated by ALI.

Construction in progress. Included in property and equipment as at December 31, 2016 amounting to ₱14.92 million. This was in relation to expenditure for building improvements in the course of construction.

Trading System Equipment. This represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware

13. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC) whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments:

	2016	2015
Acquisition cost	₱137,050,657	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	221,441,607	183,323,386
Share in net income of investee	49,166,134	38,118,221
Balance at end of year	270,607,741	221,441,607
Accumulated equity in other comprehensive loss - remeasurement losses on pension liability:		
Balance at beginning of year	(7,428,260)	(2,971,691)
Share in remeasurement losses	(19,926)	(4,456,569)
Balance at end of year	(7,448,186)	(7,428,260)
Dividend income	(24,041,299)	—
	₱376,168,913	₱351,064,004

Available financial information of PDSHC is as follows (in millions):

	2016	2015
Current assets	₱1,443.18	₱1,214.20
Noncurrent assets	451.10	569.30
Current liabilities	110.70	135.68
Noncurrent liabilities	91.97	79.18
Total equity	1,691.61	1,568.64
Net income attributable to:		
Equity holder of the parent company	234.35	204.34
Noncontrolling interest	5.45	5.14
Other comprehensive loss	(0.09)	(15.97)
Total comprehensive income	239.71	193.51

The reconciliation of the net assets of the associate to the carrying amounts of the interest in this associate recognized in the consolidated statements of financial position is as follows (in millions):

	2016	2015
Net assets of associate attributable to controlling shareholders	₱1,674.70	₱1,555.03
Proportionate ownership in net assets (20.98%)	351.35	326.24
Goodwill	24.82	24.82
	₱376.17	₱351.06

On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the obtainment of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc., Whistler Technology Services, Inc. and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 shares or 28.91%, 192,776 shares or 3.08%, 500,000 shares or 8.00% and 4,030 shares or 0.06%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed.

On December 14, 2016, the Exchange is looking for various proposals to bring down the membership to less than 20%.

The above transactions are still ongoing and subject to the approval of SEC as at February 22, 2017.

14. Other Noncurrent Assets

This account consists of:

	2016	2015
Input VAT - noncurrent portion	P51,766,052	P70,836,133
Computer software - net	6,949,079	12,023,761
Deposits in bank	687,051	685,764
Other investments	54,106	—
Advances (Note 17)	—	474,539,633
Others	4,670,904	11,583,120
	P64,127,192	P569,668,411

The terms and conditions of advances and disposal of other investments are discussed in Note 17.

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT for the next 12 months from the reporting date without prescription.

Deposits in bank represent the amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

The movements in computer software account follow:

	2016	2015
Cost:		
Balance at beginning of year	P68,229,080	P64,807,973
Additions	—	3,421,107
Balance at end of year	68,229,080	68,229,080
Accumulated amortization:		
Balance at beginning of year	56,205,319	50,892,215
Additions (Note 21)	5,074,682	5,313,104
Balance at end of year	61,280,001	56,205,319
Net book value	P6,949,079	P12,023,761

Other noncurrent assets include the carrying value of investment property carried at cost less accumulated depreciation and impairment loss. In 2016, the Parent Company reclassified building, including condominium units and parking slots at the Philippine Stock Exchange Centre in Pasig City donated by ALI and Philippine Realty and Holdings Corporation (PRHC), as these were held for capital appreciation rather than use in the daily operations, services or administrative work of the Parent Company (see Note 12). The 2015 comparative information has been reclassified from the financial statements previously presented to conform to the presentation of the 2016 consolidated statements of financial position.

	2016			
	Building	Condominium unit	Parking slot	Total
Cost	P139,542,000	P5,003,034	P350,000	P144,895,034
Accumulated amortization:				
Balance at beginning of year	130,015,289	4,187,207	349,999	134,552,495
Depreciation	5,581,680	200,121	—	5,781,801
Balance at end of year	135,596,969	4,387,328	349,999	140,334,296
	P3,945,031	P615,706	P1	P4,560,738

	2015			
	Building	Condominium unit	Parking slot	Total
Cost	P139,542,000	P5,003,034	P350,000	P144,895,034
Accumulated Amortization:				
Balance at beginning of year	124,433,609	3,987,086	344,167	128,764,862
Depreciation	5,581,680	200,121	5,832	5,787,633
Balance at end of year	130,015,289	4,187,207	349,999	134,552,495
	P9,526,711	P815,827	P1	P10,342,539

15. Accounts Payable and Other Current Liabilities

This account consists of:

	2016	2015
Trade (Note 12)	P37,190,387	P43,040,133
Due to SEC	99,776,398	95,624,010
Accrued expenses:		
Repairs and maintenance	18,648,800	42,672,278
Professional fees	9,646,755	16,818,709
Compensation and other related staff costs	8,135,601	5,892,390
Occupancy costs	6,191,938	7,226,167
Telecommunication and others	2,593,201	8,753,030
Penalties (Note 18)	1,095,000	912,500
Other accrued expenses	9,640,777	—
Payable to government agencies	8,047,070	7,611,946
Others	5,030,893	4,577,804
	P205,996,820	P233,128,967

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing and are normally settled within the next financial year.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants.

16. Deferred Fees and Others

This account consists of:

	2016	2015
Listing fees	P68,883,698	P23,859,451
Deferred output tax	11,739,156	15,693,639
Data feed fees	14,120,310	12,830,200
Others	1,735,312	3,775,276
	P96,478,476	P56,158,566

Deferred revenue from listing, data feed and others are normally realized within the next financial year.

17. Donated Capital

As at December 31, 2016 and 2015, this account consists of donations from:

	2016	2015
ALI (Note 12)	P235,690,154	P235,690,154
PRHC (Note 12)	139,542,000	139,542,000
FBDC	211,597,831	115,417,000
	P586,829,985	P490,649,154

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) Crescent West Development Corporation (CWDC) shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land

and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

Date of Donation	%/Number of Shares to be Donated
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for P10.48 million. Such shares received were classified as other investments under "Other noncurrent assets" account in the consolidated statement of financial position (see Note 14).

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company's headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

On May 3, 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the Parent Company's acquisition of office units in the West Super Block building developed by FBDC and ALI in Bonifacio Global City. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office units in the West Super Block building, then the Definitive Agreement relating to donation of CWDC shares shall be terminated, and FBDC shall buyback the 10,480,181 CWDC shares that were previously donated to the Parent Company.

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building. On June 30, 2015, in line with the provision of the MOA, the Parent Company sold back the FBDC's previously donated 10,480,181 shares of CWDC for P52.11 million resulting to a gain amounting to P41.63 million.

Further, FBDC agreed to donate a portion of the total purchase price of the office units amounting to P235.01 million. Total donation, net of related expenses, received by the Parent Company amounted to P96.18 million and P115.42 million as at December 31, 2016 and 2015, respectively, which is presented as "Income from donation" account in the statement of comprehensive income. Consequently, portion of donated capital pertaining to CWDC shares amounting to P10.48 million was reclassified to unappropriated retained earnings.

As at December 31, 2016 and 2015, total advances corresponding to the installment payments for the acquisition of office units amounted to nil and P474.54 million, respectively (see Note 14). In 2016, the total advances amounting to P805.37 million, inclusive of the instalment payments made in 2016 was reclassified to property and equipment since the office units have been substantially completed (see Note 12).

The Parent Company has hired external consultants to assist in managing the fit-out works in the said office units.

18. Equity

As at December 31, 2016 and 2015, this account consists of:

	2016	2015
Common stock - P1.00 par value		
Authorized - 120.0 million shares		
Issued - 73,480,413 shares	P73,480,413	P73,480,413
Additional paid-in capital in excess of par*	1,072,120,935	1,071,644,783
Subscribed capital stock	7,275,854	—
Subscription receivable	(4,743,192)	—
	1,148,134,010	1,145,125,196
Treasury stock - 100,023 shares	(68,000,023)	(68,000,023)
	P1,080,133,987	P1,077,125,173

*Including shares options outstanding amounting to P0.48 million.

The following summarizes the information on the Parent Company's registration of securities under the Securities Regulation Code:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	—	6,077,505	120.50
September 10, 2008	—	15,177,499	—
September 12, 2008	61,000,000	—	—
June 9, 2011	—	30,504,363	—
November 14, 2014	22,200,000	12,221,680	—
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
	120,000,000	73,480,413	

The Parent Company has total number of shareholders of 279 and 270 as at December 31, 2016 and 2015, respectively.

Parent Company's Cash Dividends

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
February 24, 2016	₱7.00	₱513,796,017	March 30, 2016	April 25, 2016
February 25, 2015	9.00	660,423,465	March 25, 2015	April 16, 2015

As at December 31, 2016 and 2015, the total appropriated retained earnings of the Parent Company and SCCP is ₱71.00 million and ₱50.00 million. In August 13, 2008, the Parent Company's BOD appropriated ₱68.00 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP restricted retained earnings for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 32).

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2016 and 2015, the total amount of penalty recognized by the Group under "Accounts payable and other current liabilities – accrued expenses" account in the Parent Company statements of financial position amounted to ₱1.10 million and ₱0.91 million, respectively. The Group is studying the alternative courses of action in order to comply with the SRC.

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group considers all the components of its total equity as capital.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2016 and 2015.

The Group adopts a practice of providing shareholders with regular dividends.

19. Revenues

This account consists:

	2016	2015	2014
Listing-related fees:			
Listing	₱324,358,484	₱244,888,767	₱590,265,861
Listing maintenance	233,508,454	236,991,885	223,918,895
Processing	1,040,000	1,550,000	2,180,000

(Forward)

	2016	2015	2014
Service fees (Note 28)	P344,553,434	P384,180,547	P380,378,723
Trading-related fees:			
Transaction (Note 28)	177,625,903	180,129,510	189,059,407
Data feed	80,278,852	71,354,401	61,209,566
Block sales (Note 28)	15,324,021	35,002,255	23,943,550
Subscription (Note 28)	29,960,816	23,383,453	25,042,925
Other revenues (Note 28)	56,636,475	36,725,182	23,849,784
	P1,263,286,439	P1,214,206,000	P1,519,848,711

20. Interest Income

This account consists of interest income from:

	2016	2015	2014
AFS investments (Note 9)	P27,203,042	P32,059,663	P30,745,430
Cash and cash equivalents:			
Time deposits (Note 7)	4,522,199	10,739,379	12,755,047
Cash in banks (Note 7)	140,974	376,142	569,953
Financial assets at FVPL	480,138	396,215	—
	P32,346,353	P43,571,399	P44,070,430

21. Cost of Services

This account consists of:

	2016	2015	2014
Depreciation (Notes 12 and 14)	P74,327,298	P87,749,249	P114,347,931
Repairs and maintenance	76,170,052	66,658,785	38,654,794
Compensation and other related staff costs (Note 23)	76,121,171	75,164,009	78,315,815
Communication	8,368,492	9,667,688	9,862,672
Amortization of computer software (Note 14)	5,048,271	5,313,104	5,666,290
Others	5,232,251	6,097,283	2,481,483
	P245,267,535	P250,650,118	P249,328,985

22. General and Administrative Expenses

This account consists of:

	2016	2015	2014
Compensation and other related staff costs (Note 23)	P138,599,127	P144,270,391	P136,473,138
Professional fees	52,258,485	65,484,085	59,768,780
Occupancy costs (Note 24)	46,182,398	48,283,420	54,354,095
Provision (Note 30)	39,860,000	—	—
Depreciation (Notes 12 and 14)	22,154,644	29,962,467	25,157,056
Taxes and licenses	9,668,600	14,050,956	9,013,837
Membership development	6,469,753	7,902,304	8,438,865
Public relations	6,090,327	7,257,340	7,608,088
Communication	4,180,170	1,967,938	2,091,450
Office supplies	3,806,826	4,426,573	4,122,556
Repairs and maintenance	3,190,045	4,732,734	3,879,972
Travel and transportation	2,981,756	8,237,935	5,429,499
Insurance	2,719,672	2,590,109	2,288,769
Market development	1,763,027	3,236,855	3,911,794
Meetings and conferences	1,758,112	1,791,474	1,671,316
Donations and contributions	500,000	500,000	1,000,000
Others	5,146,403	6,560,666	17,619,280
	P347,329,345	P351,255,247	P342,828,495

23. Compensation and Other Related Staff Costs

This account consists of:

	2016	2015	2014
Salaries and wages	₱180,057,223	₱174,002,814	₱171,439,465
Pension expense (Note 26)	14,486,365	17,673,609	17,451,221
Other employee benefits	20,176,710	27,757,977	25,898,267
	₱214,720,298	₱219,434,400	₱214,788,953

Other employee benefits include the ESPP expense amounting to ₱0.48 million, nil and ₱1.56 million in 2016, 2015 and 2014, respectively (see Note 31).

24. Occupancy Costs

This account consists of:

	2016	2015	2014
Utilities	₱19,973,784	₱20,764,807	₱25,460,383
Condominium dues	15,251,234	16,242,620	18,283,014
Security and janitorial services	10,957,380	11,275,993	10,610,698
	₱46,182,398	₱48,283,420	₱54,354,095

25. Income Tax

The provision for income tax consists of:

	2016	2015	2014
RCIT	₱178,598,345	₱147,301,044	₱232,241,841
Final	8,463,599	11,072,666	11,460,669
Deferred	(13,157,473)	6,812,454	10,652,932
	₱173,904,471	₱165,186,164	₱254,355,442

The components of the net deferred tax assets are as follows:

	2016			2015		
	PSE	CMIC	Total	PSE	CMIC	Total
Deferred tax assets:						
Provision	₱11,958,000	₱-	₱11,958,000	₱-	₱-	₱-
Unamortized past service costs	7,459,415	-	7,459,415	9,264,478	-	9,264,478
Allowance for impairment losses on receivables	918,180	-	918,180	826,508	-	826,508
Accrued expenses	-	71,192	71,192	-	224,070	224,070
Unrealized foreign exchange losses	-	-	-	-	161,183	161,183
Unamortized discount on refundable deposits	-	1,761	1,761	-	7,509	7,509
Pension liability	-	285,892	285,892	-	-	-
	20,335,595	358,845	20,694,440	10,090,986	392,762	10,483,748
Deferred tax liabilities:						
Pension asset	9,257,826	-	9,257,826	6,576,638	-	6,576,638
Unrealized foreign exchange gains	641,946	-	641,946	197,006	-	197,006
Net unrealized gains on available-for-sale investments	-	251,340	251,340	38,104	-	38,104
Deferred lease asset	-	1,739	1,739	-	7,000	7,000
	9,899,772	253,079	10,152,851	6,811,748	7,000	6,818,748
	₱10,435,823	₱105,766	₱10,541,589	₱3,279,238	₱385,762	₱3,665,000

Total movement in net deferred tax asset accounted under OCI for Parent Company and CMIC amounted to ₱6.28 million and ₱5.46 million in 2016 and 2015, respectively.

Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2016, 2015 and 2014 in computing its taxable income.

The availing of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to P3.52 million and P3.47 million as at December 31, 2016 and 2015.

Deferred tax asset in 2014 amounting to P5.13 million was derecognized in 2015 as SCCP's management believes that the future taxable income against which the deferred tax asset can be used may not be available. SCCP did not recognize deferred tax asset in 2015 and 2016.

The reconciliation between the statutory tax rates and the Group's effective tax rates on income before income tax is as follows:

	2016	2015	2014
Provision for income tax at statutory income tax rate	30.00%	30.00%	30.00%
Adjustments for:			
Nontaxable income	(4.65%)	(7.13%)	—
Benefit from using OSD	(3.60%)	—	—
Equity in net income of an associate	(1.69%)	(1.27%)	(1.16%)
Income subjected to final tax	(0.20%)	(0.22%)	(3.63%)
Derecognized DTL – unrealized gain AFS	(0.0044%)	—	—
Nondeductible expenses	0.0001%	(1.90%)	(2.54%)
Effective income tax rate	19.87%	19.48%	22.67%

26. Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan, while SCCP and CMIC has an unfunded noncontributory defined benefit retirement plan covering all their regular employees. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2016 and 2015 are shown below:

	Parent Company		SCCP		CMIC	
	2016	2015	2016	2015	2016	2015
Discount rate	5.95%	5.28%	5.86%	4.86%	5.86%	—%
Future salary increases	5.00%	8.00%	5.00%	8.00%	3.00%	—%

The latest actuarial valuation studies of the retirement plan of the Parent Company and SCCP were made as at December 31, 2016.

The pension expense included under "Compensation and other related staff costs" account in the consolidated statement of comprehensive income are as follows:

	2016	2015	2014
Current service cost	P14,929,060	P17,361,217	P16,290,037
Net interest cost (income)	(442,695)	312,392	1,161,184
	P14,486,365	P17,673,609	P17,451,221

The component of remeasurements of the Parent Company and SCCP in the statements of comprehensive income is as follows:

	2016	2015	2014
Remeasurement gains on pension liability	P21,198,310	P21,660,423	P10,343,837
Tax effect	(6,280,885)	(6,498,127)	(2,614,725)
	P14,917,425	P15,162,296	P7,729,112

The pension asset included in the consolidated statements of financial position as at December 31, 2016 and 2015 are as follows:

	2016			2015	
	Parent	SCCP	CMIC	Parent	SCCP
	Pension Asset	Pension Liability	Pension Liability	Pension Liability	
Present value of the obligation	P105,428,560	P11,762,008	P952,974	P114,620,463	P11,552,853
Fair value of plan assets	(140,410,413)	—	—	(138,248,180)	—
Effect of asset ceiling	4,122,437	—	—	1,705,595	—
	(P30,859,416)	P11,762,008	P952,974	(P21,922,122)	P11,552,853

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2016			2015	
	Parent Pension Asset	SCCP Pension Liability	CMIC Pension Liability	Parent Pension Asset	SCCP Pension Liability
Balance at beginning of year	P114,620,463	P11,552,853	P-	P125,663,059	P12,790,709
Current service cost	12,698,795	972,934	1,257,331	16,147,438	1,213,779
Interest cost on benefit obligation	6,051,960	561,469	69,225	5,604,572	570,466
Actual benefits paid -	(3,185,603)	-	-	(5,231,457)	(602,241)
Actuarial gains arising from:					
Changes in financial assumptions	(21,484,291)	(1,283,416)	(121,910)	(21,956,492)	(1,180,837)
Experience adjustments	(3,272,764)	(41,832)	(251,672)	(5,606,657)	(1,239,023)
Balance at end of year	P105,428,560	P11,762,008	P952,974	P114,620,463	P11,552,853

The movements in the fair value of plan assets recognized by the Parent Company follow:

	2016	2015
Balance at beginning of year	P138,248,180	P122,859,310
Interest income	7,215,404	5,862,646
Actual benefits paid	(3,185,603)	(5,231,457)
Remeasurement loss	(1,867,568)	(7,654,073)
Contributions	-	22,411,754
Balance at end of year	P140,410,413	P138,248,180

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the retirement plan as at December 31:

	2016		2015	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalents	P28,543,185	P28,543,185	P40,955,393	P40,955,393
Investment in equity securities	90,615,377	90,615,377	19,737,700	19,737,700
Investment in government securities, bonds and other debt instruments	19,719,779	19,719,779	75,484,587	75,484,587
Others	1,532,072	1,532,072	2,070,500	2,070,500
	P140,410,413	P140,410,413	P138,248,180	P138,248,180

The Parent Company's retirement plans' assets and investments consist of the following:

- Cash and cash equivalents includes regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds that bear interest ranging from 3.03% to 7.38% and have maturities from March 2021 to October 2037; and fixed-income treasury notes that bear interest ranging from 2.13% to 8.75% with maturities from August 2017 to March 2033.
- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 4.15% to 6.15% and have maturities from May 2020 to April 2025.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2016, the assets of the retirement plan are more than sufficient to pay for the estimated annual normal cost or current contribution for the valuation period January 1, 2017 to December 31, 2017. Hence, no contribution is expected to be made to the retirement plan in 2017.

The sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2016	2015
Discount rate	100	(P6,051,342)	(P8,322,858)
	(100)	6,698,792	9,276,601
Future salary increases	100	5,823,857	7,760,660
	(100)	(5,392,563)	(7,149,707)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as at December 31, 2016 and 2015 consists of equity and debt securities, although the Parent Company also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP and CMIC do not have an established retirement plan. Benefit claims under the retirement obligation are paid directly by the Company when these become due.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows:

	2016	2015
More than one year to five years	P34,756,179	P13,923,425
More than five years to 10 years	17,144,407	27,750,148
	P51,900,586	P41,673,573

The weighted average duration of the defined benefit obligations at the end of the reporting date are 7.2 years, 3.1 years and 8.5 years for the Parent Company, SCCP and CMIC, respectively.

27. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the parent by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

The following reflects the diluted EPS computations:

	2016	2015	2014
(a) Net income	P701,541,398	P682,808,883	P867,554,771
(b) Weighted average number of shares - basic	73,380,390	73,380,390	73,334,476
Weighted average number of shares outstanding under the stock option plan	108,688	–	–
(c) Adjusted weighted average shares - diluted	73,489,078	73,380,390	73,334,476
EPS:			
Basic (a/b)	P9.56	P9.31	P11.83
Diluted (a/c)	P9.55	P9.31	P11.83

28. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants - Revenues					
Trading-related fees:					
Transaction	2016	P177,625,903	P11,721,353	30 days term,	Unsecured;
	2015	180,129,510	19,499,626	noninterest-bearing	no impairment
	2014	189,059,407	40,329,031		
Block sales	2016	15,324,021	1,082,230	Collectible monthly,	Unsecured;
	2015	35,002,255	7,219,004	noninterest-bearing	no impairment
	2014	23,943,550	2,435,894		
Subscription	2016	29,960,816	–	Collectible monthly,	Unsecured;
	2015	23,383,453	–	noninterest-bearing	no impairment
	2014	25,042,925	576,307		
Service fees	2016	344,553,434	26,172,888	Collectible monthly,	Unsecured;
	2015	384,180,547	27,179,283	noninterest-bearing	no impairment
	2014	380,378,723	36,007,980		
Other revenues	2016	56,636,475	16,393,688	Collectible monthly,	Unsecured;
	2015	33,040,626	10,455,304	noninterest-bearing	no impairment
	2014	10,555,053	61,059		

The receivable from trading participants included in the consolidated statements of financial position are net of allowance for impairment losses of P0.38 million and P0.25 million in 2016 and 2015, respectively.

Other revenues include trading participants maintenance fee, recoveries from printing of data transaction report, penalty on trading floor, cancellation of matched orders, and other fees.

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under “Compensation and other related staff costs” account in the consolidated statement of comprehensive income is as follows:

	2016	2015	2014
Short-term employee benefits	P52,531,345	P61,793,815	P58,134,860
Post-employment pension and medical benefits	244,238	927,779	20,867,843
Employee stock purchase plan (Notes 23 and 31)	242,435	–	1,156,909
	P53,018,018	P62,721,594	P80,159,612

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

29. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

30. Provisions and Contingencies

Parent Company

The Parent Company is a party to legal proceedings, the outcome of which are not presently determinable. Provision recognized under “General and administrative” account in the statements of comprehensive income amounted to P39.86 million and nil in 2016 and 2015, respectively.

These include estimates of legal services, settlement amounts and other costs of claims made against the Parent Company. Other information on the claims are not disclosed as this may prejudice the Parent Company’s position on such claims.

SCCP

The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2016 and 2015. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2016	2015
Value of shares not yet delivered (net selling)	P6,184,416,185	P7,177,243,742
Amount of purchases unpaid (due clearing)	2,659,830,943	3,126,235,676
	P8,844,247,128	P10,303,479,418

All transactions outstanding as at December 31, 2016 and 2015 were subsequently settled in January 2017 and 2016, respectively. Accordingly, no failed trades occurred from these transactions.

31. Employee Stock Purchase Plan

On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

- the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;
- the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;
- a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and
- in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

As at December 31, 2016, the number of shares availed through ESPP is as follows:

Total number of shares offered during the year	71,313
Granted during the year	31,437
Outstanding at end of the year	39,876

Total additional paid-in capital and employee benefit expense arising from ESPP amounted to P0.48 million and nil, in 2016 and 2015, respectively. Total additional paid-in capital arising from ESPP amounted to P14.53 million and total expense arising from share-based payments amounted to P1.56 million in 2014.

There were no cancellations or modifications of ESPP shares during the year.

The range of exercise prices for the options granted during the year was P224 to P245.

The range of fair value of services during the year, based on the Exchange's daily stock quotation, was P260 to P279.

32. Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the statement of financial position since these are not assets and liabilities of SCCP. These assets are held in trust for clearing members to cover for any failed trades.

The CTGF consists of:

	2016	2015
Principal contributions from:		
Trading participants:		
Balance at beginning of year	P527,584,091	P471,492,315
Contributions	56,525,147	56,091,776
Balance at end of year	584,109,238	527,584,091
The Parent Company	80,000,000	80,000,000
	664,109,238	607,584,091
Accumulated income:		
Balance at beginning of year	298,616,685	273,289,433
Interest income - net of management fee of P0.98 million and P0.90 million in 2016 and 2015, respectively	27,341,962	25,327,252
Balance at end of year	325,958,647	298,616,685
Net unrealized loss on AFS investments	(8,552,458)	(9,561,764)
	317,406,189	289,054,921
	P981,515,427	P896,639,012

Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, the Group through SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

On September 25, 2001, The SCCP's Board resolved to approve the return of the principal amount without interest, of the contributions made by members to the CTGF in case of (1) liquidation of the CTGF, in which case the contribution shall be returned to members as of the date of liquidation, and/or (2) cessation of membership in the Corporation, whether by sale of seat or otherwise.

On January 28, 2003, the SCCP's BOD approved the amendment of its rules on CTGF providing for the non-refundability of all CTGF contributions to trading participants. On April 26, 2007, the SCCP's BOD approved the full refund of CTGF contributions upon cessation of trade operations of a clearing member and upon termination of its membership with the SCCP, at the same time that it approved an increase in the rate of CTGF contribution to be collected from each clearing member. The SEC subsequently approved the rate increase in July 2007.

While awaiting approval by the SEC of the non-refundability of the contributions, on November 3, 2009, the SCCP's BOD approved to postpone the implementation thereof until such time that SCCP is able to implement other measures to augment the Clearing Fund. The SCCP's President formally notified the SEC of such decision of the BOD on November 12, 2009.

During its regular meeting held on January 18, 2017, the SCCP Board approved the refund of the contributions to the members upon cessation of business operations by the trading participant and/or upon termination of membership with the SCCP, subject to the approval of the SEC.

Assets of CTGF

The assets of the CTGF consist of:

	2016	2015
Cash in banks	P25,606,652	P10,044,533
Accounts receivable	3,714,101	3,036,339
Accrued interest receivable	9,509,966	8,952,015
AFS investments - debt securities:		
Principal amount	937,098,600	859,480,600
Net unamortized premium	15,121,064	25,584,826
Net unrealized loss on AFS investments	(8,552,458)	(9,561,764)
	982,497,925	897,536,549
Less accrued management fees	982,498	897,537
	P981,515,427	P896,639,012

Under the SCCP's rules, the CTGF may only be invested in the following:

- a. Securities issued or guaranteed by the Republic of the Philippines; and
- b. Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

As at December 31, 2016, AFS investments with face value of P113.50 million will mature within one year from reporting date.

Net unrealized loss from CTGF investments held as AFS follows:

	2016	2015
Balance at beginning of year	(P9,561,764)	P13,746,492
Change in fair value	1,009,306	(23,308,256)
Balance at end of year	(P8,552,458)	(P9,561,764)

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to P0.98 million and P0.90 million in 2016 and 2015, respectively, is included under "Other revenues" account in the consolidated statements of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- a. Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- b. Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- c. The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- d. For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- e. For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- f. Payment of premium on any insurance policy taken for the CTGF.

TRADING PARTICIPANTS' DIRECTORY

AS OF APRIL 2017

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VALUING

Voices



Please send the
accomplished
form to:

**Philippine Stock
Exchange, Inc**
2/F PSE Plaza, Ayala
Triangle Ayala Avenue,
1226 Makati City, Philippines

Name: _____

Company: _____

Email: _____

AUDIENCE:

I'm primarily interested in Philippine Stock Exchange, Inc. as a:

- ☐ PSE shareholder
 - ☐ PSE employee
 - ☐ Trading Participant
 - ☐ Media representative
 - ☐ If others, please specify:
-

CONTENT:

The figures and narrative are easy to read and understand

- ☐ Strongly Agree
 - ☐ Agree
 - ☐ Neutral
 - ☐ Disagree
 - ☐ Strongly Disagree
-

COVERAGE:

The report effectively communicates the 2016 performance of PSE.

- ☐ Strongly Agree
 - ☐ Agree
 - ☐ Neutral
 - ☐ Disagree
 - ☐ Strongly Disagree
-

DESIGN & LAYOUT:

The images, photos, design and layout are visually attractive, relevant, and consistent with the theme of the Annual Report.

- ☐ Strongly Agree
 - ☐ Agree
 - ☐ Neutral
 - ☐ Disagree
 - ☐ Strongly Disagree
-

OVERALL RATING

On a scale of 1 to 5, with 5 having the highest rating, assess the overall design, relevance, and readability of the 2016 Annual Report.

1

2

3

4

5

OVERALL RATING

Rate each of the following part of the 2016 PSE Annual Report on a scale of 1 to 5 with 5 having the highest rating in terms of presentation and effectiveness/clarity.

- ___ Message of the Chairman & President
- ___ Corporate Governance
- ___ Stock Market Performance
- ___ Operational Highlights
- ___ Table of Listed Companies & Issues
- ___ Gallery of Directors & Officers
- ___ Financial Statements & Documents
- ___ Active Trading Participants Directory
- ___ Sustainability Report



CORPORATE INFORMATION

Annual Meeting

The annual meeting of shareholders will be held on Saturday, May 6, 2017, 7:30 a.m. at Pavilions A & B, Wack-Wack Golf & Country Club, Wack-Wack Road, Mandaluyong City, Metro Manila.

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MEETING CHALLENGES

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